

Ratnamani Metals (RATNAMANI)

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Call: Aug 2022

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BSE Ltd.

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Company Code : 520111 National Stock Exchange of India Ltd.

“Exchange Plaza”, 5th Floor,

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Company Code : RATNAMANI

Subject: Transcript of the Investor Conference Call post Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended on June 30, 2022

Dear Sir/Madam,

We, vide our letters dated August 6, 2022 and August 9, 2022, had intimated to the Stock Exchanges about the schedule of the Investor Conference Call on Wednesday, August 10, 2022 post Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended on June 30, 2022 and future outlook of the Company's business.

The Conference Call recordings have already been uploaded on the website of the Company and a link was provided vide our letter dated August 10, 2022.

We, now enclose a copy of Transcript of the Investor Conference Call which took place as scheduled. The said transcript is being uploaded on the Company's website namely www.ratnamani.com.

The Company has referred to publicly available documents/ information for discussions during interaction in the Conference Call and no Unpublished Price Sensitive Information were shared during the Conference Call.

Kindly take the above on your record.

Thanking you,

Yours faithfully,

For, RATNAMANI METALS & TUBES LIMITED

ANIL MALOO

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

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“Ratnamani Metals & Tubes Limited Q1 FY23
Earnings Conference Call”

August 10, 2022

MANAGEMENT : M R. PRAKASH SANGHVI – MD & CHAIRMAN ,
RATNAMANI METALS & TUBES LIMITED
MR. MANOJ SANGHVI – BUSINESS HEAD , RATNAMANI
METALS & TUBES LIMITED
MR. VIMAL KATTA – CHIEF FINANCIAL OFFICER ,
RATNAMANI METALS & TUBES LIMITED
MODERATOR : S AHIL SANGHVI - ANALYST , MONARCH NETWORK
CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Ratnamani Metals and Tubes Q1 FY23 Earnings Conference Call hosted by Monarch Network Capital. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note this conference is being recorded. I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Thank you and over to you, sir.

Sahil Sanghvi: Thank you Jitendra. Good afternoon to all. On behalf of Monarch Network Capital, we welcome you all for the Ratnamani 1Q FY23 Earnings Call. We are delighted to host the management of Ratnamani today and from their side, we have Mr. Prakash Sanghvi – MD & Chairman and Mr. Manoj Sanghvi, who is the business head and also Mr. Vimal Katta - Chief Financial Officer.

So, without taking any much time I will hand over call to Mr. Manoj Sanghvi, sir for the opening remarks. Thank you and over to you, sir.

Manoj Sanghvi: Good afternoon, I welcome you all to this call and hope everyone is doing good. Our results for the first quarter of FY23 have been uploaded on the exchanges and I believe you all would have had a chance to go through it. As you all know, past few months has been unprecedented in terms of volatility witnessed across segments, be it commodities, currencies, interest rates and equities, not only this, but also the sanctions imposed by various countries on global trade coupled with geopolitical issues have created various challenges for the business climate. Most of the developed countries are facing high inflation, resulting to high interest rate, outlook compared to our country which is still reflecting strong macroeconomic scenario. As per various estimates, our economic growth outlook has shown resilience and may remain less impacted. Decline in the commodity prices may further improve the infrastructure demand and some good traction may be expected in CS and SS pipe. Capacity expansion across refineries and process industries is likely to maintain the momentum and we expect further improvement in capacity utilization.

Continued energy prices at elevated level augurs well for the projects in oil and gas opportunities are expected to be robust here and as you are all aware about the opportunities on the domestic front due to thrust on increased allocation of government on CGD, Jal Jeevan Mission, Har Ghar Nal Se Jal, Ken-Betwa River Linking Project, Oil and Gas Transmission Project etc. Since you are all well updated on the schemes and opportunities arising thereof, I would like to straight away touch upon the quarterly and financial numbers and business update in brief and then we can take questions.

So, our revenue has increased 85% year-on-year and is flat on sequential basis. EBITDA is increased to Rs. 139.45 crores from Rs. 92.6 crores on year-on-year basis, registering a 50%
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growth and sequentially it has been down by 21.8%. Our EBITDA margin has also contracted on by around 4% due to product mix and high raw material cost. During the quarter, in spite of inflationary pressure felt on operating cost, we had been able to contain the same at the levels of preceding quarter. Our net profit margins have reduced by 250 basis points sequentially mainly on account of inventories and for the year we don't expect the variation to be more than plus minus 200 basis points.

Our orders on hand as on 1st August is Rs. 2,345 crores of which exports is Rs. 455 crores.

This financial year begin with lots of uncertainties and challenges in terms of geopolitical situations, inflations, rate hike

s, tapering of liquidity and high volatility is witnessed in

commodities and the global situation is likely to remain same over for next few months. So, giving any guidance for the long period may not be suitable at this juncture, but as highlighted earlier, we target for a growth of 15 to 20% at a constant price basis for this. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ashutosh Tiwari with Equirus Securities. Please go ahead, sir.

Ashutosh Tiwari: Firstly, in the new order booking that we are doing, has the steel prices started coming down like the Stainless Steel and Carbon Steel compared to last 3 months back, are we seeing moderation with steel prices as well when you are booking it?

Manoj Sanghvi: Order booking has been consistent and it has rather gone up.

Ashutosh Tiwari: No I am not talking about order booking, I am saying that in the order booking that we are doing in Carbon Steel and Stainless Steel, has the pricing per ton has started coming down now because of the steel price is declining?

Manoj Sanghvi: Yes, the pricing per ton, it has come down.

Ashutosh Tiwari: So, basically if you are seeing some improvement on a quarter-on-quarter basis in your order books on Rs. 2,223 crores as of last quarter to Rs. 2345 that means volume addition would have been better than the increase in the order book?

Manoj Sanghvi: Yes, volume addition is better than what it was in the last quarter.

Ashutosh Tiwari: And I think, we are now seeing good traction in your Stainless Steel order book so, can we just explain like which are the drivers over here, is it like, we also had entered in the larger diameter tubes with this new extrusion plant, is it playing out or it is still the normal or that we used to receive earlier?

Vimal Katta: Ashutosh, these are normal orders, new hot extrusion order booking will start picking up after sometimes. Right now, whatever is being produced is being capably consumed. Some quantities have been sold in the market also, but those are not significant.

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Ashutosh Tiwari: Are we like in our sales mix or orders, whatever we are getting in that mix has the share of larger diameter started going up, inching up a bit or that is not still visible, I understand that you are not selling hot extrusion directly in the market, but is that the diameter are we inching up now?

Vimal Katta: About to inch, whatever we need earlier we use to import that has been replaced from whatever we are producing from the new hot extrusion facility. So, anyway that larger diameter is being used, but the size is exclusive to this hot extrusion that is 8 to 10 inch, that will take some time because those demands are driven by the CAPEX happening in oil and gas sector and other refineries so, gradually those should be happening going forward.

Ashutosh Tiwari: And in the Carbon Steel side, can you highlight some of the projects is coming up in domestic export basically which will drive growth going ahead, some new projects will be announced by the refinery or other players in oil and gas space?

Manoj Sanghvi: There are a few water projects in Gujarat and MP and Rajasthan, which we feel will be finalized in other 3-4 months. Like we had Sauni in Gujarat, there is Sauni first phase which has already tenders are out and awards to EPC will happen in another month or two, so then the EPCs will finalize that put together is 250,000 metric ton final price.

Ashutosh Tiwari: That is in Gujarat you are saying or 3 states put together?

Manoj Sanghvi: Yes, this is in Gujarat. Then similarly, there was Rajiv Gandhi Link Canal Project in Rajasthan, which is 1,10,000 tons, so that will be finalized, whatever I am saying is for the next 2 to 3 months what will be finalized. So, it is in water a

nd then have been seeing regular

requirement from all the private as well as public sector units. Our ERW as of now is booked till November and we see that in next 2-3 months, we will be able to book the same until March. On ERW, there are few product lines also where the tenders are submitted for BPCL and HPCL.

Ashutosh Tiwari: So, in this water orders, the margin should be lower than what we get in oil and gas or because it is located in Gujarat and Rajasthan, so we probably can still make decent margin over here?

Manoj Sanghvi: Yes, because it is located in Gujarat and Rajasthan, we will still make decent margins and oil and gas, we have seen domestic whatever projects we are there for IOCL and for NRL, those have been finalized. There are some projects from HPCL, IGGL where we have submitted the tenders.

Ashutosh Tiwari: Is it BPCL right, HPCL?

Manoj Sanghvi: Yes, BPCL is there, then there is IGGL, Indradhanu Gas Grid Limited where few tenders are there. Then, there is one tender from GSPL which is GSPL Chhara pipeline, so that will be

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finalized. That is roughly 30,000 tons and GIGL which is subsidiary of GSPL is coming up with 2 tenders.

Ashutosh Tiwari: Sir, as of now, the pipeline is good in Carbon Steel space?

Manoj Sanghvi: Yes, the demand for water is more than oil and gas in line pipes, whereas on the petrochemical and refinery, the demand for LSAW pipe is good.

Ashutosh Tiwari: Sir, you said in petrochemical and refinery what is good?

Manoj Sanghvi: The demand for LSAW pipe.

Ashutosh Tiwari: And lastly, some financial questions, one is, how the net cash position as of June 2022?

Vimal Katta: Net-net will be positive, but not very significantly because working capital continues to be on the higher side, so that is the thing and off label we should be having closer to Rs. 220 crores plus sort of investments as on 30th June.

Ashutosh Tiwari: Investments you are saying, right, investments?

Vimal Katta: Liquid and FD.

Ashutosh Tiwari: And debt is how much?

Vimal Katta: Debt will be closer to Rs. 150-Rs. 160 Cr only. So, net-net debt is Rs. 60-Rs. 70 crores remains with the company.

Ashutosh Tiwari: And depreciation charges went down quarter-on-quarter Rs. 23 crores to Rs. 19 crores, any reason, how do we look at this going ahead?

Vimal Katta: See basically, on average this 20 should be taken. Here depreciation what happens that under the Company's Act, it works based on the number of shifts worked, so that is the thing here and one hot extrusion working at Kutch, that has been now scrapped and a new facility, already it has been commissioned at Indrad. So, now, even for lower sizes also, we have a new facility of hot extrusion. So, now, again depreciation will start moving up in this quarter onwards.

Ashutosh Tiwari: And lastly, I think we mentioned that this quarter because of may be at the time of order booking, there is some volatility in the steel that probably hit us in terms of margins, that should normalize going ahead and we still stick to 16 to 18% margin range?

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Vimal Katta: See that average of 16 to 18% (+/-1%) seems to be the maintainable over a longer period for any extended period and some variations may be there based on the product mix and the market situations.

Moderator: Thank you. Our next question is from the line of Pujan Shah with Congruence Advisers. Please go ahead, sir.

Pujan Shah: Couple of questions, sir. First question would be currently we are being like quarter-on-quarter wise, we have been pretty good on our revenue standpoint, but at a PAT margin we have been like few bps been lower and looking at the trajectory, we have been always been, so are we seeing this bottoming now as we have been seeing an increase in order book, everything is being cur

rently in the oil and gas is going into CA PEX mode and all the things. So, are we say that we have almost bottom out as the price has also been coming down, steel prices I know that the export order has been currently at a stagnant point or you can say on a debt basis, but are we saying this is the, you can say the low we have hit and back is behind us?

Manoj Sanghvi: It is same as like that, but nobody can actually say that, it depends totally on the product mix going forward whatever product mix we have with the orders on hand. This seems to be the bottom.

Pujan Shah: Sir, can you just repeat the order book actually I missed out so can you just say if you can?

Manoj Sanghvi: Rs. 2,345 crores is the total order as on 1st August of which export sales Rs. 455 crores.

Pujan Shah: Sir, can I get this split between the order book like is it more in water, oil and gas if you can split it out?

Manoj Sanghvi: No. I don't have any industry wise bifurcation is not done.

Vimal Katta: But see basically here in our case, water this time will be hardly any, majority it will be oil and gas sector and other process industry. See carbon steel is 100% oil and gas you can say, maybe 2% or 3% here and there water might be there, few very small size orders. In case of external facilities it is 100% oil and gas sector and other process industry. Water right now is not there in any significant way.

Pujan Shah: Sir, with this standpoint and the current trajectory, all the demand like in 2-3 years of horizon, are you seeing any new sector coming up or like which we will see this traction coming from this only sector, so are we seeing any new traction coming up from other industries specific like manufacturing or sort of thing like any specific industry, capital goods industry or like?

Manoj Sanghvi: Right now, maximum traction is still seen in the same industry. Going forward, may be one the technology on the transportation of hydrogen has evolved, then yes, we might see in other
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industries, but as of now it is mostly oil and gas, power, chemical industries, pharmaceutical industries, dairy, sugar those industries only.

Moderator: Thank you. Our next question is from the line of Hirenkumar Desai. Please go ahead.

Hirenkumar Desai: So, one question is because of high oil prices and this company is not raising prices, BPCL etc., they have been reporting losses, do you suspect from reduction in CAPEX because of the problems which is impacting our demand adversely?

Manoj Sanghvi: No, we don't see any reduction in CAPEX with the current oil prices than the refining margins. It would improve and further we see a lot of expansion in the petrochemical plant because there is a growing demand in the country for petchem.

Hiren Desai: And the second question is that book question, what is the total Stainless Steel and Carbon Steel capacity and what is the current capacity utilized?

Manoj Sanghvi: So, carbon steel all put together 500,000 tons and stainless steel 50,000 tons.

Moderator: Thank you. Our next question is from the line of Vikas Singh with PhillipCapital. Please go ahead.

Vikas Singh: I just want to understand that in this quarter, though we have a back-to-back booking, but certain portion would still be exposed to the vagaries of RM cost change, so have you taken any inventory write down?

Vimal Katta: No, it is not like that. See, basically, what happens at the time of tendering itself, there will always be a band below which we will not go. So, if prices are falling within that band particularly in respect of tender business, so we book our orders because it is never advisable to keep the capacities ideal just to ensure that bottomline achieves a particular percentage. So, 1% or 2% here and there will always be there. So, everything is dependent on the market conditions plus the

product mix of dispatches during a particular quarter will also impact the margins. You might have seen in case of third quarter of last financial year again, margins had come down significantly, though they were 30-40 bps better than what they are right now. So, this situation will always be there, there may be certain quarter where margins may improve significantly and no inventory write down in our case because all inventories are marked against orders only. Here, we don't have inventories which are for external sales.

Vikas Singh: Sir, since we don't give the segmental SS and Carbon Steel data anymore, but in terms of growth out of these two which one you expect to be larger contributor in the overall earnings going forward, because stainless steel in FY23, I believe has de-grown from the previous levels, so just wanted to understand which of these segments would have a larger stay in the our earning profile?

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Vimal Katta: Between 30 to 35% turnover will continue to come from stainless steel and remaining from carbon steel. This 5%, 7% band, you can say that 27 to 35, 36% will be the broader range for Stainless Steel quarter-on-quarter. Yearly, roughly 30 to 35% will be the range. We will do the current capacities which we have set up.

Vikas Singh: But since we were talking about last quarter, we have given like 30% utilization of new assets capacities. So, wouldn't it be that the assets would be pitching in more and hence our overall margin profile should be improving?

Vimal Katta: No. SS capacity utilization will be used captively, so our input dependency has reduced which will further reduce going forward. So, whatever we were importing earlier, that we will be substituting from our new hot extrusion and some capacities will be available for sale to others. So, that will not have a major impact on the product mix.

Manoj Sanghvi: And as such there is an increase suppose if there is increase in Stainless Steel revenues, there is an increase in Carbon Steel revenues also because new CS pipe capacities have been set up and commercially operating now.

Vikas Singh: And sir, since this quarter was pretty good, so are we maintaining our annual revenue guidance impact which we have given in 4Q?

Manoj Sanghvi: Yes, 15 to 20% growth we maintained.

Vikas Singh: So, effectively anywhere 25% to 30% is the volume growth which we are building in our estimates, is that a correct assumption? Since the pricing has been already coming down?

Manoj Sanghvi: No, 15 to 20% growth.

Vikas Singh: This is the revenue growth you are talking about right? I was talking about if revenue is growing by 15 to 20%, then my volume should be closer to 30% growth because since average

prices have been lower now?

Vimal Katta: In case of Carbon and Steel, you may be correct to some extent, but in case of Stainless Steel tonnage will never help you, reason maybe there are products where tonnage will be much lower, but value addition will much higher and as we have been that for so many times that our focus has always been on the higher value added products, we are never chasing the volumes in terms of tonnage. We are changing the value addition. So, the products which give higher value addition those will be taken up which may not result in too higher tonnage being produced, but higher value addition will be there, higher turnover will be there. We have a product range which starts at Rs. 300 a kg, goes up to Rs. 5,000 a kg in Stainless Steel, so if Rs. 5000 a kg item is there; tonnage will not be there. It is like that.

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Vikas Singh: And sir, last quarter we also announced additional CAPEX in SS as well as HSAW mill in a new location, so any update on the progress on the same?

Vimal Katta: Yes, SS work is going on and Helical

saw, some progress is already there at the preparation of the ground, we will share the developments in next 3 to 6 months' time.

Vikas Singh: And sir, if I may ask one last question sir, recently one of your global competitor Tubacex won a multiyear deal in the Abu Dhabi Oil Corporation, so just wanted to understand so our focus is still on replacing the domestic basically arrivals, imports or have we started to focus on the export market because right now the export market looks pretty good, many countries are looking to increase their refining capacity, so what are the accessible market segment there if you could just give us a little bit explanation on there?

Vimal Katta: Traditionally, almost 40% of our turnover in Stainless Steel has been coming from exports, physical exports only and additional roughly 20% will be from indirect exports which is supplied to the equipment manufacture who in turn exports the equipments. This proportion continues to remain there and if you go through our outstanding order books of last couple of quarters, so these exports in Stainless Steel have moved up reasonably well and they are continuously in these range of Rs. 250 Cr sort of thing, this is there and for the new hot extrusions, that process has now started because now things have become a little more stable, now COVID restrictions are also not there, international sale has also become easier. So, gradually we may see that export booking happening in case of your products from the new facility also. It will take some time.

Vikas Singh: Sir, did we get all the approvals in India for that of?

Manoj Sanghvi: Tubacex has not received any order, but the announcement was that they are setting up something in Abu Dhabi.

Vimal Katta: Yes, somewhere around 30,000 ton has been what I believe has been in line basically, is a multideal basically. I assume this is one of the largest in SS segments.

Vikas Singh: Sir, have we got all their approvals for the new SS plant in the domestic market or there are still the approvals pending and would take time, so also in terms of you said recently, there would be some time before we start exporting also, so just wanted to understand what is the timeline we are looking at?

Manoj Sanghvi: No, that process is an ongoing process and in another 2-3 years, we will have all the opportunity.

Vimal Katta: And in case of this Tubacex, they have secured the orders related to upstream gas extraction for a gas extraction where right now we are not present, it will take some time, because right now mainly we are on the downstream project, application products, upstream can be

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manufactured, but it will take some time because for us that will be a newer segment, so may be in next 2 to 3 years' time, we may have that product range also available with us. Again, if you can recollect when we started first discussing about the new facility we have said that the same facility can manufacture deep drilling application products also because as you go deeper, normal Carbon Steel Stainless pipes are replaced with Duplex or Duplex sort of steel, so it will take some time.

Moderator: Thank you very much. Our next question is from the line of Abhijeet Bora with Sharekhan. Please go ahead.

Abhijeet Bora: Sir, I have 2 questions, firstly, last time you guided for 20 to 25% revenue growth, this time you are guiding a lower growth, any specific reason for that?

Manoj Sanghvi: No, some price correction has happened in the Steel and Stainless-Steel segment, but it is close to 20% still.

Vimal Katta: We should be in that vicinity, vicinity over there 3800 crores anyway it will be higher than

20%.

Abhijeet Bora: Sir, can you repeat it again, I couldn't hear you?

Vimal Katta: See, looking to performance of first quarter and outstanding order book position which is there and

the turnovers which we might have achieved in July keeping the run rate of Rs. 300 Cr minimum, so we should be in that range of Rs. 3,800 crores sort of things which anyway will be more than 20%.

Abhijeet Bora: And secondly, my understanding is that whatever there is a change in the raw material cost that is a passthrough for you. You mentioned in the opening remark that it was one of the reasons for the lower margin and when you talk about product mix change, can you just throw some more light on what was this change which impacted the margin?

Manoj Sanghvi: So, product mix is one if the proportion of carbon steel price substantially changes, then the margins can shift by a percent or two, so that is the product mix and even within the particular product, so within the carbon steel, if helical increases to a great extent then LSAW and ERW, then our margin might sink a little bit. Similarly, in Stainless Steel also if some high value added products proportion of that goes down and welded pipes, for example, general welded pipes goes up so, within Stainless Steel, within Carbon Steel also the margins varies from product to product, so that mix if it changes, we try to remain and the mix is such that we achieve somewhere between 15 to 18%.

Vimal Katta: See quarter-on-quarter performance keep on fluctuating, we have earlier also seen that it might come down 2% it may go up to 20% also, but on average yearly performance should fall within that range.

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Abhijeet Bora: The bid pipeline which you are looking at across sectors, oil and gas, water, I missed on the earlier part if you have explained it? New orders pipeline in which we are bidding for or we have bid for?

Manoj Sanghvi: As I commented earlier, in water there is roughly 250,000 tons to be finalized in Gujarat, about 110,000-120,000 tons to be finalized in Rajasthan and there is of course 200,000 to 300,000 tons to be finalized in MP. We are considering for water only these 3 states because of the proximity. Then in oil and gas, we have about 100,000 tons of projects which tenders have been submitted and results are awaited. Then there is a demand from approx 20,000 to 25,000 tons of pipes required for City Gas Distribution from various private players and public sector unit. So, of that, we feel that of course 10,000 to 15,000 tons of ERW pipes we can secure and on the LSAW and on stainless steel, a lot of process pipes for LNG and pipes for refineries. So, we have seen a lot of requirements from there. In exports, we have seen requirements for small diameter tubes. And some projects, because Russia also had a good amount of pipe making capacity and they were supplying to a lot of projects in Europe, but because of the sanctions, they are no longer able to supply. So, we have seen few enquiries and rather one of them we converted to order also for Europe.

Moderator: Thank you. Our next question is from the line of Anirudh Shetty with Solidarity Investment Managers. Please go ahead, sir.

Anirudh Shetty: I had 3 questions. So, just a push on this point or on what is happening in Russia, given that Europe is so dependent on Russia gas and they are looking to derisk and that might entail more expansion in LNG terminal set ups and all that is required, do you see business opportunity for Ratnamani because of this CAPEX they might be to incur and are you seeing more enquiries coming on that front?

Manoj Sanghvi: On Russia, as I informed earlier Russia has a huge pipe making capacity that is Carbon Steel and Ukraine has a good amount of Stainless-Steel Pipe making capacity. So, both of them is disturbed because of the war situation and Russia because of sanctions, the flow of enquiry and even the finalization both for Stainless Steel and Carbon Steel, we have seen going up. Good traction is seen from Europe. Now, going for

ward, yes, a lot of countries will start working on reducing the dependency on Russia. So, where easiest is bringing the LNG and once the LNG is brought into the country to get it to the storage tank, stainless steel pipe is the only solution, so we will see a good demand coming for stainless steel pipes for that going forward.

Anirudh Shetty: Is there also an opportunity, there is always China Plus One, now there could be a Russia-Ukraine Plus One, could that be a Europe Plus One opportunity for us? The power cost in Europe is going up, would that impact the cost effectiveness of European players which would leave us better position to gain market shares from them, is that also an opportunity?

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Manoj Sanghvi: Yes, definitely that opportunity, not only the cost going up, but even supply is an issue for them right now, to get gas a lot of industries are suffering. So, that is why in other markets also we will definitely see a lot of traction.

Anirudh Shetty: Sir, my final question is I wanted to understand the true useful life of our fixed assets, so if I look at our plant and equipments and all of that what would the useful life be and what is the depreciation life for that today?

Vimal Katta: See, roughly you can take around 20 to 25 years as useful life for various items of plant and machinery. It depends on different plant and machines also. So, that is how it is there.

Manoj Sanghvi: Yes, but a lot of up gradation, maintenance, modification continues. So, every second year, third year, electrical definitely would change, but mechanical can go for much longer than 25 years also, like steel, nothing would happen to steel for 25 years.

Anirudh Shetty: Sir, just to clarify 20 to 25 years is the life over which we depreciate this asset, but you are saying that the mechanical part can actually last much longer, so the actual useful life is longer than this 20-25?

Vimal Katta: Yes, the actual life depends on how the under mentioned items are maintained. If we talk of our earlier investment in hot extrusion facility that plant was of 1960s vintage. ERW mill what we are right now using that is also 1960s, so a lot depends on these things, how are you maintaining.

Manoj Sanghvi: But that of 1960 if you see all the electrical and some mechanical also have been completely changed to the later generation and except for the steel nothing is old?

Vimal Katta: So, as a policy, we depreciate our plant and machines for a period of 20 to 25 years based on the inputs from our technical team and then of course, maintenance CAPEX keeps on happening and usually these undermentioned items will last for a much longer time period than these 20-25 years. So, we have our plant and machine items which have been in book depreciated fully, but they are working as good as new ones. The fact is that our existing process pipe facility will be more or less 80 to 90 % depreciated but is contributing almost 300 to 400 to the topline with a very good margin.

Anirudh Shetty: And one final question is what is the critical maintenance CAPEX in our business and how is that accounted for result taking through the P&L or do we capitalize it?

Vimal Katta: No, it is part of Profit and Loss account only under repairs and maintenance. It would be hardly any may be anything around Rs. 40 Cr maximum, Rs. 40 Cr product mix.

Moderator: Thank you. We will go ahead with the other question. Our next question is from the line of Radha Agarwal with B & K Securities. Please go ahead.

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Radha Agarwal: Sir, my first question to you is previously we have spoken about Cauvery Basin Refinery, so is there any visibility on obtaining order from the same and what could be the size of opportunity for SS pipes from them?

Manoj Sanghvi: The

re is no further development on that right now, so it was still to be awarded for feed but it is not yet awarded.

Radha Agarwal: Sir, also if you see in the last 5 years, the stainless steel volumes has been pretty flat in the range of about 21k, so by when do we see that the volume itself start picking up significantly and how confident are we in filling the stainless steel capacity for the next 3 to 4 years?

Vimal Katta: Here increasing volume is very easy, but then value addition will take a hit. Basically, if you might have heard me in this call earlier, focus has been on the higher value added products which may not give you the tonnage, which may not contribute significantly to the volume, but value addition will continue to be good. So, focus continues in that direction. A lot of investment on development of import substitute products and higher value-added products has been going on continuously and that is the reason that we have been in a position to withstand market volatility in a much better way in last couple of years' time. So, going forward also, we may not see volumes increasing significantly even if the existing hot extrusion facility is utilized optimally and also we will try to have those products hot extruded which are exotic in nature, which are import substitute products where not many players are there, competition is less, so that our position is safeguarded and we continue to enjoy an edge and the distance between ourselves and our nearest competitors.

Radha Agarwal: Sir, just one last question, forgive me if it is a repetition because the line was scratching, so could you give me some idea on the project wise opportunity like CGD projects and water segment, what is the present opportunity that you see in that and in the upcoming CGD project, which round working is going on, like round 5 to 10?

Manoj Sanghvi: No, CGD 11th round was over. So, next I think will come after may be 5 or 6 months, but a lot of geographical areas are already awarded. So, CAPEX for those geographical areas is being planned and eventually, the network has to be increased by the existing players, so the demand

for CGD will come from there. Water: Gujarat, Rajasthan and MP, we have already said 300,000 to 400,000 tons already under bidding and oil and gas, we have already submitted close to 100,000 tons of tender for which result is awaited.

Moderator: Our next question is from the line of Pujan Shah. Please go ahead.

Pujan Shah: Actually, just one question, this order book which we have been setting up to, what is the execution figure for this like 6 months or so?

Manoj Sanghvi: In current financial year.

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Moderator: We have one question from the line of Mr. Hirenkumar Desai. Please go ahead.

Hirenkumar Desai: The question is, somebody in the management mentioned about improving demand outlook because of Russia and Ukraine issues, are we observing something similar because of lockdowns in China, because of COVID etc., and in what kind of impact are we seeing?

Manoj Sanghvi: No, lockdowns in China were there earlier, but everything has opened up now.

Hirenkumar Desai: China is more or less able to produce whatever they want to export or whatever?

Manoj Sanghvi: And lockdown were more within the city or some areas. For industrial areas, there were no major lockdowns, only thing the supply chain was little disturbed, but now back in line.

Moderator: Thank you. Since there are no more questions, we have come to the end of the question-and-answer session. I would now like to hand the conference over to Mr. Sahil Sanghvi for closing comments. Please go ahead, sir.

Sahil Sanghvi: Thank you, Jitendra. I just want to thank the entire management of Ratnamani Metals for patiently answering on the questions and on behalf of Monarch Network, I would also like to thank all the

participants for joining in the call. Manoj sir, would you like to give any closing comments?

Manoj Sanghvi: Thank you, everyone. I would just like to say that with recent correction of prices, good monsoons and still no signs of major demand destruction. Our utilization is expected to remain better and we may remain in our target of growth trajectory which is what 20% what we expect as we been maintaining over a long period. So, we are confident that we will remain around that number. We thank you all the participants to attend the call and patience for hearing.

Thanks.

Moderator: Thank you. On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

RMTL/SEC/POST-TRANS.CON-CALL/Q2/2022-23 November 16, 2022

BSE Ltd.

Corporate Relationship Department

1st Floor, New Trading Ring,

Rotunda Building, P. J. Tower,

Dalal Street, Fort, Mumbai – 400 001

Company Code : 520111 National Stock Exchange of India Ltd.

“Exchange Plaza”, 5th Floor,

Bandra – Kurla Complex,

Bandra (E),

Mumbai - 400 051

Company Code : RATNAMANI

Subject: Transcript of the Investor Conference Call post Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended on September 30, 2022

Dear Sir/Madam,

We, vide our letter dated November 9, 2022, had intimated to the Stock Exchanges about the schedule of the Investor Conference Call on Friday, November 11, 2022 post Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended on September 30, 2022 and future outlook of the Company's business.

The Conference Call recordings have already been uploaded on the website of the Company and a link was provided vide our letter dated November 12, 2022.

We, now enclose a copy of the Transcript of the Investor Conference Call which took place as scheduled. The said transcript is also being uploaded on the Company's website at www.ratnamani.com.

The Company has referred to publicly available documents / information for discussions during the interaction in the Conference Call and no Unpublished Price Sensitive Information were shared during the Conference Call.

Kindly take the above on your record.

Thanking you,

Yours faithfully,

For, RATNAMANI METALS & TUBES LIMITED

ANIL MALOO

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

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“Ratnamani Metals & Tubes Limited
Q2 FY „23 Earnings Conference Call ”
November 11, 2022

MANAGEMENT : MR. PRAKASH SANGHVI – MANAGING DIRECTOR AND
CHAIRMAN – RATNAMANI METALS & TUBES LIMITED

MR. MANOJ SANGHVI – BUSINESS HEAD – RATN AMANI
METALS & TUBES LIMITED
MR. VIMAL KATTA – CHIEF FINANCIAL OFFICER –
RATNAMANI METALS & TUBES LIMITED .

MODERATOR : MR. SAHIL SANGHVI - MONARCH NETWORK
CAPITAL

Ratnamani Metals & Tubes Limited
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Moderator: Good day, ladies and gentlemen, and welcome to the Q2 FY '23 Earnings Conference Call of Ratnamani Metals & Tubes Limited, hosted by Monarch Network Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Thank you, and over to you, sir.

Sahil Sanghvi: Hello, thank you, Michelle. So good afternoon to everyone. On behalf of Monarch Network Capital, we welcome you all for the Ratnamani 2Q FY '23 earnings call. We are delighted to host the management of the Ratnamani Metals today. And from their side, we have Mr. Prakash Sanghvi, MD and Chairman; Mr. Manoj Sanghvi, who is the Business Head; and also Mr. Vimal Katta, the Chief Financial Officer.

So without taking much time, I'll hand over the call to Mr. Manoj Sanghvi for the opening remarks. Thank you, and over to you, sir.

Manoj Sanghvi: Yes. Thank you, Sahil. Yes. Good afternoon to all the participants. I welcome you all to this call and hope everyone is doing good. Our results for the second quarter of FY '23 have already been uploaded on the exchanges. And I believe everyone has a good chance to go through it. As you all past few months, prices of steel has been broadly stable, resulting into resurgence of stalled projects. Further decline in the commodities may auger well for the infrastructure demand and more traction may be expected in both CS and SS segment. The developed economies are still facing high inflation, resulting in high interest rate outlook compared to our country, which still reflecting strong macroeconomic scenario. Various expansion projects across refineries and process industries are likely to help us maintain the capacity utilization and order flow. The traction of specialty pipes and tubes is visible owing to higher energy prices also.

Since you all are well updated on the various schemes in water pipes and oil and gas transmission lines and opportunities arising thereof, I would like to straight away touch upon the quarterly financial numbers and business update in brief, and then we can take the questions.

So on the operating revenue, it has increased by 26% year-on-year and is marginally down by 8% on a sequential basis, whereas on EBITDA, there is an increase to INR 154.77 crores from INR 120.50 crores. We are also confident to maintain the guidance of top line of INR 3,800 crores to INR 4,000 crores in the given financial year, with an EBITDA estimate of 15% to 17%. Our order book as on 1st October 2022 is INR 2,946 crores, which as of 1st November is roughly INR 3,200 crores. Our focus is to continue to be the leader in stainless steel specialty products and keep on expanding our existing lines of business, both vertically and horizontally. Ratnamani Metals & Tubes Limited
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And for the purpose, we have already announced the capex of around INR 180 crores in stainless steel coal finishing facilities as highlighted in May 22 call.

Also with a view of having carbon steel pipe manufacturing facility in the eastern part of the country, we have announced a capex of roughly INR 150 crores. Both the projects are more or less progressing as projected. However, there might be some delay in capex of carbon steel pipe manufacturing facility in the eastern part of India, which is considering the recent order what we received in Rajasthan and some equipments are being shifted over there.

Now with regard to the transaction to acquire majority stake in Ravi Technoforge Private

Limited, Rajkot-based company, for which definitive agreements were executed on 5th

October 2022, I would like to update you all that the acquisition for the first trench that is 53% is completed. We have already provided details about the transaction structure on the exchanges.

In order to add a new growth driver, both domestically and globally, with a blend of diversification, the company has poured into this line and have decided to acquire majority stake at RTL. This will also help us to explore new segments, markets and products. We are well positioned to leverage our managerial, technical and financial capabilities to scale its operation, making it more sustainable and further create long-term value for the shareholders. To conclude, I would like -- I would once again emphasize that our philosophy has always been to consider any decision on the long-term vision keeping sustainability and value creation in its core. That's all on our side.

Now I would like to invite questions, please.

Moderator: We have the first question from the line of Ashutosh Tiwari from Equirus Securities.

Ashutosh Tiwari: Yes. So congratulations on good set of numbers. Firstly, on this stainless steel side, especially on export, how are -- what kind of demand are we seeing? Are we, let's say, whether you talked about two, three years back in terms of export opportunity with this new plant? Is it happening on the same line that we are getting more on exports and also domestic market is the important situation happening now. So how should we look at the stainless steel plant utilization level going here on two, three years?

Manoj Sanghvi: So on your first part, on the export side, we are seeing traction. The order book also, it will be is at the highest level both for stainless steel as well as carbon steel. So order inflow, both domestically as well as for exports, the inflow is increasing at a gradual pace.

Ashutosh Tiwari: So I mean in what time frame are we probably wish to utilize this 24 kilotons of Hot Extrusion facility?

Manoj Sanghvi: So this year, it is 20% to 30% utilization. And in three years we will be able to utilize maximum capacity

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Ashutosh Tiwari: Two, three-years, timeframe?

Manoj Sanghvi: Yes.

Ashutosh Tiwari: And will it be largely done from domestic markets. And we heard initially you talked about distributors also we are passing -- so how would the sales volume ramp up if you can throw some color on that?

Manoj Sanghvi: It will be a mix of export as well as domestic and also end users will be projects as well as distributors.

Ashutosh Tiwari: And on domestic side, let's say, which projects are especially the ones where we are looking at more volumes in both carbon steel and stainless steel.

Manoj Sanghvi: So for both carbon steel and stainless steel, a lot of oil and gas projects are there. Reliance also recently announced petchem expansion in the West for INR 75,000 crores. So there, of course, the design is going on right now. So we expect a good amount of carbon steel process pipe, and stainless steel pipe orders. Then for all LNG expansion, a lot of stainless steel welded pipe will be required and for carbon steel, of course, oil and gas and other than oil and gas, a lot of traction is seen on the water segment also for Gujarat projects.

Ashutosh Tiwari: The last that we have won was a lifetime record largest order

Manoj Sanghvi: Last major order what we had was one single order, which was for Rajasthan where we are installing a mill. So currently, we are supplying close to 10%, 15% from our plant in Kutch.

That will be manufactured in Rajasthan and supplied from there.

Ashutosh Tiwari: And Gujarat also we know some project, there is no finalization is it?

Manoj Sanghvi: Yes. So there were three big projects, which is called Sauni Yojna

. So those projects will lead

to some quantities that will be finalized within this month.

Ashutosh Tiwari: So I think for few quarters you provided the pipeline how much you bid for. Can you provide the number how much you bid for that is now in, say, oil and gas and water and a few other segment also? Bidding that you've done already.

Manoj Sanghvi: Stainless Steel, the quotes are very, very small in nature. So it is very difficult for me to highlight one particular project and say INR 100 crores project. But yes, carbon steel like Sauni itself is 2.5 lakh tons. Then there is Gujarat Water Infrastructure Limited, they have few projects. So all put together, right now, close to 3,00,000 tons, which would be close to INR 3,000 crores for water is under consideration in Gujarat. And then we have few projects in Rajasthan and Punjab also. So now that we have a mill over there in Rajasthan, we might have some advantage for the projects in Rajasthan also.

Ashutosh Tiwari: So where you've located this mill?

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Manoj Sanghvi: This mill will be near Jodhpur.

Ashutosh Tiwari: And what about Punjab? Like Punjab you talked about.

Manoj Sanghvi: So there is one project which is coming in Ludhiana, so which is if you see proximity from Kutch to Ludhiana, of course, Jodhpur or Fauladi where this plant will be is much nearer. So our chances of getting better realization as well as the order increases.

Ashutosh Tiwari: And on the oil and gas side, what kind of units we have like what we bid for our pipeline in other tons?

Manoj Sanghvi: Right now, some few projects of IOCL are there. No major big project is there, but there are various small, small projects CGD requirement is there. IOCL has got two projects, one down south and one in the East, which is under bidding. Then there is one line of BPCL, which is there under bidding. So all put together close to between 75,000 tons to 100,000 tons in oil and gas.

Ashutosh Tiwari: Just on the water side, historically, water has been low order segment, but because now we're talking about big projects coming up, is it possible that the margins in water can improve or we should not assume that?

Manoj Sanghvi: Yes. In Kutch maybe it remains difficult a little bit, but with the advantage of geographical location, yes, margins can increase.

Ashutosh Tiwari: And last one is the Ravi Technoforge side, can you provide some colour that how we probably are looking at go to next two to four year period? And what kind of margin improvement, a cost-cutting opportunity used over there?

Manoj Sanghvi: So right now, at Ravi, the sales revenue for last year was close to INR 280 crores with an EBITDA margin of close to 14%. So we plan in next two to three years to have a revenue of INR 500 crores to INR 600 crores. And improving EBITDA margin by 200 basis points, approximately 2% close to 16%. And with the strength of Ratnamani and with the infusion done by Ratnamani, it seems to be possible.

Ashutosh Tiwari: And what would the mix of export and domestic for them as of now?

Manoj Sanghvi: 30% is export and 70% is domestic. But if you see the final bearing, which is manufactured, maybe it is total export is 60%.

Moderator: We have the next question from the line of Hirenkumar Thakoral Desai, an Individual Investor.

Hirenkumar Desai: Congratulations on a good set of numbers, sir. The question is the oil prices are remaining firm. So can we assume that all the investments that are being planned in refining and everywhere where our products go are continuing? That's the first question.

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Manoj Sanghvi: Yeah. Thank you. So, yes, with oil price remaining at this level, of course, there -- we have seen that new projects are being announced. Not only, that but the old pr

jects, which were

stalled, revival is seen again. Now question is whether it takes six months or 12 months for them to complete the feed and then float the first MTO.

Hirenkumar Desai: Sir, the second question is related to export opportunities. So as we -- most of us are aware, the energy prices are rising in euro, et cetera. And some, kind of, restrictions in China. Are we getting some improvement in terms of export opportunity? And if yes, are we ready to use them in terms of capacity?

Manoj Sanghvi: Yes. So we are seeing benefits of that. In the last call also, I had mentioned that some orders, which were being manufactured in Russia or Ukraine are being diverted to other countries.

Similar one order for carbon steel, we had received. Similar for stainless steel also, a lot of orders from Europe or other geographies, we have started receiving.

Hirenkumar Desai: So, I mean, what kind of a difference that can make in terms of our growth opportunity?

Manoj Sanghvi: Difficult to say, but yes, of course, our margins can improve, because right now, this is a new market, which has opened up. So because of constraints from supply -- supply from Ukraine or Russia to Europe. So we have more opportunities now, where in Europe earlier, some customers who were buying from these markets have, in turn, come to us. And once they experience the quality, the product and the services and we have had repeated customers. So once they place an order with us, we feel that, again, if those markets start -- still some percentage of customers will remain with us.

Hirenkumar Desai: That's good to know. And any effect in terms of China, restrictions being there in China?

Manoj Sanghvi: No. As such, we have no major raw material or anything coming from China. So there is no major impact to us.

Hirenkumar Desai: And not much of a threat in terms of imports from China, right?

Manoj Sanghvi: No, not much of a threat also. And in between stainless steel anti-dumping is already recommended. So as soon as the Finance Ministry approves, the further threat will be curtailed.

Moderator: We have the next question from the line of Manoj Bahety from Carnelian Asset Management.

Manoj Bahety: Sir two, three questions from my side. One is, as you just mentioned that right now, your hot extrusion is operating at around 20% to 30% capacity utilization. And in your overall product mix also, I believe that SS proportion is small. And as we move ahead, it can be used up. So just wanted to understand that as the capacity utilization of hot extrusion moves up and as the composition of SS will keep increasing. So can we expect a steady increase in EBITDA margins going forward? And if you can help us with what that range would be, in fact, if you
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can also explain that what is the difference between margins on pure SS and hot extrusion vis-à-vis? That will be helpful, sir.

Manoj Sanghvi: That product-to-product margin is very difficult to annualized because within stainless steel also, you would have some products where margins are low. And some products, which go to defense or other aerospace sector where margins will be very, very high. So on the margins, it is very difficult. On a broader picture, yes, the revenues for stainless steel will go up. We have with the existing capacity, we have potential to go up to INR1,500 crores, INR1,600 crores. And eventually in the next two years, when there is optimum utilization of capacities for extrusion, we will reach there. But at the same time, because we will have distribution market, we will have projects, so the blended margin will remain around at 15% to 17% EBITDA level.

Manoj Bahety: And sir, where are we right now, as you mentioned that assets will ultimately move to INR1,500, INR1,600 over the next two years, where are we right now?

Manoj Sanghvi: Where are

we, as group, we are at...

Manoj Bahety: In terms of SS, you cited INR1,500 crores, INR1,600 crores. What is the current number, sir?

Manoj Sanghvi: This year of our revenue 30% to 35% will be SS.

Manoj Bahety: 30% to 35% will be SS. So broadly around INR1,100 crores, INR1,200 crores is SS, right?

Manoj Sanghvi: Yes, yes.

Manoj Bahety: Which will move up to INR1,500, INR1,600. So big delta will come with the capacity utilization of hot extrusion, which will ultimately be to some extent, mitigated the increase in the project-based revenue. That's what you are mentioning, right, sir?

Manoj Sanghvi: No, I could not understand your question.

Manoj Bahety: So you mentioned that whatever margin expansion, which will happen because of the scale off of hot extrusion and because of the increased proportion of SS, that will be, to some extent, neutralized by a higher proportion of project revenue, which will be lower margin. Is my understanding correct?

Manoj Sanghvi: No, no. So we have two major capacity utilization, which will happen in next two years. One is stainless steel extrusion, and other is line pipes or project pipes.

Manoj Bahety: Right, right, right.

Manoj Sanghvi: Okay. So stainless steel, of course, within stainless steel also because to utilize the capacity -- optimum capacity of extrusion, you will have to supply two projects directly to the end user, where margins will be reasonably good. But you have to alternatively also supply to distribution network where margins might not be as good as we supply to the end user.

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Manoj Bahety: Okay.

Manoj Sanghvi: And then we have also line pipes and project pipes. So there also line pipe margins are a little different than what it is in the project pipe. So blended both put together, we can achieve 15% to 17%.

Manoj Bahety: 15% to 17%, right, sir. And my second question is, is there a scope of extending hot extrusion to some other product segments also? Like, right now, we are doing only for pipes and all. So is it possible to use this capacity for some other products also?

Manoj Sanghvi: No. It can be used for pipes only. But yes, pipes, then by adding certain equipment, we can explore another market. So that is -- that study is going on right now.

Manoj Bahety: Okay, okay. And sir, last...

Manoj Sanghvi: Like exploration market, we've seen that these pipes go, but there is further investment and

equipment we need to add.

Manoj Bahety: Okay, okay. But mainly, it will be into pipes only or other products also. Like exploration, again, it will pipes only, right?

Manoj Sanghvi: It is all pipes only.

Manoj Bahety: It will be only pipes, right?

Manoj Sanghvi: Yeah.

Manoj Bahety: And sir I have one another question, which is mainly on the capEx part. So I think the current capacity, we will be able to utilize in next one year. So if you can talk about future expansion, capital allocation, organic, inorganic. So looking at the opportunities we are seeing across various segments, so some perspective on that will be helpful sir?

Manoj Sanghvi: As already informed in my opening remarks, two major expansions is already planned. One is for stainless steel cold finishing. Another is for spiral -welded pipe plant along with coating in the eastern part of India. So these two together is roughly INR300 crores to INR350 crores.

And then, of course, we have inorganic, we have invested in Ravi. Already INR50 crores have been pumped into the company. So that will also be utilized for expansion over there.

Manoj Bahety: Okay.

Manoj Sanghvi: Yeah.

Manoj Bahety: But sir looking at the cash flows, which we are making. Don't you think that this INR300 crores, INR350 crores, INR50 crores is too small, right? Looking at the, I mean, now the quantum of free cash flows, which we are generating?

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Manoj Sanghvi: So we are working on various things, various organic opportunities, various greenfield projects backward, forward. So as and when the time is right, we will let you know.

Moderator: We have the next question from the line of Abhishek Ghosh from DSP Mutual Fund.

Abhishek Ghosh: Yeah. Sir, I'll just repeat my question. So for these two projects that you all are doing in terms of the spiral plant in the east and the coal finish facility for the SS part of it, for which you said INR300 crores to INR350 crores will be the capex. What should be the broad asset turn that one should assume from these two projects whenever they stabilize and get to optimal utilization?

Manoj Sanghvi: 1.5 to 2x.

Abhishek Ghosh: 1.5 to 2x. And you believe what will be the broad time lines for these projects to get commissioned?

Manoj Sanghvi: Stainless steel by end of next financial year. And carbon steel, we will update you in another three to six months, the timeline because that might get a little delayed considering what is happening in Rajasthan right now.

Abhishek Ghosh: And the margin profile will be similar to what you make -- what you usually do for the current business, 15% to 17%. Would that be the right assumption?

Manoj Sanghvi: Both put together, yes. But if you say carbon steel alone, maybe less because it is only spiral welded pipes, right, so.

Abhishek Ghosh: And sir, just one more thing. You've guided for about INR 3,800 crores to INR 4,000 crores of revenue in FY '23. That is already factoring in the sharp decline in steel prices that we have seen, is it?

Manoj Sanghvi: Yes. That is after factoring in the declining we've seen.

Abhishek Ghosh: And from there on, is it fair to assume that on a volume front because one doesn't know how the commodity prices behave, but a 10% kind of volume growth, given the ramp -up of SS facility and the line pipe facility that you have put up, 10% to 15% of volume growth, is it a fair assumption to make from on FY '23 levels?

Manoj Sanghvi: Yes. Our target is always close to 15%. 15% to 20%, but with the base increasing now 10% to 15%, yes, we can consider.

Abhishek Ghosh: Sir, the other thing is, your export as a proportion, if I just broadly look at the order is broadly hovers around anything in the region of 15% to 20%. But what is happening around the globe in terms of given the higher energy prices and realignment of pipeline capexs. Do you think this export, which is 15% to 20% of overall order backlog can see meaningful shift? Or is it likely to remain in the same zone? Any thoughts, sir?

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Manoj Sanghvi: It would remain close to 25% at max.

Abhishek Ghosh: So you're seeing traction both in exports and domestic?

Manoj Sanghvi: There's one major project for carbon steel, if we receive, then you can see a major shift. But then a majority of our exports is for stainless steel. And at times for a few projects, we get carbon steel.

Abhishek Ghosh: Sir, but your exports margins, are they meaningfully different from that you get in domestic because of the rupee depreciation and other things, do you enjoy better margins there?

Manoj Sanghvi: No. Margins are similar only. And as per the policy hedge or a natural hedge whichever is there is already there. So we are not playing on the currency risk or gain.

Abhishek Ghosh: So margins are similar. It's just that it gives you more of operating leverage and more diversification from the domestic market?

Manoj Sanghvi: Yes.

Abhishek Ghosh: And sir, I had a question on cash flows, but I think you've already referred to that.

Moderator: We have the next question from the line of Sahil Sanghvi from Monarch Network Capital.

Sahil Sanghvi: So sir, what would be the capex target to be spent this year and the next

year, if you can give that?

Manoj Sanghvi: Close to INR 125 crores this year.

Sahil Sanghvi: This year. And next year will be similar or?

Manoj Sanghvi: Yes, INR 150 crores, INR 175 crores next year.

Sahil Sanghvi: And the acquisition of Ravi Technoforge, spending for that will be separate, right?

Manoj Sanghvi: Yes, that will be over and above this.

Moderator: We have the next question from the line of Sailesh Raja from B&K Securities.

Sailesh Raja: After three years, we started taking more water-based project order, so of the total order book value of INR 3,200 crores. So currently, what is the contribution coming from water-based projects? And also, how is the margins in this particular project? Usually, the water-based project margins are low actually sub 10% margin. Are you still confident of maintaining that blended EBITDA of 17%, sir? Overall?

Manoj Sanghvi: Right now, our water order would be close to INR 900 -odd crores. And this is spread over until the end of next financial year. So of course, the margins are a little less, maybe not close to 17%. But yes, on a blended level, we will still be able to maintain 15% to 17%.

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Sailesh Raja: So how is the working capital cycle here?

Manoj Sanghvi: Working capital cycle is longer here because of the contractor, the payment term is 180 days from the date of billing.

Sailesh Raja: So my second question, in Ravi Technoforge, any further capex you need to deploy there to achieve that INR 500 crores, INR 600 crores turnover?

Manoj Sanghvi: For achieving INR 500 crores, no further capex is required. But beyond that, yes, we will have to have additional capex.

Sailesh Raja: And do we supply to all MNC companies, like the SKF, Schaeffler, Timken?

Manoj Sanghvi: Yes. SKF, Schaeffler, Timken, NBC, NRB, NACHI. And we are in talks with Exxar. So yes, all major, all top-bearing manufacturers are the customers.

Sailesh Raja: So how much of revenue comes from these MNCs?

Manoj Sanghvi: 75% comes from three or four top-bearing manufacturers.

Sailesh Raja: So any plans to add more products, sir, in this company?

Manoj Sanghvi: Yes. Work is in progress. We will update on when it shaped out.

Moderator: We have the next question from the line of Vikas Singh from PhillipCapital.

Vikas Singh: Sir, I just wanted to understand, our bid book at this point of time. And if you could give us some color on our order book has been increasing much faster than peer. So going forward, what contributed to it? And how do you see this to move going forward?

Manoj Sanghvi: Sorry, can you repeat your question, please?

Vikas Singh: So firstly, I wanted to understand your bid book at this point of time. And second question was that our order book addition has been faster than some of the peer. So just wanted to understand is that because everybody got the same CS segment I'm talking about, same kind of product. So what contributed to it? Are we taking a little bit of margin hit in order to initiate more volumes? Or things are different, if you could give us some insights into it?

Manoj Sanghvi: No margin hit, we are not taking.

Moderator: Sorry to interrupt. Sir, on the management side, your voice is breaking. Can you please repeat the last line what you are trying to say?

Manoj Sanghvi: Yes. What I meant to say is there is no margin hit that is being taken. But we are trying to play on our strengths like we had one mill, which could go to Odisha, right. But then we had opportunity in Rajasthan and thereby, the freight, which would have been paused for anybody else has been converted partially into our margin.

Ratnamani Metals & Tubes Limited

Moderator: Mr. Singh, any further questions?

Vikas Singh: I have actually lost the last part of the conversation, actually, and the bid book is still pending

at what kind of the bid book we are holding right now in the carbon steel segment?

Manoj Sanghvi: Bid book. So bid book, I already clarified in the first question itself, that close to INR 3,000 crores are under bidding in water segment, INR 1,000 crores, INR 1,500 crores in oil and gas segment, domestic. And there are some international projects which are also under bidding.

Vikas Singh: Sir, one more thing regarding one of your international competitors, Tubacex, which has posted one of the best results since inception. So just wanted to understand, basically, is that a company specific phenomena? Or globally, the demand has been now picking up pretty fast and we would also eventually get benefit from it?

Manoj Sanghvi: For stainless steel, yes, we are seeing increased demand, which is also reflected in the order book. So if you see the order book is also at the highest level, close to INR 3,200 crores. And for the last five, six months, it has been over INR 3,000 crores, in spite of lot of dispatches happening. So yes, the order inflow has increased.

Moderator: As that was the last question for today, I would now like to hand the conference over to Mr. Sahil Sanghvi for closing comments.

Sahil Sanghvi: Yes. Thank you. Thank you all. We would like to thank the management for basically answering all the questions and also all the participants for joining the call. Manoj sir, would you like to give any closing comments?

Manoj Sanghvi: Yes, I would like to, thank all the participants for attending the earnings call and having the patience of hearing me out. And any questions from the investors can always be entertained by e-mail also. Thank you.

Sahil Sanghvi: Thank you.

Moderator: Thank you. On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

RMTL/SEC/POST-TRANS.CON-CALL/Q4/2023-24 May 15, 2023

BSE Ltd.

Corporate Relationship Department

1st Floor, New Trading Ring,

Rotunda Building, P. J. Tower,

Dalal Street, Fort, Mumbai – 400 001

Company Code : 520111 National Stock Exchange of India Ltd.

“Exchange Plaza”, 5th Floor,

Bandra – Kurla Complex,

Bandra (E),

Mumbai - 400 051

Company Code : RATNAMANI

Subject: Transcript of the Investor Conference Call post Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended on March 31, 2023

Dear Sir/Madam,

We, vide our letter dated May 8, 2023, had intimate d to the Stock Exchanges about the schedule of the Investor Conference Call on Thursday, May 11 , 2023 post Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended on March 31, 2023 and future outlook of the Company's business.

The Conference Call recordings have already been up loaded on the website of the Company and a link was provided vide our letter dated May 11, 2 023.

We, now enclose a copy of the Transcript of the Inv estor Conference Call which took place as scheduled. The said transcript is also being upload ed on the Company's website at www.ratnamani.com .

The Company has referred to publicly available docu ments / information for discussions during the interaction in the Conference Call and no Unpub lished Price Sensitive Information were intended to share during the Conference Call.

Kindly take the above on your record.

Thanking you,

Yours faithfully,

For, RATNAMANI METALS & TUBES LIMITED

ANIL MALOO

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

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“Ratnamani Metals & Tubes Limited
Q4 FY '23 Earnings Conference Call”
May 11, 2023

MANAGEMENT : M R. MANOJ SANGHVI – BUSINESS HEAD -CS –
RATNAMANI METALS & TUBES LIMITED
M R. VIMAL KATTA – CHIEF FINANCIAL OFFICER –
RATNAMANI METALS & TUBES LIMITED .

MODERATOR : M R. SAHIL SANGHVI - MONARCH NETWORKTH
CAPITAL

Ratnamani Metals & Tubes Limited
May 11, 2023

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Moderator: Good evening, ladies and gentlemen, and welcome to the Q4 FY '23 Earnings Conference Call of Ratnamani Metals & Tubes Limited, hosted by Monarch Networkth Capital. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Networkth Capital. Thank you, and over to you, sir.

Sahil Sanghvi: Thank you, Yashashree. Good Evening to all. On behalf of Monarch Networkth Capital, we welcome you all for the Ratnamani Metals Q4 FY '23 Earnings Call. We are delighted to host the management of Ratnamani today. And from their side, we have the Business Head - Carbon Steel, Mr. Manoj Sanghvi and CFO, Mr. Vimal Katta. So without taking any much time, I will hand over the call to Mr. Manoj Sanghvi for the opening remarks. Thank you, and over to you, sir.

Manoj Sanghvi: Thank you. Thank you, Sahil. Good afternoon to all the participants. I welcome you all to this call and hope everyone is doing good. Our results for Q4 and full year of FY '23 have been uploaded on the exchange and I believe you all had the opportunity to go to the same. If you see on standalone basis, our company clocked its best ever performance in FY '23, with the top line and profitability at historic highs, both crossing INR4,400 crores and INR500 crores, respectively. The operating margins were broadly in line of our guidance provided last year and less a bit towards the higher side of the band due to the product mix and stable input prices. As you all know, in the past few months, prices of steel have been broadly stable, resulting into resurgence of stalled projects leading to good demand across all segments in the previous year. Expansion across sectors has served mainly in refineries, process industries and core sector, which may all go well for the infrastructure demand and more traction than we expected in demand of both -CS and SS price across the globe.

However, the order visibility in oil and gas transmission lines looks muted in India, vis-à-vis water, but the business traction in the other segments and SS pipe and tube continues to remain quite encouraging.

Now I would like to straighten out the quarterly financial numbers and business update in brief and then we can have questions from your side. Our operating revenue has increased 47% year-on-year and up by 36% on a sequential basis, mainly attributable to higher net sales during the quarter.

For the full year, our revenue growth has been 39% with EBITDA of INR793 crores and margin expansion of 130 basis points. Profitability has been around INR300 crores at operating level for the quarter compared to INR200 crores during the Q3 of FY '23. This is mainly because of the product mix, better utilization and operating efficiency.

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We are projecting the top line of INR5,000 crores plus/minus 5% and the margin is expected to remain in line as that of current year with the variation of 2% here and there. The present macro is one condition for maintaining our long-term growth and margin prospects.

So as we begin this financial year our orders on hand, as on 1st April was roughly INR2,600 crores. Further, I would like to brief on few major developments, we wish to inform that we had successfully commissioned the capital solar project of 15 megawatts in the month of March and we expect the same to result into further reduction of carbon emission, and surely our power cost showcasing our orientation towards ESG and sustainability.

y.

Our capex in CS and SS are progressing well now with some initial delays that happened due to land acquisition and longer lead times for machineries. During FY '23, we have continued with our strategy to invest in more specialized products and improving efficiency with focus on technology and infrastructure. Our well calculated and judicious capital allocation in capex and all investments have resulted in very strong balance sheet and would leap to the next level. Now regarding our subsidiary, Ravi Technoforge Private Limited, which has clocked a total revenue of INR245 crores with EBITDA margins of 10.8% and net profit of INR4.5 crores for FY '23. The capex has been underway for capacity and process expansion, automation, cost reduction captive renewable power and same is expected to be completed by the end of September, October '23. We are projecting the top line growth of 15% to 20% with margin expansion of 200 basis points for FY '24.

That's all from my side at the moment. Now if there are any questions, I will be happy to answer them. Thank you.

Moderator: We have our first question from the line of Noel Vaz from Union Mutual Fund.

Noel Vaz: Yes, so in the fourth quarter, what were these sales volumes for the quarter? And at this particular run rate, can it be sustained or annualized for FY '24?

Manoj Sanghvi: I could not hear the first part of the question. Please repeat.

Noel Vaz: Yes. What is the sales volumes for the first quarter? And can the number be annualised for FY24? Thank you.

Manoj Sanghvi: So, the total revenue for the first quarter was approximately INR1,450 crores and yes, we had the capacity to do it, but sustainable over long run quarter-to-quarter basis, it is very difficult since we are in a project-based business. So, we might see INR1,500 crores in one quarter, another quarter can be INR1,000 crores. Again, it can go to INR1,500 crores. But yes, say, INR1,000-plus crores is what is our target, with in one quarter going to INR1,500 crores, INR1,600 crores.

Vimal Katta: I'd like to answer one thing. Total volumes in Q4 were close to 16,000 tons for all our products. And as Manojji has shared, see, in our case, margins are totally dependent on nature of products, product mix, timing, so many factors are there. It is very difficult to say, if performance in a particular quarter can be extrapolated because we are in direct business, order-driven activity.

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So, we always have between 16% to 18% in the range at EBITDA level, which seems to be sustainable over a longer period. Plus/minus 1% here and there may happen in a particular reporting period, and that should be there going forward also.

Moderator: We have our next question from the line of Pritesh Chedda from Lucky Investment Managers.

Pritesh Chedda: Sir, can you give the volumes for FY '23? And what would be the capacity utilization on this blended capacity utilization?

Vimal Katta: See total, Pritesh, we did close to 304,000 tons for both the products during FY '23. And on capacity utilization, Manojji will share. We can see in our case, stainless steel seamless would have been optimum, stainless steel welded would have been close to 60%, 65%, newer capacity in stainless steel seamless would be closer to 35%. And on carbon and steel, it has been optimum, ERW has been optimum. HSAW has been optimum. LSAW process pipe older capacity has been optimum and newer capacity will be maybe around 30%, 35% sort of thing.

Manoj Sanghvi: I will end there. segment to segment, it will vary but most of the segments other than newly added capacity, utilization was between 60% and 50%. Only in stainless steel extrusion and LSAW, both were close to 30% utilization.

Pritesh Chedda: You said that SS seamless is 35% and SS welded is 100%?

Vimal Katta: No, no. SS seamless is optimum, cold-finishing okay? Optimum means

we keep close to 80%,

90% sort of things of it. Cold finishing will be around 8,000- 9,000 tons sort of thing. And welded maybe around 50%, 65% sort of thing. Newer capacity has been roughly maybe around 30% only for hot extrusion.

Pritesh Chedda: SS hot is 30% will be. So basically, on the 20,000 ton capacity that you added in FY '23, the capacity utilization is 30%?

Vimal Katta: Yes.

Pritesh Chedda: And as SS seamless, which is your cold, is full capacity?

Vimal Katta: Yes, yes.

Pritesh Chedda: Okay. So basically, in the 48,000 ton, we would have SS seamless of 8, SS welded of 20,000 and SS hot of 20,000?

Vimal Katta: See, SS, whatever we produced from our seamless, some part has gone for cold finishing also. So, if you look at the sellable capacity, that will be even lower because whatever captive we are using, that will become part of the overall capacity only. It will not be available for sale.

Pritesh Chedda: Okay. Is it possible to share in this season 34,000 tons? How much is SS?

Vimal Katta: Earlier we used to share, but since last few quarters, we have taken a conscious call not to share. We can discuss, yes.
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Pritesh Chedda: What is the progress on the capacity expansion that you had planned about INR180 crores in SS and another INR170 crores in carbon steel?

Manoj Sanghvi: Yes. So stainless steel expansion of cold finishing will be over by December of this calendar year or maximum January of next calendar year. For carbon steel, land acquisition and development has already started, and we expect that to happen in first quarter of next financial year.

Pritesh Chedda: Okay. And my last question is sir, there is this antidumping, which has come on hollow pipe, SS hollow pipe and also SS pipe, I think the antidumping duties have been increased. So how does it benefit us in terms of the capacity utilization, if you could share that and the industry at large?

Manoj Sanghvi: Yes. So antidumping on stainless steel seamless pipe had come somewhere in November, December of last year. And since then, we have seen demand increasing, but a lot of it being imported in India was reexported. Where I think that demand for there -- the antidumping does not play any major role. It is still being import. But yes, some demand increase is being seen because of this antidumping.

Pritesh Chedda: Okay. And do we have -- are we 100% backward integrated in hollow pipes?

Manoj Sanghvi: Yes, we have our own mother hollows, but not from melt to finish at the moment.

Pritesh Chedda: Not from?

Manoj Sanghvi: Not from melting them

Pritesh Chedda: So you basically must be buying a bar right and you make your own hollow pipe? Or-billet and you must be making your own hollow pipe?

Manoj Sanghvi: Yes.

Moderator: We have our next question from the line of Pujan Shah from Congruence Advisers.

Pujan Shah: Sir, on a previous concall, we have seen hydro dem and on that part. So currently, I wanted to know on that part as well, what are the situation currently we are facing from the hydro side and how we are looking at the industry for that?

Manoj Sanghvi: Hydrogen or hydro?

Pujan Shah: Yes. I'm talking about hydro power plant.

Manoj Sanghvi: Hydro power plant, no major demand. For hydrogen, still very nascent to comment what kind of pipe will be used and whether stainless steel, carbon steel -- in the process, maybe stainless for transmission, maybe carbon steel that we will come to know once -- going forward, is there a lot of research for the steel is also going on and in the process, whether it can be welded, seamless so those research has been going on.

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Pujan Shah: Okay. And sir, our expectation is that we are speaking about INR5,000 crores top line in next financial year. Currently, we are at around INR4,500. So -- a

nd we have grown around 43% for

this financial year. So why we are eyeing -- like are we being conservative or we are seeing subdued demand in any sector specific?

Manoj Sanghvi: So two reasons, the kind of growth we had for the last financial year is slightly one at a time because the projects were there, demand was there, capacity came in at the same time, so we could capitalize on that. But yes, in this financial year, we see some drop in carbon steel line size demand. So still because of better utilization of other products, we will be able to maintain 10% growth rate.

Moderator: We have our next question from the line of Kunal Shah from Carnelian Capital.

Kunal Shah: A few questions from my side. In the first place, congratulations for such fantastic set of numbers. I wanted to get a sense on the volume growth for the next year and also, we did about 106,000 tons, the execution in the current quarter in comparison to about 66,000, 67,000 in the previous quarter. So wanting to understand what led to the superb execution in the current quarter and also, if you could help understand volume growth guidance for the next year?

Manoj Sanghvi: So as commented previously and in my opening remarks, the volume growth, like we finished this year at INR4,400 and close to INR4,450 crores. Next year, our expectation is or what we have budgeted is close to INR5,000 crores. That can be a plus minus 5%.

And to answer your second question, which is -- what led to such numbers in the quarter? So, the utilization for all the segments and all the products during the last quarter was at its optimum, which led to this number. So, if in case if there's demand and for all the products, all the

segments, then yes, this number is achievable. And in my previous call, I have already said that we have capacity today to reach a turnover of INR6,000 crores.

Kunal Shah: Got it. And also, we have this enabling resolution that we have taken for about INR500 odd crores. So you would want to light I mean, how should one look at that?

Vimal Katta: Basically, it is an enabling resolution. So because we are working on our next growth plan also. So if required, we may go for tying up the debt. And in case of that, as you know, now regulations require a portion of debt has to be raised through bonds and other instruments. So it is an enabling regulation. Right now, nothing has been planned as far as capex is concerned, but team is working on that. So this will take a fair time, nothing else.

Kunal Shah: Got it. And just wanted to understand on these bearings, right? So we have got about INR104 crores revenues in the current year coming from Ravi, right? So when you say 5,000, how should one look at the bearing business in this 5,000?

Manoj Sanghvi: 5,000 is on stand-alone basis, whatever the INR300 crores we are targeting for Ravi is additional. So on consolidated basis, we can have a number of INR5,300 crores with a plus/minus 5%.

Kunal Shah: Just one last question from my side. On the general demand scenario, if you would share how is the water project going on, the CGD project going on, and you did mention...

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Moderator: Mr. Kunal Shah is dropped from the queue, so we'll go on to the next question from the line of Radha from B&K Securities.

Radha: Hi, sir. Congratulations on good performance. My first question was that two years back we had this seamless stainless steel capacity of 8,000. So now that is 28,000. So at that point of time, two years back, via hot extrusion, the capacity was 6,500. So now that the stainless steel seamless capacity is 28,000, so what is the hot extrusion capacity?

Manoj Sanghvi: 8000 was cold finishing capacity. And today the hot extrusion capacity is 20,000 tons for the new press and the old press is 6,500 tons?

Vimal Katta: 10,000. Yes. So hot extrusion is 30,000 tonnes and cold finishing is right now close to 10,000 tons.

Radha: Okay. And sir, what will it be in the next 1 or 2 years?

Vimal Katta: See, the marginal increase in coal finishing will be there because we are setting up a facility for higher value-added products, which will become operational by year end. But overall capacity in stainless steel seamless will continue to remain at 30,000 tons, combined together with hot finished and cold finished because whatever we are going to produce through hot finished, part of it is going to be used captively, which will be cold finished. So sellable capacity will be 30,000 tons of less 20,000 tons of welded. So total 50,000 tons of capacity.

Radha: Okay, sir. And so next question is in stainless steel, so companies planning to do this coil tubing business. So just wanted to understand for this business, will this be in a separate manufacturing line or in the same line? And also with regards to this, I also wanted to understand what is the product about, how is the market size and what is the scope of business and competitors in this business?

Manoj Sanghvi: I don't know where you have this information from coil tubing, but that project is still under implementation and that data we would not like to divulge at the moment.

Radha: Okay, sir. Sir, thirdly, the Ravi Technoforge, in FY '22, we did a revenue of INR280 crores. Now in the second half of FY '23, revenue is INR104 crores. So if you extrapolate, it comes to around INR200 crores for full year. So is there a degrowth in this business in FY '23?

Manoj Sanghvi: Yes. FY '23. So first seven months, they clocked the revenue of INR130 crores. And last five months after our being acquiring the stake, they did a revenue of INR105 crores. So basically, there has been degrowth. One, during the first seven months, they had some financial stress, so they could not actually utilize the capacity and convert the demand into orders. And second, because of slowdown in Europe, because of the war in Europe, there is a little slowdown from European manufacturers, which led to this degrowth. But going forward, we see that the demand has started coming back. And this year, we will be able to clock close to INR300 crores.

Radha: And sir, what about the debt in this business? I think in FY '23, we have around INR75 crores of total debt. So how do you see this in the coming years?

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Manoj Sanghvi: Every year, I think there is a repayment of between INR15 crores to INR20 crores, which did happen in the last quarter.

Radha: Okay, sir. And sir, lastly, this is extra carbon steel mobile manufacturing mobile plant of 60,000

tons, around 60,000 tons. So that -- is that -- the plant, is it fully depreciated?

Manoj Sanghvi: I don't know the application, maybe no. I think there will be something like it would not necessarily be depreciated.

Radha: Okay, sir. And sir, lastly, what is the capex guidance for the next 2 years?

Manoj Sanghvi: Next 2 years, we are working on a lot of things at the moment, still on the drawing on? So maybe in another 6 months, we will be able to throw some light on that.

Moderator: We have a next question from the line of Riya Mehta from Aequitas Capital. Please go ahead.

Riya Mehta: Thank you for giving me an opportunity and congratulations for a good set of results. My first question would be based on -- what is the order book levels of both stainless steel and carbon steel? So I would want to know where this is coming from exactly, almost, and which sectors and segments.

Manoj Sanghvi: For the last quarter?

Riya Mehta: Yes, order book for the last quarter, I think 2000?

Manoj Sanghvi: No. Can you please repeat your question?

Vimal Katta: I'll answer. See, mainly the orders are coming from oil and gas sector and process industry for stainless steel and certain orders from power sector also. And p

lus other miscellaneous are there.

And in case of carbon steel, it is a mix of oil and gas sector and water.

Riya Mehta: Okay. And my next question is in regards to margins. So what worked in favor for us this quarter?

Vimal Katta: See, one thing is we got the benefit of economies of scale because the production dispatches both were higher. Second thing, product mix also means higher value added products volumes were also higher. And in carbon steel also, major orders were of, were related to oil and gas sector where margins are typically better. So every thing worked in favor of better margins.

Riya Mehta: Okay. And actually Mr. Vimal, could you tell me the capacity utilization again, if you don't mind?

Manoj Sanghvi: So, see, most of the segments, stainless steel welded, stainless steel seamless, carbon steel ERW spiral, also the induction bends and coatings. It is all, all the products, the utilization is between 60% to 80%, except for two capacity expansion, like one hot extrusion for stainless steel seamless, what we did, and another capacity expansion in carbon steel was LSAW pipe. So these two were on 30% utilization, utilization being the first year of actual commercial production.

And rest all were between 60% to 80%.

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Riya Mehta: Right. And in terms of the pipeline of orders, what is the kind of pipeline are we seeing for the next year coming forward?

Manoj Sanghvi: We started this year with INR2,600 crores. We've been booking orders for stainless steel seamless welded across industries and for carbon steel LSAW pipes. However, some softness is seen in the CGD segment and the line pipe segment. So, but we are open to the line pipe, spiral line pipe, oil and gas segment. But we are hopeful, we are seeing good demand in the water segment. So we are hopeful we'll cover up on the water segment.

Moderator: Thank you. We have our next question from the line of Dhananjai Bagrodia from ASK. Please go ahead.

Dhananjai Bagrodia: Hi, so I just wanted to understand, is it increase in margins? Because we had some contracts earlier and that's how we got the benefit of lower inventory. And B, which end use industry is seeing such strong volume growth and do we see that sustainably grow, let's say, next year and the following year after that?

Manoj Sanghvi: So, part of it, yes, maybe correct that you have some orders which are of the start of last financial year when there was, when the war had started, commodity prices were skyrocketing and you got some order. But most of it, as you know, and as we always say, like most of our orders are on back to back basis. So we have, so maybe 10% benefit we would have derived from such total orders, out of total orders, 10%, but not a major part because of the commodity prices.

Dhananjai Bagrodia: So, margin is sustainable? Because GM operating margins are sustainable?

Manoj Sanghvi: Margin is between 16% to 18% because last year if you see, if I break down the product mix industry-wise, more we did for oil and gas, right? But it is not going to remain same year-on-year. So, it is your, it might change that oil and gas might go down a little and water is added.

So if water is added, the margin might, but still we keep our focus on to maintain to stay between that 16% to 18%, 15% to 18%.

Dhananjai Bagrodia: So, just following up with your question, what is the difference in margin between oil and gas and water?

Manoj Sanghvi: Normally, oil and gas is a little more value added than water, maybe 1% or 2% more, but it is totally, it totally depends on demand and supply.

Moderator: Thank you. We have a next question from the line of Vikas Singh from Phillip Capital. Please

go ahead.

Vikas Singh: Sir, I want to understand since we are guiding for almost double of the top line versus our current order book, but we are at the same time telling that the

oil and gas segment demand has been, is a bit slow. So, are we expecting incremental demand to come from water segment or export segment or, because CS segment is the one which drives our top line. So, just wanted a little bit clarity on the same?

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Manoj Sanghvi: Yes, so, see, if we started the order book at INR2,600 crores, so we are already having a six month backlog if I consider INR5,000 crores of revenue. So, and we are seeing few water projects, specifically if I talk about carbon steel, we are seeing few water projects which we will book in the first or second quarter, which will be discussed in third and fourth quarter. So, to answer your question, yes, INR5,000 crores is very much possible considering you are already having orders of INR2,600 crores.

Vikash Singh: So, let's say domestic water segment is what we are, where we think that the fraction would be there going forward?

Manoj Sanghvi: There is demand for domestic water segment, there is demand for international water segment also, few projects we are under discussion.

Vikash Singh: Understood, sir. Sir, second question pertains to SS segment, the export orders, basically after many quarters I have seen that our export order book in SS has been on higher. So, is it a short term phenomenon you see or you see that this kind of the trend would be sustainable and a lot of order can be exported from India in SS segment especially?

Manoj Sanghvi: Going forward, in stainless steel, yes, this kind of export is sustainable. More and more end customer there are accepting our product -- and once we need the recited orders. We don't see any until and less that is antidumping or anything. We don't see any reason for this to go now.

Vimal Katta: And because basically traditionally also we have been getting almost 50% of turnover in stainless steel from physical exports direct and around 20% from indirect exports. So, that way stainless steel, in stainless steel products we are already there in a reasonable way in international market. So, and with the increased capacity our focus is going to be both on import substitution and international market also.

Vikash Singh: Understood, sir. Sir, just one last question on the capex. So, at least can you tell us the FY '24 capex targets which you are considering current plans?

Vimal Katta: May be 100, 150, 200 crore might be there. But see, something for the next growth plan will also be happening by the time we close the year. So, major outgoing will not be happening for that. So, safely we can say 150, 200 might be the range.

Vikash Singh: Sir, we already have INR350 crores kind of the capex plans which was announced at the start of the year...

Vimal Katta: No, but... For the new SS addition... But... For Odisha project, it will take some time.

Vikash Singh: Yes. Okay, so as of now how much we have spent in that INR180 crores of SS coal drilling facility and this Odisha project? How much we have spent on these individual projects?

Vimal Katta: Odisha project is not very significant. Some amount for lease rent and other things are in place. So, major outgoing will be happening for land. Land will be anyway, lease rent only will be going. capex will take some time. Some activities may be starting. Am I right, Manojji?

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Manoj Sanghvi: Yes, capex will take some time. Maybe we will see something starting from the second quarter of this year.

Vimal Katta: In the standard system, we might have spent 60, may be around 60, 70 crores sort of thing. Major outgoing will be happening once these deliveries of critical plant dimension lease will start.

Vikash Singh: So, this year again, meanwhile, we will see our cash balance going up, right? Because this money would be getting accumulated...

Vimal Katta: Yes. And we, as I have

shared, there are plans to continue this growth beyond FY '25 also. So, something other than whatever we have planned, that may also be planned. And we would like to start working on that opportunity also.

Vikash Singh: Sir, what is our net cash balance as of now?

Vimal Katta: Net cash keeps on fluctuating. So, as on 31st March, we on net side, we were close to INR20 crores plus. Today, it might be again INR20 crores, INR30 crores plus or minus. Because total

long-term debt will be maybe around INR140 crores sort of thing.

Vikash Singh: Okay. That would be our peak net debt level?

Vimal Katta: Yes, because there are no short-term borrowing. Only long-term borrowing, roughly INR140 crores are there as on date.

Moderator: Thank you. We have a next question from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal: Yes, good evening, sir. Sir, I have a question on stainless steel manufacturing, the hollow pipe process. So, is there some difference between the hot extrusion process and a cold drawing or a pilger process? Is the process that you are referring to different?

Manoj Sanghvi: Hot extrusion, pilgering, drawing, those are all different processes. Hot extrusion is where hot extruded material is input for the pilger. But yes, there is a similar process to hot extrusion, which is piercing and piercing is normally used for carbon steel seamless pipes, whereas China adopted the technology to use this for stainless steel pipes. And then the Indian manufacturer has also started. So yes, there is a large difference because one is used for carbon steel another is used for stainless steel. The product which comes out is also different.

Pallav Agarwal: Sure. So there are certain high-end applications where probably that product is not accepted. Is that the case?

Manoj Sanghvi: If you see, for example, Saudi Aramco specification, they don't accept pierced materials. Or if you see for example Reliance specification they don't accept the pierced materials. There is a reason a lot of study has gone in. There are various papers available online also, which explains the difference between both. But there are some industries where criticality is not so much and they are okay to use pierced things.

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Pallav Agarwal: Sure, sir. Okay. And also just on the question on exports, what was the proportion of exports in total revenues and in the order book?

Manoj Sanghvi: Total exports close to 20%.

Pallav Agarwal: And order book also, current order book of 2005 and close mostly?

Manoj Sanghvi: Order book, I don't have a breakup of that.

Vimal Katta: As of 1st May, we were having close to INR557 crore of export orders out of INR2,440 crores of total order books..

Moderator: We have our next question from the line of Aman Thadani from Solidarity Investment Managers.

Aman Thadani: Sir, my first question is one of our peers has recently entered the ERW space. So I just want to understand that what sort of margin does a new player make in this space and the overall opportunity in this space?

Manoj Sanghvi: What sort of margins in this space is difficult to say at the moment? Because see, last three years, four years, ERW was running at, say, almost 90% capacity utilization. But this year, I think that the demand is not as high as it was. So, and with a new player coming in, of course, he will take some time for approval and everything. But margins are again difficult to say, but it varies from 12% to 16%-18%. Depending on number of projects available in the market. See, what has happened, CGD demand has also gone down

Aman Thadani: Sir, how much time will it take for a newer guy to ramp up? How many years does it take?

Manoj Sanghvi: For a new company to ramp up 12 to 18 months?

Aman Thadani: Okay. And my second question is, first of all, SS is a key business. So

what is it about this

product or this segment that a lot of players have just not got it right?

Manoj Sanghvi: Time. The amount of time what we have given right from 83%, 84% and slowly consistently growing. That is the only thing I would say which is different.

Aman Thadani: So time in terms of what is it in terms of -- is in terms of the complex that is there and like to understand the complexity or?

Manoj Sanghvi: It is a different mindset of business, I would say, it is not like a normal tubes. Carbon steel is totally different if I compare with stainless steel.

Aman Thadani: Okay. Even if someone is able to get the product right. We want to maybe build on the projects, what are the ideas that one would be?

Manoj Sanghvi: It's more about the competition rather than economy. I don't know what you want to understand from me answering you.

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Aman Thadani: And sir, just one general question, sir. In the past, we have guided for 15% to 17% long-term margin band. But this quarter, we have seen that going on, it would be more of a 16% to 18%

range. So sir, what has changed?

Manoj Sanghvi: The product mix, because as I have told you, the carbon steel demand oil and gas is subdued. So, likely from that 5,000 crores more will be stainless steel, more will be evaluated products in carbon steel. So, that is why it is 16%-18%. But at the start of the year, this is our guidance. It can be between 15%-18% also going forward. If few water projects are booked at a little low margin, it can be 15%-18% contract

Moderator: We have our next question from the line of Ashutosh Tiwari: from Equirus Securities.

Ashutosh Tiwari: Congrats on good numbers. Firstly, this cold finish ing capacity will go to what level after this expansion is completed?

Manoj Sanghvi: This new capacity expansion is of 1,200 metric tons to start with, and it will go up to 1,500 metric.

Ashutosh Tiwari: 1,500 tons, so your capacity will go to only INR11, 500 crores?

Manoj Sanghvi: The capacity expansion is small in terms of tonnage, but this is for small diameter tubes. So, in terms of meters, it will be quite sufficient..

Ashutosh Tiwari: And secondly, we had also talked about development of multiple grades of products with this new seamless, how to assume, capacity. So, where are we in that process? In last one year, have you developed major products and that is going to drive the growth in export market going in some color on that? How should we look at export as a business over the next two, three years?

Manoj Sanghvi: Yes. So the extrusion, what we had expected to in the cost here. we could achieve better than that 30% utilization with the development of grades, which we did not expect in the first year itself. So going forward, yes, the utilization will be better than this year, we are targeting between 50% to 60%.

Ashutosh Tiwari: So -- and assets, given the decision will be higher -margin business, like 20% plus?

Manoj Sanghvi: Some range yes, some range lower. So blended, put together in the same close to 15% to 18%.

Ashutosh Tiwari: Okay. And that is also in there, how do we see it?

Manoj Sanghvi: Yes, because the lower end grades, where it is more like commodity, there the margins are also not so great. But for high end grades or difficulties, the margins are good. So, blended we always, because we cannot only do high end grades and or we cannot only be at the low end of the product. So, both blended, we see the capacity utilization also and margins also.

Ashutosh Tiwari: Okay. And like we had highlight earlier in the conc all, you highlight like what kind of bidding that we've done to the tonnage in all in oil and gas, water and all it up now?

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Manoj Sanghvi: The details, I haven't prepared this time. Maybe the next call, which we pla

n after six months

for the semi-annual reasons. We'll have more detailed details on what we are bidding

Ashutosh Tiwari: Okay. But can you like some projects which are, let's say, the activities going on right now?

Manoj Sanghvi: Oil and gas, if we see right now for bidding, what we have is 1 project of the Gas Authority of India Limited. -- which is the KK BNPL Phase 2. The Kochi, Kakinada, Mangalore, Bangalore pipeline for that -- so that is under bidding. Then a few projects of IOCL are under building few in the East for IGGL, which is Indradhanush Gas Grid Ltd. 1 project for Vedanta is under bidding and 1 or 2 projects for GIGL. The GIGL is a subsidiary of GSPL. There are a few projects in oil and gas, which are under bidding. For water, we have a few projects in Gujarat for Surat Municipal corporation, for Ahmedabad Urban Development Authority than Sauni Yojna. So in Gujarat, we have some water projects and we had some water projects in Africa, which we are bidding.

Ashutosh Tiwari: So you said Africa?

Manoj Sanghvi: Yes. I think 2018, you've done some online is similar than Yes, scenario. I cannot say company. And think that I think in 2018, 2019 deals, we have done some Tanzania, I guess. We had earlier now this is for Mozambican and exactly for sure what place for Africa.

Vimal Katta: Of course, last year also, we have exported some quantities to Africa. So, the carbon is purely opportunity driven business in case of exports. So, whenever we get the opportunity, our team books, the orders also, and that everything has happened.

Ashutosh Tiwari: Okay. And on asset side, how are, let's say, how are the orders or maybe inquiries from chemical, pharma and all. Is it also a strong or it is soft?

Manoj Sanghvi: So, if we see the growth, the driving things in this year is stainless steel and some products in carbon steel, which will help us actually, because the line pipes will remain flattish kind of growth. But, yes, stainless steel will grow, some products in carbon steel will grow, which will help us reach higher.

Ashutosh Tiwari: Coming from these chemicals and pharma and on fertilizer?

Manoj Sanghvi: Yes, it is coming from various industry pharma, chemical, fertilizer, food and dairy, sugar, automobile, of course, oil and gas remain the highest.

Moderator: Thank you. We have a next question from the line of Hirenkumar Thakorlal Desai, an individual

investor. Please go ahead

Hirenkumar Desai: Yes, so I have two questions. One is on the export side. So as you mentioned, this year the visibility seems to be a little bit muted. Do we have a medium term thinking in terms of increasing the export share so that this little bit of cyclical can be mitigated?

Manoj Sanghvi: Yes, we have our focus on exports. Our LSAW plant has just started. So it is slowly getting approved in various countries, various geographies. So our focus is there on exports, but this is a project-based business. So if there is a project, yes, and definitely then if it is within our reach ,

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reach meaning if there is no empty dumping in that country or in-country value to be provided, definitely for most of the projects we are there.

Hirenkumar Desai: Okay. Do we target some percentage medium term or we can't really say something like that?

Manoj Sanghvi: Very difficult. One project can change the total dynamics like 30% exports and then if you don't get that product project, it is maybe 10. Carbon steel it is difficult to say because it's not like many projects you are supplying to and small quantum. It is one project which is INR500 crores, INR600 crores, INR700 crores. So the whole dynamics on the export percentage changes.

Hirenkumar Desai: Okay. The second question No, I think my second question has been answered.

Moderator: We have a next question from the line of Riya Mehta from Aequis Capital.

al.

Riya Mehta: Hello. Thank you for giving me the opportunity for a follow-up question. My question was in regards to since we are seeing that water segment is seeing some good traction, apart from water, where do we see the demand coming in from if we are seeing lower demand for oil and gas and considering that the realizations will also drop for the sector given the lower commodity prices, where do we see the growth and confidence for the revenue visibility?

Manoj Sanghvi: So as I answered the previous question, see oil and gas line price is low, but oil and gas process price is still on the higher side, most for stainless steel and carbon steel. So that is one sector where we see the growth. Then stainless steel utilization of capacities and extrusion and some better utilization in LSAW, we will get that.

Moderator: We have a next question from the line of Pritesh Chheda from Lucky Investment Managers.

Pritesh Chheda: Sir, just 2 follow-ups. One, what is the utilization that you would expect in the and spot finish assets, which was at 30% you mentioned in FY '23. This how much will you scale up to 50% to 60%? And my second question is, sir, on this expansion of asset, which you mentioned will add 1,500 tons, why that INR170 crores, INR180 crores of capex, and it's a low diameter but substantial in, is it the auto tubes basically?

Manoj Sanghvi: No, no, no.

Pritesh Chheda: Then any reason why for INR180 crores is just 1,500 tons. You could tell us what will be the asset turn on this INR180 crores.

Manoj Sanghvi: One is to one or maybe a little less.

Pritesh Chheda: So what is this product actually?

Management: This is very highly valued product. Stainless steel cold finished tube.

Pritesh Chheda: And what is the dia size? Is it less than half inch or one inch?

Management: Less than one inch. 3 mm. Yes. Beginning from 3 mm.

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Pritesh Chheda: 3 mm. Okay. And you use it or not? And it's not auto tube, right??

Vimal Katta: No, no. These are usually depends also in nuclear power plants also a number of applications are there.

Moderator: We have a next question from the line of Aman Thadani from Solidarity Investment Managers.

Aman Thadani: Sir, I have just one follow-up question. Sir, since you said that the CGD sector is seeing some pressure. So I just wanted to throw some more color on it? Why is it under pressure since the entire sector is at such a nascent stage?

Manoj Sanghvi: Yes. So what happened because of the war in Europe? The gas prices escalated quite a bit. So and the government where CGD was a priority sector for gas in between changed that sector and they were not given APM. APM is a subsidized gas which the government would allocate to the CGD companies also. And then they had to buy in the spot market. So the risk associated was quite high. So they are going slow. Not that they are going slow at the moment with the capital investment.

Aman Thadani: It's just a temporary issue. The long term story is still intact, right?

Manoj Sanghvi: Yes. It seems to be a temporary issue.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand

the conference over to Mr. Sahil Sanghvi for closing comments. Over to you.

Sahil Sanghvi: Yes, I just want to thank the management for patiently answering all the questions and on behalf of Monarch Network, I would also like to thank all the participants. Manoj sir, would you like to give any closing comments?

Manoj Sanghvi: Yes. Thank you, Sahil. Thank you, Monarch. Thank you all the participants. And sorry to be not answering some questions. We want to answer, but then the situation demands. We as a group have decided not to divulge a few information, but it is not that we want to hide something. It is for the better for the competition to catch up. So with this, thank you everyone

and sorry once again.

Moderator: On behalf of Monarch Network Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

RMTL/SEC/POST-TRANS.CON-CALL/Q2/2023-24 November 7, 2023

BSE Ltd.

Corporate Relationship Department

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Rotunda Building, P. J. Tower,

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Company Code : 520111 National Stock Exchange of India Ltd.

“Exchange Plaza”, 5th Floor,

Bandra – Kurla Complex,

Bandra (E),

Mumbai - 400 051

Company Code : RATNAMANI

Subject: Transcript of the Investor Conference Call post Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended on September 30, 2023

Dear Sir/Madam,

We, vide our letter dated October 30, 2023, had intimated to the Stock Exchanges about the schedule of the Investor Conference Call on Friday, November 3, 2023 post Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended on September 30, 2023 and future outlook of the Company's business.

The Conference Call recording has already been uploaded on the website of the Company and a link was provided vide our letter dated November 3, 2023.

We, now enclose a copy of the Transcript of the Investor Conference Call which took place as scheduled. The said transcript is also being uploaded on the Company's website at www.ratnamani.com.

The Company has referred to publicly available documents / information for discussions during the interaction in the Conference Call and no Unpublished Price Sensitive Information was intended to share during the Conference Call.

Kindly take the above on your record.

Thanking you,

Yours faithfully,

For, RATNAMANI METALS & TUBES LIMITED

ANIL MALOO

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

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“Ratnamani Metals & Tubes Limited
Q2 FY '24 Earnings Conference Call ”
November 03, 2023

MANAGEMENT : MR. PRAKASH SANGHVI – MANAGING DIRECTOR AND
CHAIRMAN – RATNAMANI METALS & TUBES LIMITED
MR. MANOJ SANGHVI – BUSINESS HEAD, CARBON
STEEL SEGMENT – RATNAMANI METALS & TUBES

LIMITED
MR. VIMAL KATTA – CHIEF FINANCIAL OFFICER –
RATNAMANI METALS & TUBES LIMITED

MODERATOR : MR. SAHIL SANGHVI -- MONARCH NETWORKTH
CAPITAL

Ratnamani Metals & Tubes Limited
November 03, 2023

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Moderator : Ladies and gentlemen, good day, and welcome to Ratnamani Metals & Tubes Limited Q2 FY '24 Earnings Call hosted by Monarch Network Capital. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Thank you and over to you, sir.

Sahil Sanghvi: Thank you Darwin . So good afternoon to everyone. On behalf of Monarch Network Capital, we welcome you all for the Ratnamani 2Q FY '24 Earnings Call. We are delighted to host the management of Ratnamani Metals & Tubes today. And from their side, we have Mr. Prakash Sanghvi, MD and Chairman; Mr. Manoj Sanghvi, who is the business head for the Carbon Steel segment; and also Mr. Vimal Katta, the Chief Financial Officer.

So without taking much time, I'll hand over the call to Mr. Manoj Sanghvi for the opening remarks. Thank you, and over to you, Manoj, sir.

Manoj Sanghvi : Yes. Thank you, Sahil. Good afternoon. Good afternoon to everyone. I welcome you all to this call and hope everyone is doing good. Our results for the second quarter of FY '24 have been uploaded on the exchanges. And I believe all of you had the chance to go through it.

Just to give you a brief, our stand -alone Q2 revenues are INR1,084 crores with EBITDA of INR252 crores and a net profit of INR169 crores. Our quarterly revenue has increased 19.9% year-on-year and down marginally by 3.3% on a sequential basis, mainly attributable to softer steel prices. EBITDA has increased from INR155 crores to INR253-odd crores on a year -on-year basis, registering growth of 63%. And sequentially, it has increased by 22%.

Due to favorable product mix and few special jobs, our EBITDA margin has also expanded by 6% on a year -on-year basis and 4.8% on a sequential basis. On the half year basis, our revenues witnessed 16% growth to INR2,204 crores and EBITDA of INR460 crores as compared to INR294 crores in H1 FY '23.

For H1 FY '24, our net profit is INR305 crores compared to INR185 crores in FY '23. During the quarter, in spite of inflationary pressures felt on operating cost, we have been able to improve our profit margin due to better product mix. However, as we move forward in FY '24, we may see some line pipes orders for oil and gas as well as water and hence, we continue to expect our annualized EBITDA margins broadly in the range of 16% to 18% under normal business conditions as guided during our earlier calls.

Orders on hand as on 1st October is INR2,979 crores. To add a new growth driver, both domestically and globally, our company has forayed into pipe spooling and auxiliary products business through a joint venture with Technoenergy, Switzerland, a group based out of Switzerland having more than 100-plus years of experience in manufacturing of pipe spools, Ratnamani Metals & Tubes Limited
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hangers, support systems and other auxiliary products. As informed through the exchanges, RMTL had 51% in this JV and 49% is with Technoenergy. The JV company will cater to oil and gas, thermal and nuclear power plants and other allied industries, which will open new avenues for our company.

And in future, we expect to see good traction in core energy segment and other critical applications in various industrial segments. This will also help us deepen our customer base by expanding the product basket. We expect this entity to start commercial operation in next 3 to 6 months.

That's all from our side. Now I would like to invite questions from the participants. Thanks.
M

oderator : Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Ashutosh Tiwari from Equirus Securities.

Ashutosh Tiwari: Congrats on a good set of numbers. Firstly, on the export side, I think when we have basically commissioning this extrusion facility one of the aspects was that you wanted to go into higher diameter and more related products, which can be supplied in core markets. So where are we in that journey? I mean, obviously, our export order book has been increasing over the last 1 year to your perspective. So just can you give some color on that?

Manoj Sanghvi : So currently, the extrusion, what was installed last year, the ramping up of capacity and approvals is going on. It's an ongoing process. So yes, we are seeing more and more traction, both domestically and exports. And going forward, as we have more approvals, the utilization levels will be much better. For trial purposes, we have as I said all the complete size range up to 10 inches and all grades we have tested and successfully all the trials are successful and few commercial export orders also, we have executed for various grades.

Ashutosh Tiwari: Okay. So that means that going ahead, I think on the export side, we would definitely see more orders coming like -- when all this product gets commercialized?

Manoj Sanghvi : Yes, yes. As informed earlier, we are seeing a good amount of traction for special grades also.

Ashutosh Tiwari: Okay. Special grade means like more nickel grades or these are in terms of applications they are different?

Manoj Sanghvi : Related to stainless steel only, but high alloy grades.

Ashutosh Tiwari: High alloy grades. Okay. Okay. So -- and these would be comparatively better margin than earlier grades that you're making?

Manoj Sanghvi : Yes, margins would definitely be better. But quants would not be as the normal grade.

Ashutosh Tiwari: Okay, okay. But yes, I mean, directionally, I think the margin profile or the value addition profile should improve for us in SS segment.

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Manoj Sanghvi : Yes. Overall, the SSCS our aim is to improve the margins wherever possible. And for this particular stainless steel, where you're doing high grades, of course, the margin is going to be high.

Ashutosh Tiwari: Okay. And I remember that even in the LSAW segment, we had got an approval from Saudi Aramco earlier, right? So even LSAW segment, which are mainly catering to maybe domestic market earlier more added product, there also with this new mill, I think we are now entering into more product areas?

Manoj Sanghvi : So for LSAW, Saudi Aramco, we have got the approval. However, we have not yet executed any orders for them. Going forward, yes, we are going to receive orders from them. So it might help us in future.

Ashutosh Tiwari: Okay. Okay. Okay. But domestic side, we have got approvals from everyone for LSAW plant.

Manoj Sanghvi : Sorry?

Ashutosh Tiwari: On the domestic side, domestic customer base, we have received approval for...

Manoj Sanghvi : Yes. Yes. We've received approvals from almost everyone now.

Ashutosh Tiwari: Okay. And in terms of the current order book that we have around INR2,900 crores you mentioned, what proportion would you get from water -related orders?

Manoj Sanghvi : Water, rough I can say about 30%.

Ashutosh Tiwari: 30% of this INR2,900 crores.

Manoj Sanghvi : See close to 30% would be water related.

Ashutosh Tiwari: Okay. This somewhere lower a year back, right?

Manoj Sanghvi : Yes.

Ashutosh Tiwari: Okay. And are water projects, low margins orders ? what is the different from oil and gas-related orders? Or is there some validation over here also.

Manoj Sanghvi : So in the normal course, the margins for water segment are less than oil and gas. But some orders, better margins if like we are executing

on one order in Rajasthan, where we are -- we have moved the whole setup at site. So there, the margins are a little bit better than the normal course order.

Ashutosh Tiwari: Okay. Okay. And generally, lastly, how is the -- I mean, the orders that we're bidding for, how is that pipeline looking like? Is basically new order, the tenders are coming up are lower now? Or still we see buoyancy in the new projects coming up?

Manoj Sanghvi : So if I break it between carbon steel and stainless steel, carbon steel for oil and gas, we are seeing less number of tenders coming up. But water demand is booming. So that segment is going to

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remain for next 6 months to 9 months, that segment, we will have a good amount of orders. And stainless steel regularly, our strike rate remains still the same, close to between INR100 crores, INR150 crores order booking per month.

Moderator : The next question is from the line of Yash Goenka from Awriga Capital Advisors. Please go ahead.

Yash Goenka: Okay. So there are talks of setting up a stainless steel plant for backward integration, it's higher order business, which has lower margin, higher working capital. What shall be the ROCE for the company? And what ROCE level does the company intend to operate at?

Manoj Sanghvi : I missed the first part of the question. So...

Yash Goenka: The talks of you setting up a stainless steel plant?

Manoj Sanghvi : Stainless steel plant?

Yash Goenka: Yes.

Manoj Sanghvi : Okay.

Yash Goenka: And with you having a higher proportion of sales to water pipe businesses, which has lower margin, higher working capital requirements. So what does it get to a ROCE and what it shall be going forward? And what does the company intend to operate at?

Manoj Sanghvi : See, at the company level because we are expanding both in stainless steel and carbon steel, right? So at the company level and some products would go to water, some for oil and gas, some for other segments. So broadly at the company level between 25% to 30% is what we aim for.

Moderator : The next question is from the line of Vikas Singh from PhillipCapital. Please go ahead.

Vikas Singh : Congratulations on very good set of numbers. Sir, I just wanted to understand about your guidance. You have always been conservative at 16% to 18% kind of the EBITDA margin.

Given that the first half was pretty good, so would you like to revise it? And how do you see this growth in the FY '25?

Vimal Katta : Vikas , Vimal Katta, this side. See, basically, as we have been talking the 16% to 18% range is for the longer -term sustainable range, okay, based on the product mix and everything. In a particular reporting period, it may be a quarter, half year or a year, it may move towards more positive towards 18% or in case of adverse market situation, it may move towards 16% sort of thing.

So plus minus 1%, we have been talking this year entire year, we should be in that 17%, 18% range sort of thing. This is our expectation going forward. As Manoj ji has already said, a few more orders in water segments are expected and blended, we should be nearer to that range only. Positive surprises are possible. We'll definitely try our best, but to be practical that 17%, 18% range should be there. Yes.

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Vikas Singh : Understood, sir. Sir, my second question pertains to the market and the order book. In 4Q, you were talking about the market being a little bit dull, but we have seen a very good order book addition. So how we should read this situation? Or what is the bid pipeline going forward, if you could give us some insight.

Manoj Sanghvi : As stated previously, we are seeing good demand for the water pipes in the carbon steel segment. And stainless steel also, our order book remains strong. We are almost booking close

to INR125

crores to INR150 crores every month. And the carbon steel, one big order in water segment or oil and gas segment can change the order book. Although oil and gas seems to be dull at the moment, but still, there are good amount of water projects in Gujarat itself and a few export projects also we are bidding. So...

Vikas Singh : Understood. Sir, is this possible for us to further improve our export percentage in order book, we are currently at 20%?

Manoj Sanghvi : Yes, yes. Right now...

Vikas Singh : So what is the peak level you are expecting? Because from other companies' perspective, what I learned that the export market is pretty good at this point of time.

Manoj Sanghvi : Yes. Right now for oil and gas export market, especially in Middle East is very good. So we are also hoping to receive -- and we are already receiving some orders and we are hopeful that we will -- going forward also, we are going to receive a few more.

Vikas Singh : Understood, sir. Sir, just one question on Ravi Technoforge. We were due to buy some more stake depending on some milestones, given the performance doesn't seem to be improving at this point of time. What happens to the valuation part or is -- or there would be a delay in buying the remaining stake? Or will it be valued at a much lower price depending on the milestones?

So I just want some clarity in case if we don't reach the milestone, then what happens?

Manoj Sanghvi : So second tranche is fixed buyout at a multiple of EBITDA. So which is at the end of FY '24's results.

Moderator : The next question is from the line of Manish Ostwal from Nirmal Bang Securities. Please go

ahead.

Manish Ostwal : Yes. Sir, my question on the Middle East geopolitical crisis. So how are you seeing the demand situation developing for our product in the export market?

Manoj Sanghvi : See, in Middle East, especially everybody is expanding, be it Saudi Arabia, be it Abu Dhabi, be it Qatar. So these markets, in spite of geopolitical situations are going very strong. Europe at the moment is a little slow and U S also a little slow, but still for stainless steel, tubes and pipes, we are finding good demand from there.

Moderator : The next question is from the line of Noel Vaz from Union Asset Management.

Noel Vaz : Yes, I just wanted to just confirm one thing. If we're looking at the overall growth prospects of the company, how should we look at it? And what is the current utilization?

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Manoj Sanghvi : On an average -- see, this year, we would be anywhere between INR4,500 crores to INR5,000 crores. So on an average, 10% to 15% growth can be expected.

Noel Vaz : And in terms of current utilization levels, where are we at right now?

Manoj Sanghvi : So current utilization for different segments, it is a different percentage. But on an average, you can consider 60% utilization.

Moderator : We have the next question from the line of Dhiraj Dave from Samvad Financial Services. Please go ahead.

Dhiraj Dave : Congratulations on good set of numbers. My one question is more about basically this Ravi Technoforge. What is the kind of expected ROCE or return which we expect? And what is the management thought process because we see that we are getting into related lines through acquisition or promoting subsidiary or acquisition or JVs. So how should -- rather than specifically to a quarter, how do you see your things get shaped out in next 3 to 5 years? And what would be kind of capex ? And what is typical your thought process, if you can give us some color on it.

Manoj Sanghvi : So this particular product which goes to the bearing industry, our idea is to scale up from here. And in next 2 to 3 years, we want to do INR500-plus crores of bearing rings and other auto products, which is from the forging industry. And we have already -- we are investing from the Ravi Techno

forge balance sheet only. Except for the initial investment, what Ratnamani did, everything is being managed from RTL's cash flow.

Dhiraj Dave : Okay. And basically, what would be kind of capex we should be looking at as you have suggested approximately 60...

Manoj Sanghvi : Right now, ongoing capex is between INR40 crores to INR50 crores.

Dhiraj Dave : This would be for Ravi Technoforge?

Manoj Sanghvi : Yes.

Dhiraj Dave : And for Ratnamani as a group total, basically, we are also talking of that Swiss JV. So we would be setting up a new capacity or is it a trading...

Manoj Sanghvi : Ratnamani close to INR250 crores to INR300 crores, where we have 2 major projects, one for carbon steel, one for stainless steel, which are ongoing.

Dhiraj Dave : Okay. And when this project will get over? This is normal capacity...

Manoj Sanghvi : Stainless steel by June of 2024 and carbon steel, where we are setting up a new plant by September of 2024.

Dhiraj Dave : September '24. Okay. And basically, any thought on capital allocation since this year, particularly, what is your plan for capital allocation or distribution of cash?

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Vimal Katta : Yes. Can you repeat it, please?

Manoj Sanghvi : Capital allocation...

Dhiraj Dave : So basically, what would be your dividend distribution? Would be -- should we expect some improvement in dividend payout for a year or we like to manage stable...

Vimal Katta : See, basically, at the gross level, it is closer to 20% of profit. That should continue, where company has lot of growth plans because we are not going to rest with existing capacities, we should be able to reach closer to INR6,000 crores. And we have to look beyond that.

So there are -- team is working on various growth opportunities. And at the appropriate time, we'll be sharing those details also. So part of capex and incremental working capital requirements will be made from internal accruals only. So one can look forward to closer to 20% of profit being distributed.

Moderator : The next question is from the line of Radha from B&K Securities. Please go ahead.

Radha : Many congratulations on good results. Sir my first question was, in first half, what was the total mix from water segment?

Manoj Sanghvi : Very difficult to give you a precise number, but we can -- I can work on that and then will get back to you. One second. So between INR150 crores to INR200 crores.

Radha : From the volume perspective, I asked?

Manoj Sanghvi : Volume...

Vimal Katta : Volume normally, we don't share. And value wise, this figure of roughly INR150 crores to INR200 crores for the 6 months.

Radha : Actually, why I asked it because you said 30% of order book from water segment, so just wanted to understand during the first half, based on the execution whether it could be lower than 30%?

Manoj Sanghvi : See the order book -- yes, first half, it has been lower. Of the order book, we have 30%, but some of it is going to go for the next financial year also.

Radha : Okay, sir. Sir, secondly, so L&T has won multiple orders with Saudi Aramco and also some hydrocarbon projects with multiple Middle East companies. So could you please elaborate on the business opportunities with L&T?

Manoj Sanghvi : Yes. So 2 or 3 EPC contractors. They've got big jobs in Aramco as well as in ADNOC, which is Abu Dhabi National Oil Company. So most of it has just been awarded. So the design part -- so we will see inquiries coming from latter part of this year or early next year.

Radha : Sir, currently, out of the total order book, how much of the orders are from L&T?

Manoj Sanghvi : That customer wise breakup, we do not have and we would not like to share.

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Radha : Okay, sir. And sir, thirdly, my third question was that, could you please share some insight on

this JV with Tech? How much would you expect to invest and what kind of margins can we make, what would be the source of capex -- funding the capex, if any, for this and margin profiles and ROCE profile?

Manoj Sanghvi : So this company has recently formed with 51% being RMTL and 49% Technoenergy. The total investment plan is INR40 crores to INR50 crores in the next 6 to 12 months. And so part of the capital, what Ratnamani will bring in and another part will be brought in by another partner. And balance, we will have to see whether we will go for any debt or any other instrument.

Radha : For us, it could be INR20 crores.

Manoj Sanghvi : Yes. INR25 crores to INR30 crores for us.

Radha : Okay, sir. And sir, just thirdly, have you done any bill discount in this quarter?

Manoj Sanghvi : No.

Vimal Katta : No, no. See, in case in respect of one of the orders being executed by Ratnamani, it is under RPA arrangement. So those invoices have been discounted and payment has been received by the company. And that is the reason the finance cost has been a little higher.

Radha : So sir, I asked because our receivable rate has come down. So on that basis I had asked...

Vimal Katta : No, it is there. So both things are -- if we look at the figure, receivables have come down and there has been an increase in finance costs, which is related to bills discounted in respect of one of the orders. It is an arrangement under order itself. Their interest cost has been inbuilt in our pricing and documents are discounted by the customer itself under bill discounting facility, suppliers bill discounting facility.

Radha : Okay, sir. Sir, I wanted to understand, will we continue with these kind of receivable deals?

Vimal Katta : See, difficult to say because order to order based on the arrangement it may change. Because it is in respect of one of the order only and because the company has been cash surplus, usually, we don't go for even eligible discounting because there is a negative carry. Whatever returns we get from our investment are much lower than their discounting costs. So that is the result on any reporting period and one may see higher receivables also, but for this one order.

Radha : And sir, could you quantify the amount of the bill discounting that we have done in first half?

Vimal Katta : See, that will be roughly 140 crores sort of thing.

Radha : Okay, sir. Sir, last question was on the Ravi Technoforge front. So actually, there is a Y-o-Y degrowth in first half in Ravi Technoforge. So both in the revenue and EBITDA front. So previously, we have been guided that we wanted to achieve INR300 crores revenue in Ravi Technoforge. So are we still on track with this guidance or is there any revision?

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Manoj Sanghvi : If we see with the corresponding last year, I mean, there is no degrowth, but there is no growth. Against INR120 crores, we did the sales of INR124 crores. An EBITDA of INR12.2 crores

against that, we did INR12.6 crores. Yes, because the major reason here is the exports have shrunk and our share in the domestic industry has increased because of the current geopolitical situation. But going forward, in the second half, things look to be better. And from hereon, from the last year's number, we see that there'll be 10% to 15% of growth.

Vimal Katta : But more impact has been there that of commodity prices coming down compared to what they were last year. So some impact of that thing is also there because realizations are directly linked to the commodity prices.

Manoj Sanghvi : And if we see the production per se, then it has gone up by 6% in the first half.

Radha : Y-o-Y, first half Y -o-Y versus first half FY '23. So actually, sir, actually, on the previous call, you mentioned that revenue from Ravi Technoforge was INR240 crores in FY '23. And so that -- and we have the 3Q, 4Q numb

ers. So that implies that first half FY '23 revenue must have been INR136 crores. So basis that there is a 10% degrowth. So you're saying volumes have grown 6% Y -o-Y. So realizations would be down 16% Y -o-Y?

Manoj Sanghvi : Yes, yes, your understanding is correct.

Radha : Sir, this is entirely due to commodity?

Manoj Sanghvi : Yes. Yes. Entirely due to commodity steel price, which has gone down.

Vimal Katta : Plus some impact of degrowth in exports as Manoj ji has already shared and it is mainly because of geopolitical issues, whatever is happening in Europe that has impacted demand from European bearing manufacturers.

Radha : Sir, by when do we expect to go back to FY '22 margin levels in Ravi Technoforge, a 13%, 14% EBITDA margin that we had done?

Manoj Sanghvi : We will be close to that by the end of this year.

Radha : By 4Q FY '24?

Manoj Sanghvi : Yes.

Moderator : The next question is from the line of Vinamra Herawath from JM Financial. Please go ahead.

Vinamra Herawath: Firstly, congrats on a good set of numbers. My question was many steel players now are getting into steel pipes and other downstream products. So what are differentiating factors for Ratnamani?

Manoj Sanghvi : Yes, see, a lot of players are investing in the manufacturing of stainless steel as well as carbon steel pipes, but the kind of approvals, the kind of range, the kind of facilities what we have, it will take time for them to create and catch up. So that is -- and the number of approvals what we have is also very wide. The geography what we have covered.

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Vinamra Herawath: What do you mean by number of approvals, sorry?

Manoj Sanghvi : Number of approvals from the oil and gas companies, chemical companies, nuclear power plants and defense, aerospace. So those approvals, those are all 6 months, 12 months, 2 years process. And the kind of capital investment required to have maybe capacities like -- capacities and range like us at this point in one go, would not justify it.

Vinamra Herawath: Makes sense. Okay.

Moderator : Vinamra, does that answer your question?

Vinamra Herawath: Yes.

Moderator : The next question is from the line of Pujan Shah from PS Ventures. Please go ahead.

Pujan Shah: Yes. So can you just provide me with the order book size and the sector -wise order book because I missed the initial call?

Manoj Sanghvi : So our order book stands currently at INR2,975 crores, of which domestic is INR2,370 crores, and balance is exports.

Pujan Shah: Okay. And sector -wise oil and gas end?

Manoj Sanghvi : Sector -wise breakup we are not giving anymore.

Vimal Katta : Major will be oil and gas. Right now also, you can say almost 70% should be oil and gas and related fields, power sector and continuous process industry, roughly 30% might be from water application.

Pujan Shah: Okay. So in the initial phases as we have witnessed from the last few quarters, we have been witnessing the oil and gas has been booming and as well as the water segment. So are you seeing any upcoming new sectors has been getting into traction like we are getting newly into engaging into new sectors specific to that? Or we are -- the order book is growing on that -- already on this same sectors.

Manoj Sanghvi : No, as of now, no new sectors have been added. But yes, within the sector, there can be plus and minus. Water, of course, as I informed earlier is one area which is booming at the moment in various states. So that is one area. Oil and gas is a little slow on the line pipes side. But on the process side, it is still okay.

Moderator : The next question is from the line of Radha from B&K Securities. Please go ahead.

Radha : Sir, could you tell me the export sales mix from Ravi Technoforge in first half?

Manoj Sanghvi : One second. Exports are 30% in first half.

Radha : It was -- and how much was it in

first half FY '23?

Manoj Sanghvi : 38% to 40%.

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Moderator : Thank you. We have no further questions. I would now like to hand the conference over to Mr.

Sahil Sanghvi: for closing comments. Over to you, sir.

Sahil Sanghvi: Yes. Thank you. Thank you. I would just like to thank all the participants for attending the earnings call . Also thank s to the management for answering all the questions patiently. Manoj sir, would you like to give any closing comments?

Manoj Sanghvi : Yes, Sahil. So we thank you all for participating in the earnings call and hearing us patiently. I would also like to wish everyone a great festival time ahead. Thank you.

Sahil Sanghvi: Thank you, sir.

Moderator : Thank you. On behalf of Monarch Network Capital, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

RMTL/SEC/POST-TRANS.CON-CALL/Q4/2024-25 May 21, 2024

BSE Ltd.

Corporate Relationship Department

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Rotunda Building, P. J. Tower,

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Company Code : 520111 National Stock Exchange of India Ltd.

“Exchange Plaza”, 5th Floor,

Bandra – Kurla Complex,

Bandra (E),

Mumbai - 400 051

Company Code : RATNAMANI

Subject: Transcript of the Investor Conference Call post Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended on March 31, 2024

Dear Sir/Madam,

We, vide our letter dated May 14, 2024, had intimated to the Stock Exchanges about the schedule of the Investor Conference Call on Friday, May 17, 2024 post Audited Financial Results (Standalone and Consolidated) of the Company for the fourth quarter and year ended on March 31, 2024 and future outlook of the Company's business.

The Conference Call recordings have already been uploaded on the website of the Company and a link was provided vide our letter dated May 17, 2024.

We, now enclose a copy of the Transcript of the Investor Conference Call which took place as scheduled. The said transcript is also being uploaded on the Company's website at www.ratnamani.com.

The Company has referred to publicly available documents / information for discussions during the interaction in the Conference Call and no Unpublished Price Sensitive Information were intended to share during the Conference Call.

Kindly take the above on your record.

Thanking you,

Yours faithfully,

For, RATNAMANI METALS & TUBES LIMITED

ANIL MALOO

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

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“Ratnamani Metals & Tubes Limited Q4 FY24
Earnings Conference Call”

May 17, 2024

MANAGEMENT : M R. MANOJ SANGHVI – BUSINESS HEAD , CARBON
STEEL SEGMENT , RATNAMANI METALS & TUBES
LIMITED

MR. VIMAL KATTA - CFO, RATNAMANI METALS &
TUBES LIMITED

MODERATOR : M R. SAHIL SANGHVI – MONARCH NETWORK
CAPITAL

Ratnamani Metals & Tubes Limited
May 17, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Ratnamani Metals & Tubes Q4 FY24 Earnings Conference Call hosted by Monarch Network Capital.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Thank you and over to you, sir.

Sahil Sanghvi: Thank you. Good evening to everyone. On behalf of Monarch Network Capital, we welcome you all for the 4Q FY24 Earnings Call of Ratnamani Metals & Tubes.

So, we are delighted to host the management of Ratnamani and from their side we have Mr. Manoj Sanghvi, who is the Business Head of the Carbon Steel Segment and also Mr. Vimal Katta, who is the CFO.

So, without taking much time, I will hand over the call to Mr. Manoj Sanghvi for their “Opening Remarks”. Thank you and to you, Manoj sir.

Manoj Sanghvi: Thank you, Sahil. Good afternoon to all the participants. I welcome you all to this call and hope everyone is doing good. Our results for Q4 and the full year of FY24 have been uploaded on the exchanges and I believe you all had the opportunity to go through the same. In FY24, our company has clocked its best ever performance third time in a row with topline and profitability at its historic highs, consolidated revenues crossing Rs. 5,100 crores and profits approximately Rs. 600 crores. EBITDA margins were broadly in line with our guidance provided last year, albeit EBIT towards the higher side of the band due to the product mix and stable input prices. As you all know, past few months, projects demand has been both in India and MENA region due to the resurgence of CAPEX. Soft and stable steel prices augur well for our industry, resulting into good demand for water segment, industrial and exports; however, the domestic oil and gas transmission line pipe and city gas distribution business is muted and yet to show signs of pick up. But the business traction in other segments like water line pipes, industrial supplies and SS pipes and tubes continues to remain quite encouraging.

When we began the financial year, our orders on hand were approximately Rs. 2,300 crores. During FY24, we have continued with our strategy to invest in more specialized products and improving efficiency and utilization with focus on technology and infrastructure to remain well ahead of the curve. Our well-calculated and judicious capital allocation in CAPEX and investment resulted in a very sound balance sheet leading to the next level. We are at the fag-end to commission our new expansion project of circulars of pipes for higher diameter and 18 meters in length having thickness up to 150 mm. This will further enhance our product basket for Ratnamani Metals & Tubes Limited

May 17, 2024

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specialized applications. We are quite confident that our growth will be more sustainable with the product buckets and approvals we have, best in segment facilities with benchmark qualities operating and financial leverage we enjoy.

Now, regarding our subsidiary, Ravi Technoforge Private Limited, which has clocked total revenue of Rs. 258 odd crores with an approximate EBITDA margin of 11% and a net profit of Rs. 6.7 crores. The 1st Phase of CAPEX for reorganization of two small facilities to the mother facility has been completed. We are also putting up some more automation and value addition facilities. For our spooling business, we have started commercial supplies for basic hangers and support systems. We expect our pipe cold supplies to commence by August and September of this year. We

are expecting the topline growth of mid-teens for RMTL on standalone and even on consolidated basis. Even the margins are expected to remain in line with the variation of 2 percentage points. The present macros look conducive for maintaining our long term growth and margin prospects.

That is all from our side. Now, I would like to invite questions from the participants.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Dhananjai Bagrodia from ASK. Please go ahead.

Dhananjai Bagrodia: I wanted to ask you any volume guidance going ahead for the year what we are looking at in terms of numbers?

Manoj Sanghvi: As informed in my earlier remarks, we are expecting consolidated revenue of close to Rs. 6,000 crores.

Dhananjai Bagrodia: No, in terms of volume break up, any or how would be seen as an asset?

Manoj Sanghvi: Between 10% and 15% growth.

Dhananjai Bagrodia: On an overall basis?

Manoj Sanghvi: Yes.

Vimal Katta: Dhananjai, basically our product portfolio is such where volumes only in terms of tonnage may not be the right thing to monitor. So, we monitor value addition also and the volumes in terms of tonnage also. Product is such where basically benchmarking these things also tonnage, no doubt, but there are other factors also, so usually we prefer giving guidance in terms of amount in crores instead of volume only.

Moderator: Thank you. Next question is from the line of Radha from B&K Securities. Please go ahead.

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Radha: Sir, just a bit of clarity, you mentioned Rs. 6,000 crores revenue target consolidated that is for the bearings and the steel pipe for FY25?

Manoj Sanghvi: Yes, it includes all our subsidiaries and the parent.

Radha: Sir, secondly, a bit of clarity on the capacities that we have on the stainless steel. So, I understand that we have around 50,000 tons of capacity overall in stainless steel. So, the breakup of that is in cold finish, we have 10,000 tons, 30,000 for hot finish for which scalable capacity outside is 20,000 tons and another 20,000 tons on the welded side. So, just wanted to understand whether the data point is correct? And secondly, if you could give a breakup of all the utilizations of all the segments of the carbon steel as well as the stainless steel for FY24?

Manoj Sanghvi: Capacities what you mentioned are correct for stainless steel. Utilization level on an average is 60% to 70%.

Radha: So, does this include stainless steel as well as carbon steel?

Manoj Sanghvi: Yes, some products in carbon steel maybe 50%-55%, some are close to 80%. Similarly, in stainless steel also, so it varies from, say it is between 60% and 70%.

Radha: So, segment wise breakup?

Manoj Sanghvi: Segment wise breakup will be difficult, because we had a ERW, spiral, LSAW, coating, induction bands and in stainless steel, we have welded, seamless, cold finish, hot finish, mother hollows, so on an average I can tell you.

Radha: Also, this entire 50,000 tons capacity of stainless steel is operational or any part of the production line is yet to start operations?

Manoj Sanghvi: Entire thing is operational. We have one expansion or capacity enhancement going on which is roughly 1200 to 1500 tons that will be operational by the middle of this year.

Radha: This is on the stainless steel, welded or seamless side?

Manoj Sanghvi: Seamless.

Radha: Secondly, in the steel pipes business which current cost block we can do about Rs. 6,200 crores revenue what I understand, so that gets the headroom for another 25% growth from here on, so on the basis of this are there any CAPEX plan for us for the next 2-3 years?

Manoj Sanghvi: There are 2-3 things in the working, so as and when the time is right or once they pass the liquid test, we will inform you.

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Radha: Sir, can you assume Rs. 200 crores on an average CAPEX for next 2 years per year?

Vimal Katta: Lot will depend upon which sort of CAPEX we are going to finalize. So, debottlenecking and normal CAPEX of roughly Rs. 100-Rs. 125 Cr will continue, and the larger CAPEX may happen based on the call which management may take to continue this growth, which may take another 3 to 6 months' time.

Radha: Sir, there was one extra plant in Orissa for which I think we had Rs. 170 crores CAPEX allocated, so that will come in this year?

Manoj Sanghvi: Yes, it will come this year by, but at the back end of this year.

Radha: Sir, lastly, if you could highlight a bit on the demand scenario on both the carbon steel and the stainless-steel business, because I can see in the order book, the export demand for the stainless steel has short up in this quarter. So, if you could just highlight on the demand scenario?

Manoj Sanghvi: Demand for stainless steel like month-on-month, we are booking closed between Rs. 120 and Rs. 150 crores. So, we have seen in the last quarter or so push from Middle East Europe as well as India. So, our order booking month-on-month has increased, which is now surpassing Rs. 150 crores every month. So, that is ordered to order or project to project in stainless steel will be difficult to inform because there are various small orders as well as medium size orders, whereas if we see carbon steel, the demand for industrial height is quite good, including the heavy wall thickness pipe. However, line pipes as I informed in my opening remarks is muted at the moment. Not many domestic tenders we are seeing, but we are seeing a lot of international tenders for oil and gas. If we see city gas distribution which is normally ERW pipes, there also demand, at the moment it is slow, but it is a cycle and we feel that in another 3-4 months, the demand should pick up.

Radha: Sir, what is causing this good demand in the exports market on this stainless-steel side?

Manoj Sanghvi: Stainless steel, carbon steel, both majority of the demand APC is right now in the Middle East, so Saudi Aramco SABIC which is in the kingdom of Saudi Arabia and ADNOC in Abu Dhabi, Qatar, they are all in expansion mode, so that is what is driving the demand in the oil and gas segment.

Radha: Sir, I think last year, we got an approval on the LSAW from Saudi Aramco. So, does this include the order book? It includes the order from those approvals that we have got.

Manoj Sanghvi: No, not yet.

Moderator: Thank you. Next question is from the line of Vikash Singh from Phillip Capital. Please go ahead.

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Vikash Singh: Sir, my question pertains to the sharp increase in the SS segment and especially on the export side. So, just wanted to understand which are the geographies where we have managed to make inroads and is it just a temporary or you expect that these kind of deal close or the firm orders should continue on the export side?

Manoj Sanghvi: There was a capacity increase in stainless steel division, the new extrusion which came up in '21-22. So, the capacity utilization is better, and we are able to reach for other products, of course, we were already present, but we have been supplying now to Europe, US, Middle East and the utilization of extrusion has started getting better. That is the reason we see good revenues in stainless steel division.

Vikash Singh: So, this is supposed to be continued because we have the new capacities in place. Is that correct assumption?

Manoj Sanghvi: Yes. As the utilization gets better, of course, the revenues will be better.

Vikash Singh: So, overall utilization level for the new mill would have been right now how much percentage?

Manoj Sanghvi: 35% to 40%.

Vikash Singh: Sir, my second question pertains to carbon steel segment division. We have seen the kind of

order booking having diluted or slowed down. So, just wanted to understand this is more related to the election and that is why new orders are not coming or there is some structural softness you are seeing in terms of granting new orders?

Manoj Sanghvi: Yes, one of the reasons we can say election, but that is not the only reason. Normally, we see it is a little cyclic business. So, sometimes there are huge projects and projects come together whereas sometimes you have a situation where, but a few projects are under planning. So, in another 6-8 months, we should see some projects.

Vikash Singh: And sir, in your order mix, oil versus water, how that mix is right now?

Manoj Sanghvi: Of the total order book?

Vikash Singh: Yes, sir, of the total order book.

Manoj Sanghvi: The total order book, I think 20%, close to 20%.

Vikash Singh: Sir in terms of Ravi Technoforge, I believe that this year we need to buy one more chance of the equity at a particular valuation. So, I just wanted to understand have we come to that valuation or if you could disclose us the price at which you would be banked the remaining?

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Manoj Sanghvi: So, we have just concluded the board meetings for the subsidiary and RMTL. Based on the audited numbers and the agreement we have; the second branch will be bought. Number and all is still under working because still there are any adjustments to be done. So, that will happen by 30th June.

Vikash Singh: And sir, just lastly, we were also doing the downstream or the value addition in the SS segment,

so what percentage of the value addition facility has already come and what is pending?

Manoj Sanghvi: So, the 1st Phase of investments for the cold division is already done. We have received some orders also. As we start the supply, which is from August, September and the value addition 15% to 20%.

Vikas Singh: So, currently 15% to 20% of the value addition, which has already been done for the incremental capacity which we have committed last year?

Manoj Sanghvi: No, it is not for the incremental capacity, both existing as well as incremental.

Vikash Singh: And till what percentage we can take it up to.

Manoj Sanghvi: See, there will be for colds and hangers, there will be some products which will be bought from outside, some the parent will supply to the subsidiary and there will be further value addition of 15% to 20% and it will be supplied to the end customer.

Moderator: Thank you. Next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, what is the quantum of the order book? I have joined slightly late. I have missed that?

Manoj Sanghvi: As on 1st May it is close to Rs. 2,400 crores.

Aditya Welekar: And you have spoken about oil and gas demand outlooks, any color on water related end product outlook?

Manoj Sanghvi: Water, there are few projects in the western part of the country, there are few in the central part which is in MP, there are some in North UP. So, water, yes, still there is demand.

Aditya Welekar: And what is the split of this order book in terms of oil and gas, water and in terms of carbon and stainless steel?

Manoj Sanghvi: Roughly 70:30, I would say, 70% is carbon steel, 30% is stainless steel and of that 70%, you can say 20% to 25% is water.

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Aditya Welekar: And if we want to take a slightly longer-term view, say by FY26-27, how do you think that is oil and gas demand in Middle East will pan out, if you have any indication on that?

Manoj Sanghvi: Right now, with the kind of projects going on, we see there will be good demand until minimum 2030 because a lot of projects have been announced simultaneously in Saudi, in Abu Dhabi, UAE, then you have Qatar and India being quite close to these nations, so our chance w

ill always

be better.

Aditya Welekar: And any inorganic acquisition plans you have?

Vimal Katta: No, nothing is on the chat.

Moderator: Thank you. Next question is from the line of Dhyey from Niveshaay Investments Advisors. Please go ahead.

Dhyey: Sir, would it be possible to give a rough estimate about the EBITDA contribution from the stainless steel or alloy steel segment?

Manoj Sanghvi: Overall, you have the number, right? Stainless steel, carbon steel all put together, it is this.

Dhyey: Also, sir, I wanted to understand related to the specialized tubes that we make, so there were some reports that the hydrogen CAPEX has started in the USA and there is a significant demand for such tubes. So, would there be any guidance, EBITDA guidance, revenue guidance or any order book guidance for that segment?

Manoj Sanghvi: Hydrogen pipes, yes some few projects have been announced in the US and the Europe, but still those are on trial basis. No major pipeline or anything is announced yet, so how the trial goes on. Of course, the pipes, what they are buying for oil or gas should be hydrogen compliant. That is what some European nations have started, but pipeline per se for hydrogen, still it will take some time.

Dhyey: Talking about tubes which are used in applications like heat exchangers or duplex, super duplex models, so what would be an approximate per ton revenue or EBITDA that we might be earning, if it is possible?

Manoj Sanghvi: What grade, what size, what quantity, so many parameters, so many factors will govern the price per ton. It is not the commodity, right, so difficult to say.

Moderator: Thank you. Next question is from the line of Mr. Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi: My first question is on Ravi Technoforge, sir, the revenue growth has been poor on that front, so can you just highlight the factors which were responsible for the poor performance in Ravi

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and also the margins can really pan out as we expected. So, one of the factors and how are we looking on this business in FY25, what is the plan, what are we working on?

Manoj Sanghvi: So, two reasons, I would say. See, there has been a volume growth of roughly 10%. However,

the steel prices were a little soft, one which actually the revenue growth what we were projecting or thinking could not be achieved. Second because of disturbances in Europe, our domestic share has increased, however, export has gone down a little bit which again in this year, we feel that it shall pick up. And going forward for this year, we have a sales target of roughly between Rs. 310 and Rs. 330 crores. And on the margin, of course, with the revenues being where it was, with no such growth, margins were just above the double-digit figure, just close to 11%, but going forward as the revenues increase plus with the automation, reduction in manpower things, what we are doing, we feel that 13% to 14% in this year should be possible.

Sahil Sanghvi: And my second question is regarding the cooling business, what kind of CAPEX have we done as in we spent anything on this business, if you can give me that number?

Manoj Sanghvi: So, till date phase 1, Rs. 16 crores of CAPEX is done.

Sahil Sanghvi: And what kind of optimum revenue can we generate on this CapEx?

Vimal Katta: Further CAPEX will be there. Overall, first it should be closer to 20. So, that should give a turnover visibility closer to Rs. 100 crores.

Sahil Sanghvi: And margin profile will be similar?

Vimal Katta: EBITDA margin should be in that range 19%, 18% to 20% maybe.

Manoj Sanghvi: But not immediately because see this year, maybe we will be manufacturing colds and hangers for the oil and gas industry. Our eventual aim would be of course oil and gas to get the volumes, but some part of it goes the nuclear industry also. So, when

you have that approval in place,

maybe 1 year, 1-1/2 year down the line, then those margins shift you will see.

Moderator: Thank you. Next question is from the line of Nitesh Dutt from Burman Capital. Please go ahead.

Nitesh Dutt: I have a question on the stainless steel, seamless export side, just want to understand how much of revenue for FY24 came from exports to Europe for both seamless and welded on stainless steel?

Manoj Sanghvi: Breakup, geographical reason wise, I don't have, and we don't share with geography what we did.

Vimal Katta: See in case stainless steel, more than 50% of turnover came from direct physical exports and at blended levels, more than 20% of turnover came from exports, both stainless steel and carbon

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steel combined together. And export business, in case of a stainless steel, it is a regular business and we have been trying to add more geographies and in case of other stream it is opportunity driven. So, wherever opportunities are there, we try to see those can be capitalized.

Nitesh Dutt: Sir, on the stainless-steel side in Europe, can there be a bigger opportunity over the coming few months because some competitors have been hinting at it because of the European company is not being competitive and also potentially the ADD getting extended on the Chinese imports, so any perspective on that?

Manoj Sanghvi: As indicated earlier as our utilization and we start making more and more critical grade, definitely the revenues will go up, not only Europe but Middle East, US, all the regions.

Nitesh Dutt: And sir, finally for FY24 or latest quarter, is it possible for you to give revenue breakup in terms of seamless, welded on stainless steel and carbon steel and other segment?

Manoj Sanghvi: No, that revenue break up is not what we share. What we did in seamless, what was welded, overall, the numbers are already there what we have achieved.

Nitesh Dutt: Just one more question, sir, if I can squeeze in. I just wanted to understand on domestic capacity front, at least on the seamless side, some competitors have been coming up with new capacities.

You are also expanding capacities slightly, so do you think there is enough domestic demand at least to absorb the incremental capacity? That is the question.

Manoj Sanghvi: See capacities in stainless steel is increasing, but by what process is important, we have put up the capacity with a process called extrusion whereas whatever capacity coming in the country which is low CAPEX is pierce product, so acceptability of where extrusion is required, pierce is not acceptable. So, it is a different segment altogether. But for that particular segment, yes, the capacity is increasing where we supply extruded pipes also.

Nitesh Dutt: So, for relevant manufacturing process extrusion, the 30,000 tons of sellable capacity on seamless side against that, any idea on what kind of demand would be there right now in India?

Manoj Sanghvi: All put together maybe close to 80,000 tons to 100,000 tons.

Nitesh Dutt: Are you including the hot piercing and extrusion both or only extrusion?

Manoj Sanghvi: Yes.

Nitesh Dutt: Both combined?

Manoj Sanghvi: Yes.

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Moderator: Thank you. Next question is from the line of Mr. Vikash Singh from Phillip Capital. Please go ahead.

Vikash Singh: Sir, I just want to understand, since our mix of SS pipes basically jump from 25% in the order book to 34%, can we safely assume that the next 2 to 3 quarter, our margin should be on an elevated side than the usual guidance which you make?

Manoj Sanghvi: Our guidance still remains same, which is between 16% to 18% because in longer run where the demand for oil and gas pipes in the carbon steel is muted, so more and more order booking will happen in water segment where margins

are quite competitive that means we are going a little slow in carbon steel. If you see normally our order booking in carbon steel would be closer to Rs. 2,500 crores alone, so both put together, same 16% to 18% what we can say. It can be on the higher side, but our guidance would be 16% to 18%.

Vimal Katta: Vikash, basically in any reporting quarter, we may see a situation wherein process pipes may contribute higher to the topline and the profitability may seem to be better, but blended at the end of the year at 16% to 18% range will be there because whatever is going to be the loss in margins because of water contributing higher that may get offsetted with better utilization of capacities in process pipes.

Vikash Singh: Sir my second question pertains to the competition itself, we have heard from some of the competitors that now the time for taking the approval specially, for the oil and gas has shrunk, so just wanted your view that is it still that the time period is very elongated, or it has actually shrunk? It has become much easier to get the approvals.

Manoj Sanghvi: It depends from area to area, customer to customer. Maybe we talk about the time taken is much more than it was. But if we take example EIL in India, yes the time taken has shrunk. So, to generalize that it has shrunk is not right.

Vikash Singh: Just one last question, basically in terms of exports, may I know if given today the elevated cost of export because of the freight etc., is the net margins in export is still higher than the domestic or is the vice versa?

Manoj Sanghvi: As far almost.

Vikash Singh: Even after the increased cost of the freight and insurance it surpassed?

Manoj Sanghvi: Freight is generally a pass through.

Moderator: Thank you. Next follow up question is from the line of Radha from B&K Securities. Please go ahead.

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Radha: Any plans on expanding or converting I wanted to say the hot finish to the cold finish because the margins of cold finish I came in to understand that they are better than the hot finish? And also, could you highlight what would be the average margin difference between the two?

Manoj Sanghvi: So, to answer your first question, yes, there is a small expansion of capacity happening in the cold finishing facility, so once we utilize that, then maybe we will plan another phase of cold finishing expansion. Second, margin breakup for hot finish and cold finish we would not be sharing.

Vimal Katta: Radha basically, capacities are not fungible, so hot finished will remain in hot finished, cold finished, newer capacities need to be added, one thing. Second thing is cold finishing will have a better margin because further processing is done on the hot finished material, so it is like that.

Radha: Sir, the 1,200 tons to 1,500 tons of CAPEX you mentioned that was on the cold finish side?

Vimal Katta: Yes.

Radha: I understand that we cannot speak on the margins on the hot finish versus cold finish, so just wanted to understand the difference in margins between the two?

Vimal Katta: The cold finishing will have a better margin because it is a further process over the hot finished material, so definitely cold finishing results into margin improving.

Manoj Sanghvi: But then the volume will be less. The process is also more.

Radha: 4% to 5% better margin, sir?

Vimal Katta: It depends upon the product to product and order to order. It can be better than 5% also.

Moderator: Thank you. Next follow up question is from the line of Nitesh Dutt from Burman Capital. Please go ahead.

Nitesh Dutt: I have a follow up question on stainless steel welded side, so we have a capacity of roughly 20,000 tons, I guess, sellable capacity, so want to understand in terms of capacity, what percentage of market share would we have right now? And also, I was reading recently that

the

Indian government had initiated an ADD investigation last year, so in case that is favorable can this be a big opportunity as well in terms of future expansion?

Manoj Sanghvi: The ADD investigation was on stainless steel seamless pipe, not on the welded pipe.

Nitesh Dutt: Was it not on welded pipe? I might be wrong, but I read it somewhere, it was initiated in 2020.

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Manoj Sanghvi: Welded pipes what we manufacture is not for the structural or architectural purpose, so if I remove that market, we would be close to 20% of the demand in India.

Nitesh Dutt: So, basically 100,000 tons of demand again and what would be the imports out of that 100,000?

Manoj Sanghvi: Not much.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital for the closing comments.

Sahil Sanghvi: I just would like to thank the management for patiently answering all the questions and also thank you to the participant to join the call. Manoj sir and Vimal sir, would you like to give any closing comment.

Manoj Sanghvi: Thank you, Sahil. So, with great emphasis, I again would like to highlight that our philosophy has always been to consider any decision on long-term keeping sustainability and value creation in its core. The number of the last 7 years supports the same wherein we have grown our revenues and profits at the CAGR of 19% and 23% respectively. We thank you all for participating in our Earnings Call and appreciate the patience in hearing. We wish you all a great time ahead.

Moderator: Thank you. On behalf of Monarch Network Capital, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2024

RMTL/SEC/POST-TRANS.CON-CALL/Q2/2024-25 November 21, 2024

BSE Ltd.

Corporate Relationship Department

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Company Code : 520111 National Stock Exchange of India Ltd.

“Exchange Plaza”, 5th Floor,

Bandra – Kurla Complex,

Bandra (E),

Mumbai - 400 051

Company Code : RATNAMANI

Subject: Transcript of the Investor Conference Call post unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended on September 30, 2024

Dear Sir/Madam,

We, vide our letter dated November 8, 2024, had intimated to the Stock Exchanges about the schedule of the Investor Conference Call on Monday, November 18, 2024 post Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended on September 30, 2024 and future outlook of the Company's business.

The Conference Call recordings have already been uploaded on the website of the Company and a link was provided vide our letter dated November 18, 2024.

We, now enclose a copy of the Transcript of the Investor Conference Call which took place as scheduled. Please note that the Con-Call was attended on behalf of the management of the Company by Shri Manoj P. Sanghvi, Whole Time Director and Chief Executive Officer and Shri Vimal Katta, Executive Director (Fin.) and Chief Financial Officer.

The said transcript is also being uploaded on the Company's website at www.ratnamani.com.

The Company has referred to publicly available documents / information for discussions during the interaction in the Conference Call and no Unpublished Price Sensitive Information were intended to share during the Conference Call.

Kindly take the above on your record.

Thanking you,

Yours faithfully,

For, RATNAMANI METALS & TUBES LIMITED

ANIL MALOO

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

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“Ratnamani Metals & Tubes Limited Q2 FY '25
Earnings Conference Call”
November 18, 2024

MANAGEMENT : M R. MANOJ SANGHVI – CHIEF EXECUTIVE OFFICER ,
RATNAMANI METALS & TUBES LIMITED
MR. VIMAL KATTA – CHIEF FINANCIAL OFFICER ,
RATNAMANI METALS & TUBES LIMITED
MODERATOR : M R. SAHIL SANGHVI – MONARCH NETWORK CAPITAL

Ratnamani Metals & Tubes Limited
November 18, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Ratnamani Metals & Tubes Limited Q2 FY '25 Earnings Conference Call, hosted by Monarch Network Capital.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Network Capital. Thank you and over to you, sir.

Sahil Sanghvi: Yes. Thank you, Darwin. Good evening to everyone. On behalf of Monarch Network Capital, we welcome you all for the 2Q and First Half FY '25 Earnings Call of the Ratnamani Metals & Tubes.

We are delighted to host the Management of Ratnamani, and from their side we have Mr. Manoj Sanghvi – Chief Executive Officer; and Mr. Vimal Katta – Chief Financial Officer.

So, without taking much time, I will hand over the call to Mr. Manoj Sanghvi for their "Opening Remarks". Thank you and over to you, Manoj sir.

Manoj Sanghvi: Yes. Thank you, Sahil. Good evening, everyone. I welcome you all to this call and hope everyone is doing good. Let me first take this opportunity to wish you all a very happy New Year and season's greetings from Ratnamani. Our results for Q2 and half year have been uploaded on the exchanges, and I believe all had the opportunity to go through the same.

On standalone basis, in quarter two our company has clocked the revenue of Rs. 917 crores and EBITDA of Rs. 168 crores for the half year. The revenues were Rs. 2,039 crores with EBITA of Rs. 335 odd crores. The EBITDA margin expanded in Q2, but for the first half it was broadly in line with our target range, a bit higher side of the band due to the better export product mix and lower input prices. We are confident of maintaining our EBITDA margins, as guided earlier, on annualized basis. However, on the revenue front, some dip may be witnessed. The dip is basically because of the soft metal prices and delay in some projects and offtake at the end customers' end. As you all know, past few months demand in oil and gas remained subdued in India, but has been good in MENA region. In the last quarter, we witnessed some slowdown for dispatch clearance from customers due to seasonal factors and the project delays, but things are looking better now and expected to improve in future. Due to soft and stable steel prices, our industry has seen good demand into water segments, industrial and exports. However, the domestic oil and gas projects and CGD business is expected to remain muted for near future, and yet to show signs of any pickup. But the business traction in the other segments like water line pipes, industrial supplies and SS pipes and tubes continue to remain quite encouraged. Presently, all our plants are operating at 50% to 60% utilization, except the ERW pipes where the demand load is quite low.

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Our orders on hand as on 1st November was approximately Rs. 2,900 plus crores. In line with our strategy to invest further into specialized and high value added products, with improving efficiency and utilization, we have decided for setting up cold finishing projects out of India. When we meet for the next call, we shall share more details about this project. At this stage, we can only reveal that the broader project cost is estimated around \$ 40 million.

We have commissioned our project for manufacturing of heavy thickness pipes. This will further enhance our product basket for specialized application, and have started getting good response from the market for this segment. As we move forward, w

e are seeing more sustainable growth

with product bouquets and approvals we have, best in segment facilities with benchmark qualities operating and financial leverage we enjoy.

Now, regarding our subsidiaries, Ravi Technoforge has clocked a total revenue of approximately Rs. 138 crores, with operationalized EBITDA margin of approximate 10-plus-percentage. On the year-on-year basis, the revenues increased by 11% despite soft steel prices. EBITDA grew marginally by 4%, but profit declined due to higher depreciation and interest cost because of CAPEX.

As informed to the exchanges, we have completed the acquisition of another 27% at Rs. 81 per share, which was based on the financial metrics and customary adjustment as per our agreement.

As informed earlier, we are putting up some more automation and value addition facilities. We are also setting up an 8 megawatts captive solar power plant and expect the same to be commissioned in next four to five months. Our few developed products could not be commercialized due to geographical disturbance at the target customer side.

Domestic demand seems to be stable and expecting demand from Europe and US to start showing signs of recovery in quarters to come. For our spooling business, we have started commercial supplies for basic hangers and support systems. We expect our piped spool business to commence within this quarter. The order booking and expansion program is largely on track, and presently the complete focus is on executing jobs and developing capabilities.

That's all from our side. Now, I would like to invite questions from the participants. Thanks.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Muskan from B&K Securities. Please go ahead.

Muskan: Sir, the joint venture with 51% stake that we have with technoenergy, that is a group based out of Switzerland, what will be the business opportunity from the products under spooling umbrella and domestic and in exports? And how easy is it to get the customer approval and their acceptance? And also, are there any other competitors to cater in this space?

Manoj Sanghvi: So, to answer your first question that is, as we speak, we have close to order backlog of Rs. 650 crores for the pipe spool business. Customer approval is in place. Executions will start. We will see some dispatches in this quarter and some in the next quarter. However, most of it will be Ratnamani Metals & Tubes Limited

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dispatched during the next financial year. So, this year, our target for the spooling business is close to Rs. 150 crores.

Muskan: Sir, how many competitors are there in this space, in this spooling business?

Manoj Sanghvi: There are a lot of pipes, spooling fabricators in India. However they are mostly into oil and gas segment. Whereas what orders on hand we have is from the nuclear division. So, not much competition at the moment for the nuclear project.

Muskan: And sir, like what's the demand scenario in spooling business, in domestic and in exports, what's the opportunity there?

Manoj Sanghvi: So, not only in India, but along with our partners we are bidding for projects overseas also. So, we are quite hopeful that going forward, out of the total spooling business, 75% would still come from the nuclear business and 25% would be from the oil and gas segment, two to three years from now.

Muskan: Sir, you mentioned in the concall that JV will help to cater the oil, gas and commercial business and nuclear plants, like you mentioned right now. Can this spooling product contribute to Rs. 500 crores revenue next four, five years? And also, can you please guide us on the EBITDA margins that we get under spooling and auxiliary products?

Manoj Sanghvi: So, as we speak, we already have orders on hand of close to Rs. 650 crores. Rs. 150 crores is our

dispatch plan for this year. Next year, we will target anywhere between Rs. 400 crores to Rs. 500 crores, and EBITDA margin would be similar to our blended EBITDA of metals and tubes today.

Moderator: Thank you. We have the next question from the line of Abhishek Ghosh from DSP Mutual Fund. Please go ahead.

Abhishek Ghosh: Sir, just wanted to understand in terms of the big pipeline, how is it looking, both in the line pipe and the process pipes, both at the carbon and the SS segment of it?

Manoj Sanghvi: Yes, Abhishek ji, thank you. So, as indicated in my opening remarks, line pipes, oil and gas, the demand is still quite muted. We are expecting some tenders. However, the timelines at the moment it is very difficult to say. SS and carbon steel, both processed pipes, the demand in India is a little bit on the lower side. However, there's a lot of traction from Middle East and we have been receiving a lot of orders from Middle East for the same.

Abhishek Ghosh: And sir, in terms of in terms of the water projects and the oil and gas in India, anything in terms of traction in the second-half or going forward? Because so far we have had election in the monsoons, but how should we look at it from a 12 to 15-month perspective, anything to demarcate between oil and gas and water segment, sir?

Manoj Sanghvi: Yes. So, water, if you see the order backlog, we had quite good substantial order backlog from

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was less. So, in this quarter and the next quarter, normally all the water pipes, because laying activities are much faster. So, in the next two quarters we are going to see covering up, basically.

Abhishek Ghosh: And I don't know if you have kind of said out earlier, but broadly will you be able to maintain the growth of 8%, 9% odd, that kind of growth one should expect in the current year, given that the second-half is going to be stronger given higher up lift in replacement and other things?

Manoj Sanghvi: So, standalone basis, I would say we would still be close to between Rs. 5,000 crores to Rs. 5,200 crores. So, yes, we still maintain that there would be a growth of 8% to 10%.

Abhishek Ghosh: So, that visibility is there, it's just that for FY '26 you will need to see higher inflows to be able to grow from there on?

Manoj Sanghvi: We are seeing some visibility, especially from the Middle East, Europe some projects. And if we see the order backlog also, it has started improving. So, going forward next year, maybe in the last quarter we will be able to give you the exact numbers. However, 8% to 10% should not be an issue.

Abhishek Ghosh: And sir, just in terms of capital allocation, how should we look at it over the next 12 to 15 months, which are the large CAPEX that we will incur? And which are the new capacities which are coming in in terms of old roles or any other products, if you can help us with that?

Manoj Sanghvi: We had two expansions which were ongoing, one was our spiral plant in Orissa, which will be commissioned in the first quarter of next financial year. Then we had another project of increasing our capacity in stainless steel cold finishing plant, that will be operational in this quarter. Other than these two projects, we have two projects which has been approved in the current board meeting which is setting up a greenfield plant in the Middle East for cold finishing activities and setting up another plant for manufacturing of auto parts in RTL. These are the two projects, the one in Middle East, our budget is close to \$40 million and the one in India where we plan to expand capacities in RTL is close to Rs. 240 crores, Rs. 250 crores.

Abhishek Ghosh: So, overall, Rs. 550 crores, Rs. 600 crores of overall capital allocation, growth CAPEX, the new ones which

have been announced?

Manoj Sanghvi: Yes.

Abhishek Ghosh: And what will be the timeline for these two to come through in terms of commissioning?

Manoj Sanghvi: So, 18 to 24 months for both. 18 months for say start of the production, however, the approvals and everything in place, within 24 months.

Abhishek Ghosh: And that is because you are seeing a lot of strong opportunity as far as your exports of SS pipes are concerned, I am saying the greenfield unit which you are putting up in Middle East, is there a lot of good option coming through?

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Manoj Sanghvi: Yes, we have been already catering to this market. We have a substantial market share. One is, of course, looking at the market size and what we are supplying from here. Another is, these days with the countries being protective and the local content required, that is another reason for us to set up this plant in Middle East.

Abhishek Ghosh: And sir, just one last question in terms of the RTL expansion, is it the same product profile of Ravi Technoforge or is it newer products which you intend to do with this expansion?

Manoj Sanghvi: It will be newer products which we will add to the basket. Plus, the existing products can also be made on the same machine. But our aim is to have a diversified product portfolio over there.

Moderator: Thank you. The next question is from the line of Dheeraj Dave from Samvad Financial Services LPP. Please go ahead.

Dheeraj Dave: Question I have is, basically we see a significant increase in inventory of finished goods and work in progress as per results, almost Rs. 120 crores which was last quarter Rs. 60 crores, and year before it was kind of Rs. 36 crores. So, is it like, as in previous question and answer management indicated that water demands or water pipes demand project is delayed. So, is it a buildup of that? And how do management feel, does it mean some kind of adversely hitting margin for the September quarter? If you can elaborate, that would be helpful.

Manoj Sanghvi: No. So, as indicated, most of it was because of the monsoon, which the water pipes especially we had quite a bit of inventory which was there.

Dheeraj Dave: If you have to give a broad breakup, approximate breakup, say Rs. 120 crores increase, so how much would be like water pipe or project related thing as compared to what is the normal level?

Manoj Sanghvi: About 50% of this would be water pipe and balance would be all other products.

Dheeraj Dave: Okay, 50% would be water pipes. And when it will be implemented or the sales will be affected, would we see kind of operating leverage giving some kind of better margin in Q3 and Q4?

Manoj Sanghvi: So, this quarter, most of it will be liquidated and will come to a normalized level of inventory.

Dheeraj Dave: And we do expect kind of standalone sales top line of around Rs. 5,000 crores to Rs. 5,500 crores, right?

Manoj Sanghvi: Yes, it will be Rs. 5,000 crores, plus say about Rs. 200 crores.

Dheeraj Dave: And any guidance on EBITDA, would it be at same level or it would be affected adversely?

Manoj Sanghvi: Yes. Here our yearly guidance will remain the same, 16% to 18%, in between that anyway.

Moderator: Thank you. The next question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.

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Ashutosh Tiwari: So, firstly on this spooling JV, for top line guidance of Rs. 450 crores to Rs. 500 crores, what kind of investment we need to make in this year, next year?

Manoj Sanghvi: Yes. So, this spooling JV, whatever we have targeted, say for next year, which is Rs. 400 crores to Rs. 500 crores, investments are in place or happening at the moment. Phase-2 of investments for pheno has been approved, so there our total investment outlay is close to Rs. 240

crores.

Ashutosh Tiwari: And this will be spent in which year?

Manoj Sanghvi: This will be spent mostly next year, part of it will be spent maybe 25%, 30% in this year, and balance in next year.

Ashutosh Tiwari: And how much was the Phase-1, would it be?

Manoj Sanghvi: Sorry, can you repeat the question?

Ashutosh Tiwari: What is the Phase-1 CAPEX?

Manoj Sanghvi: There is one CAPEX, Katta ji, can we have that number?

Vimal Katta: Phase-1 will be hardly around Rs. 50 crores, Rs. 60 crores at the most, yes.

Ashutosh Tiwari: So, in total around Rs. 300 crores CAPEX?

Vimal Katta: Yes, yes.

Ashutosh Tiwari: And this will be, because JV is 51:49, so it will be half by us and half by the partners?

Vimal Katta: Yes.

Ashutosh Tiwari: So, right now you mentioned that line pipe is a bit weak in oil and gas, but exports are doing better and process pipes generally are better off?

Manoj Sanghvi: Yes.

Ashutosh Tiwari: So, that means that, I mean, those are generally better margin products really for us, exports and the process pipes?

Manoj Sanghvi: Yes, exports, process pipe, in stainless steel we have welded also, we have seamless also. So, all put together, yes, some margins are better, some are average.

Ashutosh Tiwari: So, I think second-half will be very strong. And on the export side, I think with this cold finishing line getting completed in this quarter, you think that there is further addition to order book for SS seamless side, because that's an area where we have been also expanding our product portfolio?

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Manoj Sanghvi: Yes, we will see utilization from this or the next quarter on the added capacity of cold finishing facilities.

Ashutosh Tiwari: So, SS order book should ideally improve from here over the next three, four quarters?

Manoj Sanghvi: Yes, yes.

Ashutosh Tiwari: So, between the two, I mean, can you guide like say between SS and CS where you think the growth will be higher over say next two to three years for us?

Manoj Sanghvi: So, stainless steel, definitely with this cold finishing facilities and another cold finishing facility which we plan to set up in the Middle East will be growth from there. However, the asset turnover ratio being less in stainless steel maybe in terms of number, however, the margins will be quite different. At the same time, carbon steel revenue growth will be quite strong after Orissa comes in, plus our heavy thickness plant once the utilization goes up.

Ashutosh Tiwari: And how has been the progress in European market? I mean, that's one market that we are focusing a lot.

Manoj Sanghvi: Europe is, overall globally if you see the prices are soft, but demand uptake is still there.

Ashutosh Tiwari: So, we are seeing improvement in our market share slowly in that market?

Manoj Sanghvi: Yes, yes.

Moderator: Thank you. We have the next question from the line of Dhananjay Bagrodia from ASK. Please go ahead.

Dhananjay Bagrodia: I just wanted to ask you sir, now, could you give any color on like volumes, this revenue degrowth how much would be from volumes and how much would be from steel price decrease?

Manoj Sanghvi: Can you please repeat, I missed in between?

Dhananjay Bagrodia: Sir, for our revenue, how much would have been volumes decrease and how much would have been realization decrease?

Manoj Sanghvi: For the first two quarters?

Dhananjay Bagrodia: No, for the second quarter for standalone any color on how much would have been realization decrease and how much would have been volume decrease?

Manoj Sanghvi: Realization decrease would be anywhere close to 15 %, approximately.

Dhananjay Bagrodia: And sir, for us, which segment would have done better in terms of carbon steel versus stainless steel?

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Manoj Sanghvi: No. So, basically, if we

see the second quarter, other than line pipes all the other are what we had budgeted for. So, the line price is a little slow, as indicated earlier.

Dhananjay Bagrodia: And sir, now one of our competitors has been speaking of a lot of strong growth in stainless steel. Are we also seeing the same traction globally? And how, say we were able to ramp up volumes in this, direct for strong volumes going ahead also would we see similar numbers in our stainless steel?

Manoj Sanghvi: I do not know which competitor, but we still consider a growth of 10% to 15% on stainless steel is what we can continue at. Plus, if we see a lot of competitors, especially on stainless steel seamless are increasing, and that too with the piercing technology. We have recently two or three other manufacturers who have come in, and two or three other companies who have announced that they are putting up a stainless-steel piercing plant.

Dhananjay Bagrodia: And sir, there was a company NCLT which was bought by Jindal Stainless, would we have looked at that? Because it was a good capacity and very reasonable price compared to other people cross the block for the same cost for the same capacity, did we look at that?

Manoj Sanghvi: I am not aware what company, was it stainless steel or carbon steel?

Dhananjay Bagrodia: No, stainless steel, Rathi.

Manoj Sanghvi: Which one?

Dhananjay Bagrodia: Rathi.

Manoj Sanghvi: I have not heard of this company, so I do not know.

Dhananjay Bagrodia: Sir, Jindal Stainless announced this acquisition.

Manoj Sanghvi: Jindal Stainless, they would have taken over something which has to do with maybe ornamental and infrastructure pipes. So, we are not into that segment at the moment.

Moderator: Thank you. The next question is from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi: Sir, can you just give me some more details on the heavy thickness pipes? I mean, where exactly are we aiming to, I mean, which are these pockets where we will be targeting these pipes? And I mean what dimensions are there? And what kind of CAPEX we incurred for this?

Manoj Sanghvi: Our CAPEX total was close to Rs. 50 crores, Rs. 60 odd crores. And we would mostly be catering to the offshore industries. It can be an offshore oil and gas platform; it can be an offshore wind farm.

Sahil Sanghvi: And now the asset turnover will be roughly 2x?

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Manoj Sanghvi: Yes, 2x, 2.5x.

Sahil Sanghvi: Also wanted to understand, I think in the first half we have spent about Rs. 160 crores in CAPEX, the number I can see from the cash flow. So, what is the targeted CAPEX spend for this year and next year, if you can give some guidance?

Manoj Sanghvi: So, standalone I think so we have Orissa, which is going on, and of course the some equipments on stainless steel cold finishing facility. Other than that most of it for Middle East would come maybe in the next financial year.

Sahil Sanghvi: And the Phase-2 of spooling also will be there, right?

Manoj Sanghvi: Yes.

Sahil Sanghvi: So, this year, on the consol side we should be somewhere around Rs. 200 crores or less than that?

Manoj Sanghvi: For the balance, yes, close to anywhere between Rs. 150 crores to Rs. 200 crores.

Sahil Sanghvi: And next year, would you be able to give some number?

Manoj Sanghvi: Next year, all put together, roughly Rs. 300 crores, Rs. 350 crores.

Moderator: Thank you. The next question is from the line of Dheeraj Dave from Samvad Financial Services LLP. Please go ahead.

Dheeraj Dave: Sir, what is the breakup of export and domestic sales during this quarter and how do you see in next year or FY '26?

Manoj Sanghvi: Say, almost 50:50, what we have orders on hand is almost 50:50.

Vimal Katta: See, almost one-third of turnover came from exports in this quarter.

Manoj Sanghvi: Yes. On the re

venue side it is 30:70 or 35:65. However, orders on hand is almost 50:50.

Dheeraj Dave: So, basically, there is a 50:50 export and domestic. But what we understand is that generally the demand environment as well as volume from Middle East and other markets were better vis-a-vis Indian market, particularly kind of thing. So, the ratio would remain same, or it would change?

Vimal Katta: So, historically, normally our exports are anywhere between 30% to 40%. But since domestic demand is muted, exports we see a good demand. So, orders on hand also you can see that visibility that it is 50:50 now.

Dheeraj Dave: So, we would be getting into that area?

Manoj Sanghvi: Yes.

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Dheeraj Dave: And generally export market is more remunerative?

Manoj Sanghvi: Export market is more?

Dheeraj Dave: Remunerative, profitability is better or is equal?

Manoj Sanghvi: It depends from product to product, but yes for some certain products you can say that.

Moderator: Thank you. The next question is from the line of Muskan from B&K Securities. Please go ahead.

Muskan: Sir, what is the potential revenue from the joint venture with both the phases of CAPEX that we have for these Rs. 300 crores?

Manoj Sanghvi: So, with the CAPEX, say for RTL, our revenue potential can go up to Rs. 700 crores, Rs. 750 odd crores. And for pheno, with the additional CAPEX of Phase-2, same again we can go between Rs. 600 crores to Rs. 700 crores.

Muskan: Sir, another question is, what is the current hot extrusion and cold finishing capacity in stainless steel? And how much of cold finishing we are expanding in domestic market?

Manoj Sanghvi: So, our total capacity for seamless products is 30,000 tons, which is hot finishing capacity, of which cold finish is roughly 10,000 tons, and we are adding another 1,200 tons.

Muskan: And the capacity number in spooling with two phases of CAPEX in tonnage numbers?

Manoj Sanghvi: For?

Muskan: The capacity number in spooling with two phases that we are doing, the Rs. 300 crores CAPEX, what would be the capacity number in tonnage terms?

Manoj Sanghvi: Capacity number for spooling will be anywhere close to 3,500 tons.

Moderator: Thank you. We have the next question from the line of Asim from DAM Capital. Please go ahead.

Asim: So, one clarification I wanted, so on an earlier question of, you said realization is down 15%, is that for the industry as a whole or for Ratnamani's product mix in particular?

Manoj Sanghvi: No, if you have similar company, it must be for the industry as a whole because steel prices, stainless steel prices or for that matter the commodity have gone down by that much percentage.

Asim: That is the raw material price basically, right? For us, given our product mix and the line pipe you said was weak, how much would blended realization be down Q-o-Q or Y-o-Y?

Manoj Sanghvi: On an average 10% to 15%.

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Vimal Katta: Manoj ji, I am trying to step in. See, in Q2 if you look at stainless still and carbon steel both, blended, I am not bifurcating between process pipes and line pipes, so it will be close to 16.6%, both, in stainless steel and carbon steel for Q2 compared to the corresponding quarter of last financial year.

Asim: How does that compare vis-a-vis Q1?

Vimal Katta: See, if we look at Q1, then movement will be much lower, it might be close to 8% to 10% sort of thing in case of stainless steel. And in carbon steel, it was better than Q1.

Asim: For carbon steel there was a growth Q-o-Q?

Vimal Katta: Yes. Because see, quarter one and quarter two you cannot compare, because in Q2 the dispatches of process pipes were higher so realization will also be higher.

Asim: So, theoretically, line pipes being weak in Q2 versus Q1 helped you in realizations Q-o-Q?

Vimal K

atta: Yes, yes. Because process pipes is a better margin business. And raw material will also be different for process pipes.

Asim: And just a theoretical question, when we talk about process pipes and carbon steel, besides the usual coated pipes or painted pipes, what other product categories are there in process pipes for carbon steel?

Manoj Sanghvi: So, it is the same kind of pipes. Maybe the coating is different, the grade is different, the specification is different, but pipes as such will remain same. The input material, the output sizes, various sizes, that's the difference.

Asim: It's the coating that may differ, not necessarily thickness.

Manoj Sanghvi: No, it can be quoted, it can be bare, line pipes is one particular size, it goes on for kilometers. So, your utilization of the plant is much better. However, when it is processed pipe, you have maybe 100 sizes, 150 sizes, so the number of sizes are much more, diameters will vary.

Asim: And last question, approximately in your total volume of carbon steel, how much percentage would process pipes be?

Manoj Sanghvi: Of the carbon steel?

Asim: Yes.

Manoj Sanghvi: I think roughly 20-odd-percent, 20%, 25%.

Moderator: Thank you. We have the next question from the line of Sriram R, an individual investor. Please go ahead.

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Sriram R.: Sir, can you give us sector breakdown of your order book, like how much would be from oil and gas, renewables, steel, cement, etc.?

Manoj Sanghvi: At the moment I do not have the break up, but can be sent if required.

Moderator: Thank you. I would now like to hand the conference over to Mr. Sahil Sanghvi for closing comments. Over to you, sir.

Sahil Sanghvi: Yes. I just want to thank the management for very elaborately answering all the questions, and also thank all the participants for joining the call. Manoj sir, would you like to give any closing comments, please?

Manoj Sanghvi: Yes. I would just like to thank everybody for their time and listening to us patiently. And we wish you all a great time ahead. Thank you.

Vimal Katta: Thank you.

Moderator: Thank you. On behalf of Monarch Network Capital, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

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RMTL/SEC/POST-TRANS.CON-CALL/Q4/2025-26 May 21, 2025

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Company Code : RATNAMANI

Subject: Transcript of the Investor Conference Call post Audited Financial Results
(Standalone and Consolidated) of the Company for the quarter and year ended
on March 31, 2025

Dear Sir/Madam,

We, vide our letter dated May 10, 2025, had intimated to the Stock Exchanges about the schedule of the Investor Conference Call on Monday, May 19, 2025 post Audited Financial Results (Standalone and Consolidated) of the Company for the fourth quarter and year ended on March 31, 2025 and future outlook of the Company's business.

The Conference Call recordings have already been uploaded on the website of the Company and a link was provided vide our letter dated May 19, 2025.

We, now enclose a copy of the Transcript of the Investor Conference Call which took place as scheduled. The said transcript is also being uploaded on the Company's website at www.ratnamani.com .

The Company has referred to publicly available documents / information for discussions during the interaction in the Conference Call and no Unpublished Price Sensitive Information were intended to share during the Conference Call.

Kindly take the above on your record.

Thanking you,

Yours faithfully,

For, RATNAMANI METALS & TUBES LIMITED

ANIL MALOO

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

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"Ratnamani Metals & Tubes Limited Q4 FY-25
Earnings Conference Call"

May 19, 2025

MANAGEMENT : MR. MANOJ SANGHVI – CHIEF EXECUTIVE OFFICER ,
RATNAMANI METALS & TUBES LIMITED
MR. VIMAL KATTA – CHIEF FINANCIAL OFFICER ,
RATNAMANI METALS & TUBES LIMITED
MODERATOR : MR. SAHIL SANGHVI – MONARCH NETWORK
CAPITAL LIMITED
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METALS & TUBES LTD. Ratnamani Metals & Tubes Limited
May 19, 2025

Page 2 of 16 Moderator : Ladies and gentlemen, good day and welcome to the Ratnamani Metals & Tubes Limited Q4 and FY25 Earnings Conference Call hosted by Monarch Network Capital Limited .

As a reminder all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi . Thank you and over to you sir.

Sahil Sanghvi : Thank you, Saisha. Good evening to everyone. On behalf of Monarch Network Capital, we welcome you all to the 4Q and FY25 Earnings Call of Ratnamani Metals & Tubes.

We are delighted to host the management of Ratnamani and from their side we have Mr. Manoj Sanghvi – Chief Executive Officer and Mr. Vimal Katta – Chief Financial Officer. So, without taking much time, I will hand over the c

all to Mr. Manoj Sanghvi for the opening remarks.

Thank you and over to you, Manoj Sir.

Manoj Sanghvi: Thank you, Sahil. Good evening, everyone. I welcome you all and thank you for joining us for the company's performance update for the Quarter 4 and the full Financial Year '24-25.

I am pleased to report that our performance for both Q4 and the full year has been strong. We recorded our highest ever sales during the quarter as well as for the entire fiscal year.

On a standalone basis, our sales accounted for Rs. 1,575 crores for the quarter reflecting an increase of 11% over the same quarter last year. This Q4 growth was driven by an increased contribution from high value -added products which also enhanced our profitability. Throughout the first nine months, sales were relatively muted due to soft metal prices and delays in certain projects and customer offtake. However, the strong performance in Q4 helped us recover the decline experienced earlier , resulting in an overall annual growth of 1% over the previous year in spite of lower commodity prices and water application orders contributing higher to the carbon steel line pipe business , where realizations are typically much lower compared to oil and gas

application.

With a greater focus on value added products and these contributing higher to the top line, we saw our gross profit and EBITDA margin improve by 3% and 2% respectively over the corresponding quarter last year. On a full year basis, we maintained a healthy gross profit margin of 34% though our EBITDA declined marginally by 1%. Our financial position has also strengthened considerably this year. On a standalone basis, we generated Rs. 521 crores from operations and closed the year with zero debt. Considering the robust performance for the year the board has approved a dividend of Rs. 14 per share that is 700% which is subject to approval of the AGM .

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May 19, 2025

Page 3 of 16 Now let me share some updates on the subsidiary performance :

Ravi Technoforge , our ball bearing ring manufacturing business achieved sales growth of 12% in Q4 and 11% for the full year. We maintained profitability margins in line with previous year. Our expansion projects are progressing on schedule. Over the next 2 years we will enhance our capacity supported by increased automation and precision equipment. These upgrades will also help us step into new customer segments.

Turning to Ratnamani Fino w Spooling Solutions :

Manufacturing spools and hangers and supports for nuclear power sector right now . The business gained strong momentum and reported a turnover of Rs. 56 crores. Importantly, it now holds a robust order book exceeding Rs. 600 crores. To support this growth, we are setting up a new plant that will triple our production capacity. Including the performance of our subsidiaries we have achieved a consolidated turnover of Rs. 1,715 crores in Quarter 4 and Rs. 5,186 crores for the full year which again is the highest ever sales on consolidated basis.

We are also excited to announce our joint venture with SESCO in Saudi Arabia. We are in the process of establishing a stainless -steel manufacturing facility in the region. This strategic move will strengthen our local presence, enhance our brand visibility and allow us to better serve customers across Saudi Arabia and GCC region. With multiple expansion projects underway and positive industry outlook , we are confident in our ability to continue scaling our performance in the years to come.

That's it from my end. Thank you and I am happy to take questions.

Moderator : Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Vikas Singh from PhillipCapital . Please go ahead.

Vikas Singh : Good afternoon, sir and thank you for the opportunity. Sir, just wanted a little

bit more color on

order book which has declined sequentially. So, can you just explain that it seems largely in India and while your commentary talks about the positive outlook , what are the green shoots we are looking at? How should we look at our order books and the revenue growth guidance for FY26 ?

Manoj Sanghvi: So, our order book as on 31st March was close to Rs. 2,100 crores. Roughly 55 % odd export and 45% domestic. At the moment as we speak a lot of jobs are under bidding both for stainless steel as well as carbon steel. And for the current year we can say that roughly 5 % to 10% growth on volumes is what we can consider.

Vikas Singh: In terms of our CAPEX plan if you could give me a little bit more idea about what kind of expenditure we are going to incur geography wise and what kind of capacity we are looking in order to enhance ?

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May 19, 2025

Page 4 of 16 Manoj Sanghvi: So, at the moment for Ratnamani, we had two projects which were ongoing. One was a spiral welded plant in Odisha wherein the Phase -I for the Odisha project is already commissioned and Phase -II will subsequently happen. So , by the end of this calendar year Phase -II will also be into commercial production. And then we had the stainless -steel cold finishing capacities that also the production has started. However, the ramp up will take another 3 to 6 months. So, this is for Ratnamani standalone basis. For our subsidiaries Ratnamani Fino w we are increasing the capacity. So there by end of this calendar year or first quarter of the next calendar year , we will have the expansion which is Rs. 250 odd crores in place. So thereby increasing our capacity three folds. And for Ravi Technoforge , we are going to expand , we are increasing one automatic line. So there 18 months from now that will come into production.

Vikas Singh : And how much are we spending on these individual projects ?

Manoj Sanghvi: Odisha and stainless -steel cold finishing facilities , I would say commercial production has

started Phase -I for Odisha and stainless -steel cold finishing facilities is already started. And for RTL and Ratnamani Finow between Rs. 200 to 250 crores each.

Vikas Singh: Understood. Over the next 1.5 years ?

Manoj Sanghvi: Yes, Ratnamani Finow in next 1 year and RTL in next 18 months.

Vikas Singh: Understood. And so just a little bit more color on the Saudi JV, what kind of capacities are we looking to set up there and how we are funding this in terms of JV our share of CAPEX ?

Manoj Sanghvi: Saudi joint venture is 75 -25 JV wherein Ratnamani holds 75% and we have a local partner who holds 25%. We are at the process of applying for company registration and processes. The funding shall be in the ratio of JV partnership. At the moment , we have not decided whether it will be debt , equity. So those structure and all going forward in this quarter we will finalize.

Vikas Singh: That's all from my side. I will come in the queue for further follow up .

Manoj Sanghvi: Thank you.

Moderator: Thank you very much. The next question is from the line of Radha from B &K Securities. Please go ahead.

Radha: Hello sir. Thank you for the opportunity and congratulations for all time high performance. My first question was , many stainless -steel players in India are talking about this high margin SS boiler tubes product for supply to thermal power plant. I wanted to understand whether Ratnamani is supplying these tubes and if yes , then out of the total SS pipe order of Rs. 790 crores , how much is contribution from this boiler tube?

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Page 5 of 16 Manoj Sanghvi: We have some order s for boiler tubes at the moment. However, I don't have the exact number what is the quantum for boiler tubes . There

are some in the bidding and yes, we are one of the suppliers for boiler tubes for NT PC projects.

Radha: Secondly sir, how difficult is it to get the customer approvals in this product? And is it a fair understanding that this is a new opportunity for the industry considering earlier it was fully imported in India? And do you see this as a big opportunity going forward , what kind of margins can be made in this product?

Manoj Sanghvi: No. So this particular product, boiler tubes earlier only extruded pipes were permitted. Currently NTPC as well as the power ministry has allowed the pierced product as acceptable for boiler tubes. So, considering that the competitive scenario for this product has become intense. So yes, since there is 80,000 megawatt s to be implemented in the power sector the demand is going to be there. However, the competitive scenario for this particular product being pierced product accepted by the gover nment , we feel that the margins for the boiler products will not remain as it was in the past.

Radha: But still 17 %-18% margins can be made in this similar to other SS products ?

Manoj Sanghvi: Yes, possible.

Radha: Okay. Thank you. And secondly, with respect to the stainless steel I wanted to understand. So currently we have around 50,000 metric ton s of capacity for stainless steel. So, what would be the total power cost as per your assumption if we utilize this stainless -steel plant at full utilization and any rough idea of what kind of power units are required to run this plant at full utilization?

Manoj Sanghvi: I don't have those figures offhand. But if you want to send an email, I can look at it and then revert back.

Radha: Okay sir. Yes. So, in stainless steel pipes, like you rightly said, a lot of players are also adding capacity. So, are you witnessing any pressure on margins because of this? And if yes, how are we planning to mitigate the risk?

Manoj Sanghvi: Not at the moment. But yes, going forward considering so many players coming in and that too with the pierced product wherein we are not sure of the quality of the product. However, the competitive scenario for stainless steel seamless pipes is increasing. We are planning to establish ourselves in grades which are not possible through pierced route. So that's how we plan to save our margins.

Radha: A bit color on what kind of the grades would be and in which industries would that go to ?

Manoj Sanghvi: Those kind of information we would not like to divulge.

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Page 6 of 16 Radha: Okay and so the CAPEX plan that you have announced, how much do you plan to spend in FY26 and how much in FY27 ?

Manoj Sanghvi: Say for Saudi about, the total roadmap is that we will be operational by December 2026. So, 60% odd this year and 40 % next year.

Radha: Okay, and so last question is in the M ENA region. So, you are setting up this SS pipe facility , what are the key projects that are driving this demand and has there been any MoU signed with any customer regarding long term supply from this plant?

Manoj Sanghvi: No, there is no MoU with any of the customers. However, at the moment we will be the only player who will have stainless steel cold finishing facilities in the region. And this product is being imported. So, we are quite hopeful that we will be able to utilize the capacity is what we are planning.

Radha: Currently out of the 50% exports of stainless steel, how much are we supplying to M ENA ?

Manoj Sanghvi: All products put together of the 50% I think substantial portion is for Middle East 25 % to 30%.

Radha: Okay, so if we set up a plant and start supplying from there , is it fair to assume that the logistics cost would improve substantially and that could drive the margins from the MENA region to above 18%.

Manoj Sanghvi: No, when I say 25 % to 30% is e

xports, it is the whole product portfolio that we have and what we are setting up in M ENA is only stainless -steel cold finishing tube making facility where the freight cost is not a big element.

Radha: Okay sir understood , thanks and all the best.

Manoj Sanghvi: Thank you.

Moderator: Thank you very much. The next question is from the line of Pranav Mehta from Equi rus Securities. Please go ahead.

Pranav Mehta: Thank you for taking a question. Sir , I wanted to understand on how soon are you expecting the domestic market to start seeing the order inflows coming in and how is the order inflow coming from let's say apart from M ENA, your EU and US markets as well, if you can throw some light, where are we seeing the next leg of orders coming from?

Manoj Sanghvi: So domestic as such, if we see stainless steel and the carbon steel process pipe products where there is no problem with the demand , the demand especially for line pipes is quite muted and that too for the oil and gas segment . Water segment we are seeing some demand in Gujarat, Rajasthan, Maharashtra, Madhya Pradesh. But for oil and gas line pipes the demand is quite

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Page 7 of 16 muted at the moment. And to answer your second question, both Middle -east as well as US for LNG projects for stainless steel we are seeing quite a healthy order inflow as well as in the MENA region because a lot of oil and gas projects are going on in Abu Dhabi as well as Saudi and Qatar.

Pranav Mehta: Okay, what about EU?

Manoj Sanghvi: EU is slow at the moment. However, for stainless steel we still manage to have the same order inflow.

Pranav Mehta: Okay. So, it's safe to assume that you will start seeing the bulk of the order inflow coming in from second half of FY26 or is it the right way to look at it?

Manoj Sanghvi: Yes, if you see currently our order book is close to Rs. 2,100 odd crores which is good for say 4 to 5 months. So, by that time there are certain projects already in the bidding and normally during the monsoon most of the water projects are bid. And post monsoon the execution happens. So yes, from the middle of the second quarter we will see the uptake in line pipes segment at least.

Pranav Mehta: Okay, that's it for myself. Thank you.

Manoj Sanghvi: Thank you.

Moderator: Thank you very much. The next question is from the line of Sahil Sanghvi from Monarch Network Capital Limited. Please go ahead sir.

Sahil Sanghvi: Congratulations for amazing last quarter and also a very good margin. My first question was just to clarify, 25 % to 30 %, when you said from M ENA region is that 25 of your total exports or your total revenue?

Manoj Sanghvi: Exact number Sahil, I would not have. It is a rough estimate that of the 50%, say approximately one third would be MENA region.

Sahil Sanghvi: Okay, got it, sir. And what would be the Europe and US exposure?

Manoj Sanghvi: US would be 15 % to 20% and similar would be Europe.

Sahil Sanghvi: Okay. And would you be able to give the absolute like total CAPEX number that you target to spend say in FY26 and 27 ?

Manoj Sanghvi: Including the subsidiaries or just on --

Sahil Sanghvi: Yes.

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Page 8 of 16 Manoj Sanghvi: Subsidiaries. We will have a different percentage, right depending on the share holding. So that number we still have not worked out. But for standalone we have only one project of course Phase -II of Odisha and one this Saudi project. So, 60% of the total CAPEX planned for Saudi , we plan to spend .

Sahil Sanghvi: And what will be pending for the Odisha one ?

Manoj Sanghvi: Odisha Phase -II about Rs. 40-50 odd crores.

Sahil Sanghvi: Okay. Thirdly sir if you can throw some light on Ravi Technoforge. I mean on the margin front

we were quite flattish. So, what are the obstacles over there? And how do you see the levers for margin expansion at Ravi going ahead, also on the demand side how do you see that ?

Manoj Sanghvi: No demand this year , we are quite optimistic for Ravi. We have a sales plan of almost Rs. (+350) crores for this year. So, with all the fixed cost and more or less whatever automation and all we have done , remaining same , we feel that the margins should be closer to 14% at EBITDA levels.

Sahil Sanghvi: Right. And lastly on the spooling side , there was some delay in the receivable. So are we fairly confident of executing in FY26 ?

Manoj Sanghvi: For RFSS we have.

Sahil Sanghvi: Spooling .

Manoj Sanghvi: Yes.

Manoj Sanghvi: For Ratnamani Finow, yes, we have plans that to o Rs. 350 plus crores. So yes, we are quite hopeful that we will achieve that number. Orders are already in hand ; capacities are available for Rs. (+350) crores.

Sahil Sanghvi: Okay fine. Thank you, sir .

Manoj Sanghvi: Thank you.

Moderator: Thank you very much. The next question is from the line of Dhiraj Dave from Samvad Finance. Please go ahead.

Dhiraj Dave : Thanks a lot, and congratulations on good set of numbers. My one question on Consolidated financial. When we look into segment wide result, we see a good amount of volatility in pipe spools and auxiliary support. And so, for December Quarter '24 the sales it appears at Rs. 74 lakh and segment result shows profit of Rs. 5 crore s. So, is some typo or something?

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Page 9 of 16 Vimal Katta: Basically, in case of Finow that last year was the first year of full operations and lot of inventory , means the stock was lying on the shop floor in various stages of production. So, the expenses were loaded on that WIP which resulted into profit turnover being low then also. So it will equalize over a period of time because in current financial year we are expecting it should give a turnover of anything above Rs. 300 to 350 Cr. So, then things will be normal because capacities and everything was created and dispatches were on the lower side.

Dhiraj Dave: Okay. And how do you see basically say 3-5 years down the line , we started with stainless steel and then we went into ancillary supporting segments and we announced. And now we are trying to develop two new segments with bearing rings and spools and also internationally we are going ahead . So how do you see basically what is the management thought about , where do you see your business going particularly segment wise? What is the potential, if I may put the question, particularly for the new products or acquisition which we have done for Ravi Technoforge and kind of it. What is aspiration? If everything goes well, what we aspire to be after 3 years, what can be the peak sales one can assume ?

Manoj Sanghvi: We will break down each , for example, say we see Ratnamani as a standalone basis. We have two expansions, Odisha and Saudi which will bring in the additional revenue plus 1200 tons of cold finishing capacity expansions what we have done in the existing plant. So, all these put together and plus some capacity expansion in the welded segment , we will be able to achieve a growth of say 10% year -on-year until and unless we plan something bigger. And then for RTL we have already told you that this year we have plans of Rs. (+ 350) crores that is what the visibility is. And for Rat namani Finow Spooling Solutions , there this year again Rs. 350 crores and with the expansion in place we will have the capacity to do anywhere between Rs. 600 to 650 crores in next 2 to 3 years.

Dhiraj Dave: How do you see basically competition intensity? So, because we have wonderful years with on top line and we did record sales, but we do not see margins are moving. So, is there any p

roducts?

Broadly is it because of the product and because we see that raw material price also declined , metal price because in your opening remark you did say that metal price was soft vis-à-vis last year. Then despite that we achieve phenomenal revenue. But when we look at bottom line, we do not find that corresponding operating leverage which should have been translated . So is it that the product mix was more in favor of low margin and that's resulted a kind of.

Manoj Sanghvi: No. If we see the last quarter the margins were quite good. So, margin is actually we have lot of products, all carbon steel, stainless steel put together. So, quarter -on-quarter for us to compare maybe one quarter is close to 16 and another quarter where...

Dhiraj Dave: So, let me rephrase the question. If I look at the FY24 consolidated number, I am just looking at PBT. So that is simple. We have Rs. 827 crore s kind of profit and which has declined to Rs. 340 crore s approximately during this year FY25. So, while the sales have increased, volume has increased and despite that we see profit declining in 12 months period. So, if I just take FY24 as

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Page 10 of 16 base and FY25 if I need to understand the numbers , what was contributing the pressure on margin despite a good amount of operating leverage?

Manoj Sanghvi: No. So, one major shift between '24 and '25 is majority of the orders in '24 were for the oil and gas segment in line pipes and in '25, it was say 50% of line by business was from water. That is one major event , another that until and unless you grow at above 5% of course your costs keep on increasing. Right. And the product mix as a whole. Because oil and gas if it is muted , it is muted f or of course for line pipes the volumes is quite high. But even for stainless steel and even for carbon s teel other products overall and then we have some competition intensity in other stainless -steel products also.

Dhiraj Dave: Okay, so all those factors. Just one more if I may squeeze out , in oil and gas sector basically how much is the s ales in India and how much is export? If you can just give us a broad idea and which actually segments slow down during FY25 ?

Manoj Sanghvi: Currently I do not have the breakup of what is the oil and gas India. But roughly say out of Rs. 2,100 crores whatever outside India is mostly for oil and gas.

Dhiraj Dave: Okay. And that you expect you to see green sho ots of improvement there or it's still lackluster ?

Manoj Sanghvi: No, the current order book we have good amount of exports order. Actually, the domestic order book is muted. But however, the export order book is quite strong considering the demand from Middle -east, US and the Euro pe.

Dhiraj Dave: Thanks a lot for giving me opportunity and wish you all the luck. I will again connect next year with the record performance on both.

Manoj Sanghvi: Yes, thank you.

Moderator: Thank you very much. The next question is from the line of Parth Bhavsar from Invest ec. Please go ahead.

Parth Bhavsar: Hi sir. Thank you for the opportunity. I have a few bookkeeping questions in terms of utilization for stainless steel pipes and tubes and carbon steel pipes and tubes for the year FY25. What was the utilization?

Manoj Sanghvi: So, on an average say stainless steel about 60% and for carbon steel spiral and ERW 55% and LSAW close to 50%.

Parth Bhavsar: This for FY25, right?

Manoj Sanghvi: Yes.

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Page 11 of 16 Parth Bhavsar: Perfect , wanted to know that this Rs. 2,100 crores of order book that we have , that is executable

in how many like months or years ?

Manoj Sanghvi: It can be executed in 4 to 5 months. However, some deliveries would be delayed, delayed meaning that the

agreed delivery between the customer and us would be for a longer period.

Parth Bhavsar: Okay, fair enough. And sir, I wanted to understand that your working capital cycle in FY25 it went up like it went up over FY24. And this was largely mainly I believe because of the inventory that was built up for s pooling business. So how do you see this normalizing in FY26 and by how many days? I think it the cash conversion cycle is 163 days for FY25 , how do you see this improving in FY26?

Manoj Sanghvi: So, working capital cycle may be because of the product mix. As I informed earlier on the call that a lot of orders from the water sector were executed where normally the working capital cycle is a little higher than the other products.

Parth Bhavsar: Okay, so sir, like roughly in our revenue mix, what would be the share of water like our revenues from water segment?

Manoj Sanghvi: Of the total revenue, roughly between 15 % to 18 % odd.

Parth Bhavsar: So how much was this earlier roughly in FY24 or even like the last 5 year average or something like that ? Just to understand like how much wa s changed.

Manoj Sanghvi: '24 was not much. A lot of it was for oil and gas. Maybe it would be 5 %-7%.

Parth Bhavsar: And so over the next 2-3 years, where do you see , which sector do you see that there would be some green shoots and we would be able to achieve good 10 %-15% volume growth on all of our products ? Is there a specific sector that you can see would come up?

Manoj Sanghvi: No particular sector. But yes, for the oil and gas like petrochemical plants, refineries, that is one sector which India is planning, maybe two greenfield refinery which might come and then there is a lot of petrochemical plants coming in and the expansion plus the LNG . So, oil and gas is a sector which we see going forward which will again give that push.

Parth Bhavsar: All right, thank you sir. Those are my questions.

Manoj Sanghvi: Thank you.

Moderator: Thank you very much. The Next question is from the line of Radha from B &K Securities. Please go ahead.

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Page 12 of 16 Radha: Hi sir. Thank you again for the opportunity. I wanted to understand what would be the non-oil and gas mix for the SS pipe division of the order book currently and in terms of that, do you see nuclear , aviation as the key growth drivers for the SS pipe division in terms of the quantum of orders going forward?

Manoj Sanghvi: Yes, majority of the revenue both for stainless steel as well as carbon steel is from the oil and gas segment. However, our product portfolio or the customer segmentation in stainless steel is quite varied. Yes, nuclear is picking up and will pick up. We are supplying to the Defense and aero industry that also going forward will pick up. But to what extent and to what size , it is very difficult at the moment because these are on long run and long lead time projects.

Radha: Do we have approvals to supply to all these user industries and how difficult would it be for?

Manoj Sanghvi: Yes. We are supplying to the nuclear power industry as well as to the aero industry. Yes , so the approvals are in place.

Radha: How difficult do you think it is to get approvals for competitors in this segment ?

Manoj Sanghvi: It is quite difficult and even once we are approved it is difficult further to maintain it also.

Radha: It would take more than 1 year to get approved , is that the right understanding?

Manoj Sanghvi: Yes, definitely more than a year.

Radha: Just one last question and pardon me for my ignorance. So, we are one of the largest and the oldest company in stainless -steel pipes . I wanted your thoughts on what do you think about or have you ever thought about is it viable for a stainless -steel pipe player to backward integrate into bars and if it's viable, some thoughts on t

hat if not, some thoughts on that would be really helpful ?

Manoj Sanghvi: Okay, we are also thinking of maybe going backward , whether it is viable or not , that study is going on . However difficult to say at the moment because the capacity for manufacturing pipes is quite less than what a steel plant would be viable at. So standalone , only for supplying to your pipe manufacturing may be not viable, but we have to see the whole picture because certain grades, if you want to develop it is only possible with the steel plant , all the major players around the world, major stainless -steel tube and pipe manufacturers, they have their own steel plant. So, dependence on availability of raw material, timely availability plus the grades, what they can develop. So, in long run, yes it helps. But standalone, just to support your pipeline may be not viable , it has to be supported by sales to the other industry.

Radha: Okay, so you are talking about only stainless steel or carbon steel for the backward integration ?

Manoj Sanghvi: It can be a mix of stainless steel and alloy steel.

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Page 13 of 16 Radha: Okay, and what are the global stainless -steel tube and pipe manufacturers that you think the product portfolio is very good and you would want to lead our company to their level in terms of product portfolio, in terms of new product launches, etc. ?

Manoj Sanghvi: There is one in Japan, there is 2 or 3 based out of Europe, a few couple of them in the US. Mostly European companies who are manufacturing units in the US. So, if we name the one in Japan it is Nippon Sumitomo, then in Europe there's Tubacex, there is Al leima, these are the two manufacturers. And then we have some good manufacturers in China who manufacture tubes through extrusion route. So, these are 4 or 5 players whom we look up to and definitely some grades what they manufacture we want to reach there as soon as possible.

Radha: The Tubacex India would not have backward integration in India, Is it correct?

Manoj Sanghvi: Tubacex India manufactures pierced product , so in that category we don't manufacture pierced

pipes, of course we compete with them. But then for that low margin or high competitive intensity product, our focus is not so much.

Radha: You mentioned that some of the players in the industry.

Moderator: Ma'am, sorry to interrupt. Can you please rejoin the queue for a follow up?

Radha: Yes, yes. I just wanted to thank you sir for explaining everything in detail. It's really helpful.

Manoj Sanghvi: Thank you.

Moderator: Thank you so much. The next question is from the line of Deepak from Sundaram Mutual Fund. Please go ahead.

Deepak: Sir I had just one question. If we assume that stainless steel price is at current level, what kind of revenue growth number are we looking at in FY26? Given that our order book has been weaker since last 2-3 years in comparison, what kind of revenue growth are we looking at? And what is the sustainable EBITDA margin for FY26 for our standalone pipe business?

Manoj Sanghvi: So, this year the growth can be anywhere between 5% to 10% in terms of volume or maybe if the steel price remains at the same level, yes, then on the revenue numbers also. And on your second question, which was EBITDA margins; EBITDA margins, again depending on the product mix, anywhere between 16% to 18%.

Deepak: Okay. Because last year means, I went to say FY25, we have seen a bit of negative operating leverage where we were able to rake in some gross profit but due to higher employee and other expenses our EBITDA has actually decreased in the pipe business. From that prospect also, I was asking.

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Page 14 of 16 Manoj Sanghvi: Yes, I agree on that. However, our f

ocus still remains on growth in the sectors where there is less competition, and high margin. So, we thrive to do that. However, it depends on the projects to come at the same time.

Deepak: Okay. Thank you, sir.

Manoj Sanghvi: Thank you.

Moderator: Thank you very much. The next question is to the line of Samyak Jain from Marcelus. Please go ahead.

Samyak Jain: Thank you for the opportunity. Just one question from my side. In the spooling business on a steady state basis what kind of margins can we expect for FY26 and going forward?

Manoj Sanghvi: So, what we have targeted this year is revenue of Rs. (+ 350) crores with an EBITDA margin of roughly 20%.

Samyak Jain: Got it. Any particular reason for the negative margins in the Quarter 4, in the latest quarter?

Manoj Sanghvi: Latest quarter negative in comparison to?

Samyak Jain: No. It is (-20%) margin like we made a loss in spooling business in Quarter 4.

Manoj Sanghvi: You are saying on a consolidated basis?

Samyak Jain: Right, yes.

Manoj Sanghvi: Okay. Consol basis, see RFSS we could not dispatch what was planned. Plus, there was some foreign exchange fluctuation loss. However, if you see on a standalone basis, the last quarter was the best quarter for the previous financial year.

Samyak Jain: Understood. Got it. Thank you.

Manoj Sanghvi: Thank you.

Moderator: Thank you so much. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi sir. Thanks for the opportunity. Sir, my first question was on backward integration. Just trying to understand what is the motivation over here. Is it the availability of grades alloys, but in the lead time is more and that's the reason why we are going into it?

Manoj Sanghvi: Yes. Security of the raw material grades, timely delivery and development of newer grades.

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Page 15 of 16 Ritesh Shah: Okay. So are we looking to put on electric arc furnace, induction furnace, how should one read into this?

Manoj Sanghvi: We have not decided on it yet. Once we decide, we'll give you furthermore details of this. We are still working on it.

Ritesh Shah: Correct. But sir, fair to assume basically we will go into backward integration to the level wherein we make alloy on our own, correct?

Manoj Sanghvi: Yes, we make stainless steel as well as alloy steel on our own.

Ritesh Shah: Okay, that's great. Sir, my second question is on approvals. The company has been there since

quite some time. We have most of the approvals in place. But when we look at Defence, aerospace, nuclear, are there any approvals that which is not there in our kitty and that we are looking to secure say over next 6 months, 12 months and are there any variables that we have started to actually get to these approvals?

Manoj Sanghvi: So, within India we are approved everywhere. Maybe outside for aerospace or other applications we are still in the process of getting approved.

Ritesh Shah: But do you think like this is a limiting factor, a constraining factor to our growth or is it not a problem at this point in time?

Manoj Sanghvi: Not a problem at this point in time. But as we increase our cold finishing capacities, yes, we are looking forward to getting approved in other geographies also.

Ritesh Shah: Sure, and sir just last question. We have always been very focused on profitable growth and profitability, shied away from, as you indicated in the prior question, high volume, low margin businesses. Possible for you to quantify what is the minimum margin and the ROC threshold that we look at, if we had to commit anything incremental on capital allocation, be downstream or upstream?

Manoj Sanghvi: Difficult to comment anything on that because see when we talk about steel plant, maybe the dynamics will change. It's more of a

need than all these parameters still very difficult to say right now for the steel plant.

Ritesh Shah: And sir for downstream, if it's a seamless or a welded facility, then what is the threshold that we would look at for margins and ROCE?

Manoj Sanghvi: Downstream depending on the product. But more or less for stainless steel if it is seamless, we see (+18%) of EBITDA margins.

Ritesh Shah: Sure. And ROCE post-tax?

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Page 16 of 16 Manoj Sanghvi: About closer to 20 or higher.

Ritesh Shah: Sure. This is very helpful, sir. Thank you so much. All the very best.

Manoj Sanghvi: Thank you.

Moderator: As there are no further questions from the participants, I now hand the conference over to Sahil Sanghvi for closing comments.

Sahil Sanghvi: Just want to thank the management for very elaborately answering all the questions and also thank the participants for joining the call. Manoj sir, would you like to give any closing comments please?

Manoj Sanghvi: No, I would just like to thank everybody. Thank you for being patient and listening to me. If there are any particular questions with respect to our operations both in stainless steel, carbon steel or any of our subsidiaries, we would be happy to answer them. You can always send by e-mail. Thank you very much.

Moderator: Thank you very much. On behalf of Monarch Network Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

RMTL/SEC/POST-TRANS.CON-CALL/Q2/2025-26 November 13, 2025

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Mumbai - 400 051

Company Code : RATNAMANI

Subject: Transcript of the Investor Conference Call post Unaudited Financial Results (Standalone and Consolidated) of the Company for the second quarter and half year ended on September 30, 2025

Dear Sir/Madam,

We, vide our letter dated October 31, 2025, had intimated to the Stock Exchanges about the schedule of the Investor Conference Call on Monday, November 10, 2025 for discussion on the Unaudited Financial Results (Standalone and Consolidated) of the Company for the second quarter and half year ended on September 30, 2025 and future outlook of the Company's business.

The copy of the Investors' Presentation was uploaded on the website of the Company and on the website of the Stock Exchanges on November 10, 2025 prior to beginning of Conference Call. Likewise, the Conference Call recordings was uploaded on the website of the Company and a link was provided vide our letter dated November 10, 2025.

We, now enclose a copy of the Transcript of the Investor Conference Call which took place as scheduled above. The said transcript is also being uploaded on the Company's website at www.ratnamani.com.

The Company has referred to publicly available documents / information for discussions during the interaction in the Conference Call and no Unpublished Price Sensitive Information were intended to share during the Conference Call.

Kindly take the above on your record.

Thanking you,

Yours faithfully,

For, RATNAMANI METALS & TUBES LIMITED

ANIL MALOO

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

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“Ratnamani Metals & Tubes Limited Q2 FY '26
Earnings Conference Call”

November 10, 2025

MANAGEMENT : M R. MANOJ SANGHVI – CHIEF EXECUTIVE OFFICER ,
RATNAMANI METALS & TUBES LIMITED
MR. VIMAL KATTA – CHIEF FINANCIAL OFFICER ,
RATNAMANI METALS & TUBES LIMITED

MODERATOR : M R. SAHIL SANGHVI –MONARCH NETWORK
CAPITAL LIMITED

Ratnamani Metals & Tubes Limited
November 10, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Ratnamani Metals & Tubes Limited Q2 FY '26 Earnings Conference Call.

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi. Thank you, and over to you, sir.

Sahil Sanghvi: Thank you, Shrivani. Good evening to everyone. On behalf of Monarch Network Capital, we welcome you all to the 2Q FY '26 Earnings Con Call of Ratnamani Metals & Tubes.

We are delighted to host the management of Ratnamani and from their side we have Mr. Manoj Sanghvi – the Chief Executive Officer and Mr. Vimal Katta – the Chief Financial Officer.

So, without taking much time, I will hand over the call to Mr. Manoj Sanghvi for the opening remarks. Thank you, and over to you, Manoj Sir.

Manoj Sanghvi: Thank you, Sahil. Good evening everyone. I warmly welcome you and thank you all for joining the performance update for Quarter and Half Year Ended 30th September '25.

I am happy to share that our performance for Q2 has been strong and our subsidiaries RTL and RFSS have gained momentum. On a standalone basis, our sales stood at INR 940 crores, which is 5% increase over the same quarter last year. And on a consolidated basis, our sales were INR 1,191 crores, reflecting a robust 23% growth compared to corresponding quarters of the previous year.

Talking about Standalone Results:

Overall volumes improved during the quarter. However, revenue growth was modest due to softer input prices and product mix. Growth during this quarter was mainly driven by Carbon Steel segment.

The domestic market continues to remain somewhat subdued, but we are confident of maintaining volume growth across all product categories. While revenue may stay flattish or show a slight dip, we expect that a strong focus on operational efficiency and cost control should help maintaining EBITDA in the range of 16% to 18%.

Ratnamani Metals & Tubes Limited
November 10, 2025

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We also achieved several important milestones during the period. Namely, we commissioned the Phase-I of Orissa plant and the Phase-II is expected to be commissioned in the next quarter. We successfully pioneered supply of hydrogen-compliant carbon steel welded pipes to Europe. Our Kutch plant received the API monogram certification from American Petroleum Institute, enabling new business opportunities for stainless-steel line pipes, namely, as per API 5LC. The Kutch plant was also conferred with National Award of Excellence in Energy Management by CII.

Now, moving to subsidiaries:

RTL continued its strong performance, achieving a revenue of INR 95.6 crores, a 40% growth over the corresponding quarter of last year. This growth comes from both export and domestic sales. Its EBITDA margins improved from 9% to 13% due to operational improvements. We remain optimistic of achieving 15% to 20% year-on-year growth over the next 2-3 years, supported by healthy order visibility. Our expansion projects at RTL are progressing well and

will further increase our capacity. The upgrades will also help us step into new customer segments.

Our another subsidiary, Ratnamani Finow Spooling Solutions, manufacturing spools for nuclear power plants, is also gaining traction. It achieved a revenue of INR 110 crores during the quarter. RFSS has a strong order inflow visibility and execution processes are improving every day. We maintain our INR 300 crores plus revenue guidance for the full year for RFSS. Including the results of RTL and RFSS, profitability ratios of our consolidated results have

further improved.

Coming to a few updates on our corporate structure:

We have acquired the remaining 40% equity stake in our Switzerland-based entity, Ratnamani Trade EU, making it a wholly-owned subsidiary. At RTL, we restructured the shareholding through rights issue, reducing our holding from 80% to 75%.

In Saudi Arabia, our subsidiary has now received the CR, which is Commercial Registration.

And the activities for setting up stainless-steel manufacturing plant will begin in the month of January. This marks an important step in building our presence in Saudi and GCC market.

With multiple expansion projects in progress, strong performance by subsidiaries, and a positive industry outlook in long term, we are confident to continue scaling our performance in the years ahead. Thank you once again for your continued support and confidence in the company.

I would now open the floor for questions, please. Thank you.

Ratnamani Metals & Tubes Limited

November 10, 2025

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Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Radha from B&K Securities. Please go ahead.

Radha: Many congratulations on the order intake and the Finow turnaround. Sir, my first question is on the domestic carbon steel segment, you have witnessed strong order intake of INR 750 crores this quarter, taking the total order to INR 1,100 crores. So, this comes at a time when the commentary of demand scenario from you as well as all the other steel pipe players is subdued. So, please help us understand the product mix, how much is water and oil and gas, or process pipes from this carbon steel domestic segment, and in which segments are you witnessing demand recovery and where are you seeing muted demand? Is there a recovery in ERW?

Manoj Sanghvi: Thank you, Radha. The INR 750 crores of order which is booked in the carbon steel segment is a mix of both line pipes and process pipe. And within line pipes, I would say 60% is for oil and gas and 40% is for the water segment. Within oil and gas, we have some orders for city gas distribution as well as for the product pipelines.

Radha: Sir, how much is process and how much is line pipe, sir?

Manoj Sanghvi: That breakup, I don't have at the moment, but if you send an email or if you request by email later on, I can give you the breakup.

Radha: And secondly, sir, with respect to the demand scenario of LSAW, HSAW, stainless-steel, domestic as well as overseas, which are the regions? Where do you see a demand recovery or good demand or even stable demand? And where are you seeing muted demand?

Manoj Sanghvi: Domestic at the moment still, there are few tenders, but not as it was back in 2022-23. Few tenders are underbidding, and we expect a lot more next year. So, this is on the domestic line pipes front.

International geographies, if we see, there is strong demand within GCC, which is both Saudi and Abu Dhabi. And then there is demand, there are few projects in Europe. America at the moment, because of the high-duty not only tariffs, but also anti-dumping, so large diameter pipe, we are not very hopeful and neither do we supply much to the United States.

Radha: And sir, the current order book of Finow, I believe it stands at INR 500 crore. So, what is the execution timeline of the same and the user industry mix between nuclear, wind and anything else that is contained in there?

Manoj Sanghvi: So, at the moment, all the orders that we have at RFSS is for the nuclear power industry. Going forward, we shall target thermal, some portion of thermal power plant as well as oil and gas spools. However, our current capacity is completely booked for nuclear projects. Currently, by the end of first quarter of next year, this INR 500 crores complete can be executed. In the

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meantime, we have bid for various projects, and we expect to receive some orders, maybe in this quarter or maximum next quarter.

Radha: So, INR 500 crores will be executed by 1Q FY '27?

Manoj Sanghvi: Correct.

Radha: That's great then. Sir, what is the volumes that we sell, volumes that we have recorded in Finow? And what led to higher margins in this business?

Manoj Sanghvi: Volumes, you want to know metric ton share?

Radha: Yes, sir.

Manoj Sanghvi: So, our capacity currently is close to 1,500 tons for the nuclear industry. So, of which currently this quarter we have done close to 200 tons.

Radha: Can be effective of 1,500 tons, sir? How much can we go maximum?

Manoj Sanghvi: With 1,500 tons, we can achieve, say, roughly between INR 250 crores, INR 300 crores. But by the end of this financial year, as we are expanding capacity in RFSS, we will have 3,000 to 4,000 tons of capacity. So, from next year onwards, at peak utilization we can touch a revenue of INR 600 crores to INR 650 crores.

Radha: So, what I meant with effective capacities is entire 1,500 metric ton we can sell or maybe 70% of 1,500 metric ton is the maximum that can be sold in terms of volume.

Manoj Sanghvi: 70% to 80%.

Radha: And sir, what is the current rejection rate in the spools business? And is there any further scope for improvement in rejection rate that could lead to further improvement in margins?

Manoj Sanghvi: See, a lot of items are bought out items, which after rigid inspection, they are brought up. So, there can be rework. However, rejection percentage would be very minimal over here.

Radha: So, any scope for further margin expansion, sir, in this business, as compared to 33% that you have reported in this quarter?

Manoj Sanghvi: See, the first quarter, there is a turnaround. Let us wait for some time. As efficiency increases, productivity will increase. And those impact of those on margin can be seen. Yes, if effectively it is managed and executed.

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Radha: That's great, sir. We are adding this cold solution line in Saudi. So for that, we will be requiring mother hollow tubes. So, that would be exported from our India facility as we have enough capacity here.

Manoj Sanghvi: Yes, yes. We plan to export the mother hollow from India, thereby utilizing the capacity of hot finishing here and further processing or doing cold finishing in Saudi.

Radha: So, once we do this, so if today's margin is, let's say, X, then after this entire process is done, how much will the margin expansion be well? What percentage?

Manoj Sanghvi: So, currently, we are supplying cold-finished tubes from India to Saudi. Definitely margins in India are better. However, it is the need of the hour for us to be there before anybody. Right now, there is one stainless-steel tube and pipe facility which is being set up in Saudi, which is for hot finish products.

However, we plan for cold finish products. So, it is not only increasing our market share once we are there, but margins per se, if we see, margins definitely if we serve the order from India will be greater than what we do from Saudi.

Radha: So, you are saying one more player is there, so you are talking about an Indian player, expanding capacity there?

Manoj Sanghvi: No, no. There is another player who is putting up a stainless-steel tube and pipe facility for stainless-steel tubes and pipes hot finish. He is putting up an extrusion plant.

Radha: If you could give the name, sir.

Manoj Sanghvi: It is available over the World Wide Web. If you do a little research, you will find out.

Radha: Sir, we have been deploying capital in spools, Rav i, and Saudi. So, with these investments, what kind of overall ROCE are you looking at the company when we reach optimal utilization for all these new businesses? And according

to you, which division will create more value to

the company? And where do we as investors and analysts need to focus more?

Manoj Sanghvi: So, see, when I talk about Ratnamani, Orissa capacity utilization will start. And then there is another project once it starts in Saudi. Plus, we have the circumferential capacity expansion which is going on. So, when all put together, we will be at peak, we will be able to touch the revenue of INR 6,000 crores on standalone basis.

Now, RTL we have with the current CAPEX what we have done plus the CAPEX which is ongoing. Both put together we will be able to reach the revenues of anywhere between INR 700 crores to INR 750 crores. And RFSS, of course, with the capacity expansion which is expected to be online by the first quarter of next financial year, with that we will be able to do

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another INR 600 crores to INR 700 crores. So, on a consolidated basis, all put together 1,500 and 6,000, so, INR 7,500 crores in next two to three years is what we can look at with, say, mid-teens or a little higher mid-teens margin.

Radha: That's great. Sir, lastly, I understand you don't discuss specific on the margins. However, in the stainless-steel, considering the weak domestic demand and size and capacity and also overseas tariff issues, say last year, if margin was 100 in the stainless-steel segment, in this year, could you help me understand how much has the margin come down for seamless as well as welded separately for you or the industry?

Manoj Sanghvi: It is quite a difficult question. In the past also, I have mentioned that product-wise or within the product, there are several sub-products. So within seamless also, maybe there is one product where margins are similar to what on a group basis we have. However, there are some products where margins are very high. So, it is difficult to break down into seamless, welded, carbon steel, ERW, spiral. Consolidated, if we keep, it becomes better and easier for us to explain.

Radha: Sir, because your presentation mentioned that there is a margin pressure. So, just wanted to understand, on a blended basis also, if you keep the same product mix last year versus this year, then what kind of margin pressure the industry is witnessing now?

Manoj Sanghvi: No, margin pressure is in one particular segment, which is, say, carbon steel line pipes, and that too water. Okay, now oil and gas, there are a few projects. So, pressure because demand for the domestic oil and gas or water segment because of the payment from the Central government is subdued at the moment. However, stainless steel still, of course, there is competition from other manufacturers. However, we get our fair share.

Moderator: The next question is from the line of Vikas Singh from ICICI Securities. Please go ahead.

Vikas Singh: Sir, just wanted to understand, given the good order book addition this quarter, can we assume that now the next couple of quarters at least we would be able to add the order book whatever we are executing or the overall demand scenario is still pretty weak and these are just one-off order book additions which we have witnessed at this point of time?

Manoj Sanghvi: No, currently, a lot of projects, especially export, is underbidding for carbon steel. So, if one or maybe two order clicks, definitely this order book will have a jump from here. However, the domestic demand is still, as I informed during the last conversation, that domestic demand, yes, there are a few tenders. However, it is not to the level where we can see a substantial jump in the order book. We will continue to book orders as we did.

Quarter-on-quarter, yes, there can be a little lag because these are tenders. Sometimes the government decides on opening the tender a little late, which takes it to the next quarter. However, the execution for this year

is, yes, we are still trying to be as close as possible to the last year on standalone basis.

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Vikas Singh: So basically, you are saying that similar to last year, while the second half was a little bit better versus first half, this kind of scenario can repeat this year as well in terms of overall execution?

Manoj Sanghvi: Yes, there is a possibility, because the capacity is available. We already have orders of roughly 2,000-2,050 in hand. So if all of those, or maybe partially say INR 1,800-1,900 crores is also executed, we can still book another INR 400-500 crores and execute in this financial year.

Vikas Singh: And sir, if you could give me a bid book and the bid book split between the export orders versus the domestic segment, it would help us to better understand the demand coming from which pockets actually.

Manoj Sanghvi: So, there are various projects if I talk about export in all the product categories which is stainless-steel, seamless, welded, carbon steel line pipes as well as process pipes. It is from say Abu Dhabi, which is customers like ADNOC or contractors who are working for ADNOC. Similarly in Saudi for Aramco or Saudi Basic Industry, which is SABIC, and then in Europe a few gas or hydrogen compliant pipelines.

Vikas Singh: Sir, I actually meant the bid book in terms of value wise and the split between export value as well as the domestic bid book value.

Manoj Sanghvi: I do not have at the moment, but next time maybe I will keep it ready.

Vikas Singh: Sir, my second question pertains to Saudi. While we are doing cold finishing, is there any duty structure which basically would be slightly negative for us in terms of sending the mother pipe or mother hollow to Saudi or we have an understanding that we would get in some certain exemptions in terms of that? Because nowadays many countries are adding melt and pour clause in their product profile. So, just wanted to understand our thought process on that.

Manoj Sanghvi: So, as of now, there is no duty on stainless steel, seamless tubes, and pipes because there is no local manufacturer. But there is one manufacturer who is planning whose capacities are under installation. So, as soon as he starts commercial production, yes, there can be duties, custom duties to the tune of 10%.

But however, what our understanding is that manufacturing in Saudi with 10% duty, still India

would be highly competitive. So, sending mother hollows from here will not be an issue. Until yes, there are three, four mother hollows manufacturers in Saudi, then there is a chance of anti-dumping, but which is not a likely situation in the near future.

Vikas Singh: And sir, just lastly, we talked about a lot on the downstream product development in the stainless-steel pipe and tubing division. So, if you could give us some idea that what are the new products which we have developed their application and the potential increased market in those accounts. So, it would be really helpful.

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Manoj Sanghvi: So, it is an ongoing process. There is no particular product which I can name here. Both stainless-steel seamless, stainless-steel welded, also in carbon steel like we just completed the supplies for hydrogen compliant pipeline, which is the first from India. Many players have done trials before us. However, we were fortunate enough to get this order. And these pipelines will now be installed in Europe, which are future hydrogen compliant pipelines.

So, similarly, we are trying, of course, various product developments in each category. For carbon steel, I can name a few like carbon capture or clad pipes. For stainless-steel, similarly, there will be tubes for hydrogen, tubes for other processes. Some grades in fertilizer which are not manufactured in India.

Electro-polished tubes. So, there are plenty which is an ongoing development process which is going on.

Vikas Singh: And sir, last year we have actually basically created a subsidiary in Europe. So, this is Trading subsidiary, right? So, any inroads we have made through these subsidiaries for our stainless-steel or carbon steel products so far? Or it is a long process, and we will have to wait before this starts to fructify?

Manoj Sanghvi: No, this particular subsidiary was, say, trade and stock was only for stainless-steel products, not for carbon steel products. Of course, the marketing person markets carbon steel products also, but it is not a stock and sale item for us. Yes, we could better utilize our extrusion press because a lot of stainless-steel pipes and hollow bars have been supplied by us to Europe. However, with the recent developments in Europe, we don't know what is going to happen as on 1st January. There are rumors that maybe tariffs will increase or maybe the quota will be reduced to half. So with that in mind, as of now, yes, we are stocking some stainless-steel pipes and hollow bars. We will decide post January or February what is to be done. Whether we continue to stock or not, we will take a call by end of this financial year.

Vikas Singh: That answers to all my questions.

Moderator: The next question is from the line of Salil Desai from Marcellus Investment Managers Private Limited. Please go ahead.

Salil Desai: Sir, my first question is on the Finow JV. How do we recognize revenues? Last three quarters, we have seen that going from INR 45 crores to INR 13 crores and then INR 110 crores this quarter. So, it would be good to understand what determines and what drives the revenue recognition.

Manoj Sanghvi: Finow is spool manufacturing wherein a lot of components will come in and of those components then we manufacture the spools. And there are various stages of inspection not only from the client but from the consultant, the client, the contractor as well as the design engineering provider.

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So, execution, yes, quarter on quarter if we see, sometimes we will see a large dip. However, we will be there with some inventory waiting inspection by the nuclear authorities. So, maybe a broader, not looking at quarter-on-quarter, but a broader horizon, if we see maybe six months, it will give a better idea. And going forward since it was just a start, as we do more and more execution, we will have answers to many challenges.

Salil Desai: So, this should smoothen out a little bit in the future, even though because of the inspections and all, there might be some volatility that will continue, right? Is that the way to think of it?

Manoj Sanghvi: Yes. However, we would stick to our end of the year or the guideline that we give for the year. Maybe one quarter here and there. But end of the year, we should be close to what we have budgeted.

Salil Desai: So, second is, there are a couple of questions on volumes. I just want to make sure I understand. In the last quarter, we were looking at a 5% to 10% volume growth in our standalone, that is the pipes business. Does that still stand or do you think that is changing now? I think you said flat revenues for this year now, right?

Manoj Sanghvi: Yes. If we see half yearly, there is both in carbon steel and stainless steel, the volumes have gone up. Maybe on an average, 10% what we had guided. However, the commodity prices

have corrected both in stainless steel and carbon steel, and a little product mix change which, of course, has resulted in the revenue growth not seen.

Salil Desai: I see. So, is it possible for you to share the volume numbers, the total volume for all products put together?

Manoj Sanghvi: We will share stainless-steel and carbon steel. We will not break it up. What is seamless?

What

is welded? What is lengthwise?

Salil Desai: Of course. Of course. That is fine.

Manoj Sanghvi: I think carbon steel was X and now it is Y. Stainless steel was X and now it is Y.

Salil Desai: Sorry, you will share it now or should I get in touch later?

Manoj Sanghvi: No, you can get in touch with Mr. Katta.

Salil Desai: And lastly, one question for Mr. Katta. Sir, on the balance sheet, there is an item called other financial assets, which has gone up from about INR 12 crores in March to about INR 220 crores in September. So, what is this item, sir?

Manoj Sanghvi: I don't know.

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Salil Desai: No worries. I will get that also clarified along with the volume numbers. I am done.

Moderator: The next question is from the line of Mayank Bhandari from Asian Markets Securities Private Limited. Please go ahead.

Mayank Bhandari: I just wanted to know this Ravi Technoforge subsidiary's performance. We have highlighted a couple of customers being qualified, Schaeffler, SKF and all. So, how do you foresee the growth from here onwards? If I were to understand, like, is it in line with the customers, domestic, CAPEX plan, or they are shifting facilities from overseas market? And also, if you could highlight, what is the competitive edge we have in this business? And are we growing faster than the competitive? How is the market share playing out for us in this business?

Manoj Sanghvi: This year, during the start, we had indicated roughly 20% growth over last year. However, considering the forecast of order what we have received, we feel that we will grow much more than 20%. First quarter was close to INR 75 crores. Second was INR 95 crores. Third and fourth quarter, we plan to do INR 100 plus crores. That kind of visibility is there. So, this year may be anywhere between INR 360 crores to INR 380 crores.

Next year with one forging line, which is already installed now, so approvals have started. So, next year we target to be anywhere close to between INR 450 crores to INR 475 crores. And by the end of next year, we will have another automatic forging line which will be installed. With that, the capacity will further go up. And in next two to three years, as we have indicated, year-on-year 20% growth is visible as we start to utilize the capacity of that automatic forging line.

So with any incremental increase in manpower, mostly at the existing unit, we will be able to achieve revenues of INR 450 crores to INR 500 crores.

Mayank Bhandari: And how much of this could be export?

Manoj Sanghvi: Export between 30% to 40%.

Mayank Bhandari: And are we currently exporting to U.S. market?

Manoj Sanghvi: Yes, we are. We are exporting to Timken's USA plant.

Mayank Bhandari: And how is the duty change impacted your business? Is it impacting or how?

Manoj Sanghvi: There is no reduction of forecast what is given to us. So, at the moment, I don't have any clear idea on that. However, our exposure to U.S. is very minimal in RTL. Mostly it is Europe and India.

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Mayank Bhandari: So, if we were to understand, we are growing faster than competition, how is our market share here in this business?

Manoj Sanghvi: As such, there is only one listed competitor. Other private competitors, what we understand, are also growing. And this market itself, because of two reasons. One, a shift from China or China plus one another manufacturer. Another, a lot of capacity from Europe is being moved to India. So, there are two things which is turning out to be increasing the forecast for this particular business.

Mayank Bhandari: Just one last clarification, how would be this market of this bearing rings could grow in the next 3-4 years in your market I am asking?

Manoj Sanghvi: The report, what we have, it says

7% to 8%, maximum 10% CAGR over next up to 2035. Not the bearing rings, the bearing market.

Moderator: The next question is from the line of Parth from Investec Capital. Please go ahead.

Parth: I have two questions. So, the first one is on order book. You mentioned that your order book is around INR 2,000 crores, INR 2,050 crores. I just wanted to understand the split between CS, SS, RFSS or RTL, if that is possible, because you mentioned that CS is around 1,100 and RFSS is 500. So, is it safe to assume that the balance would be SS?

Manoj Sanghvi: No, no. INR 2,050 crores or INR 2,000 crores is on standalone basis. RTL and RFSS is not included in that.

Parth: It is not included. Perfect. So, basically, INR 1,100 crores, if it is CS, then the balance would be SS, right?

Manoj Sanghvi: As we speak, or as on 1st of November, roughly INR 1,300 crores was carbon steel and balance was stainless-steel.

Parth: Sir, my next question is that we have seen a significant decline in our working capital. So, I wanted to understand like what has led to this and is this number sustainable? There is a steep decline in receivables and inventory.

Manoj Sanghvi: No, it depends on the nature of order what we have received. So, last year we had a lot of orders for water pipes. This year the orders for water pipes have gone down. It is totally depending on the product. Yes, again, if the water industry or we book a lot of orders for water industry, the working capital cycle might increase.

Parth: Sir, thank you so much for answering my question.

Moderator: The next question is from the line of Deepak from Sundaram Mutual Fund. Please go ahead.

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Deepak: The first question is on CAPEX. So, could you please highlight, let's say, what are our CAPEX plans in FY '26 and FY '27 in our base standalone pipe business, then Ravi Technoforge and spooling solution, let's say, for the next two years? And when do we plan to commercialize those facilities?

Manoj Sanghvi: So, we have just today morning uploaded our investor presentation. I know it is a little late than the results, which has all the details along with the completion date. Three projects for the parent company, two for the subsidiary which are on going. Each, say, for the subsidiaries it is between INR 225 crores and INR 250 crores each with substantial capacity for RFSS.

For RTL, a new unit along with automatic hot forging line. And then at the parent company, the expansion at Orissa Phase-I is over. Phase-II, which is the coating plant, which will happen within March 2026. Then there is thicker and bigger diameter circumferential pipes, which is going on. So, that will also happen by the end of this year or early next year. And the Saudi project, which is for stainless-steel cold finishing line, we expect to start trial production by the end of next year, December 2026.

Deepak: And sir, in this spooling solution, you have earlier highlighted that most of the order book is related to nuclear sector and most likely in the coming quarters we might look for some oil and gas and thermal projects as well. So, given that this quarter we have seen a very good improvement in the margin, so let's say at the EBITDA level, what kind of margins are we targeting for '26 and '27 from spooling business?

Manoj Sanghvi: If we cater only to the nuclear power segment, maybe similar margins is what we can expect. However, going forward as a strategy, we don't want to be dependent on one particular sector. So, as we scale up, maybe 70% we will continue to cater to nuclear segment. However, 30% will come from other segments like oil and gas or thermal power. So, blended margin still we will target 20% to 22% plus.

Deepak: And Ravi Technoforge, you highlighted earlier that there are lot of import substitution which is happening, let's say, be

cause your client is shifting a plant from Europe to India, and that is how we are getting the business, right. And you have also highlighted that 13% margin in Q2. So, this 13%, as we scale up further in H2, can it further go up, and in FY '27, let's say, 13% to 14% is reasonable to assume from Ravi Technoforge?

Manoj Sanghvi: So, with the current capacity and the current manpower, what we have, definitely we can go anywhere between INR 450 crores to INR 500 crores. So, our cost remaining same, definitely we can see the margin improvement. However, it is a matter of time and the support of market, which next year we will see.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached to the end of the question-and-answer session. I now would like to hand over the conference to Mr.

Sahil Sanghvi for closing remarks.

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Sahil Sanghvi: I just wanted to thank the management for very elaborately answering all questions and also

want to thank all the participants for joining the call. Manoj sir, would you have any closing comments?

Manoj Sanghvi: No, that's it. I mean, just buckle up a few projects going on. So, we hope as we have in next two to three years to reach, to utilize full capacity on each expansion and to reach the number what can be achieved through those capacities. So, anywhere between 7,000 to 7,500 on consolidated basis is what we should look in another two to three years. Thank you.

Moderator: Thank you. On behalf of Ratnamani Metals & Tubes Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: May 2026

RMTL/SEC/POST-TRANS.CON-CALL/Q4/2026-27 May 20, 2026

BSE Ltd.

Corporate Relationship Department

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Company Code : 520111 National Stock Exchange of India Ltd.

“Exchange Plaza”, 5th Floor,

Bandra – Kurla Complex,

Bandra (E),

Mumbai - 400 051

Company Code : RATNAMANI

Subject: Transcript of the Investor Conference Call post Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended on March 31, 2026

Dear Sir/Madam,

We, vide our letter dated May 13, 2026, had intimated to the Stock Exchanges about the schedule of the Investor Conference Call on Monday, May 18, 2026 post Audited Financial Results (Standalone and Consolidated) of the Company for the fourth quarter and year ended on March 31, 2026 and future outlook of the Company's business.

The Conference Call recordings have already been uploaded on the website of the Company and a link was provided vide our letter dated May 18, 2026.

We, now enclose a copy of the Transcript of the Investor Conference Call which took place as scheduled. The said transcript is also being uploaded on the Company's website at www.ratnamani.com.

The Company has referred to publicly available documents / information for discussions during the interaction in the Conference Call and no Unpublished Price Sensitive Information were intended to share during the Conference Call.

Kindly take the above on your record.

Thanking you,

Yours faithfully,

For, RATNAMANI METALS & TUBES LIMITED

ANIL MALOO

COMPANY SECRETARY & COMPLIANCE OFFICER

Encl.: As above

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“Ratnamani Metals & Tubes Limited
Q4 FY26 Earnings Conference Call”
May 18, 2026

MANAGEMENT : M R. MANOJ SANGHVI – CHIEF EXECUTIVE OFFICER –
RATNAMANI METALS & TUBES LIMITED

M R. VIMAL KATTA – CHIEF FINANCIAL OFFICER –
RATNAMANI METALS & TUBES LIMITED

MODERATOR : M R. SAHIL SANGHVI – MONARCH NETWORKTH
CAPITAL

Ratnamani Metals & Tubes Limited
May 18, 2026
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Moderator: Ladies and gentlemen, good day, and welcome to the Ratnamani Metals & Tubes Limited Q4 FY26 Earnings Call hosted by Monarch Networkth Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sahil Sanghvi from Monarch Networkth Capital. Thank you, and over to you, sir.

Sahil Sanghvi: Thank you. Good evening to everyone. On behalf of Monarch Networkth Capital, we welcome you all to the 4Q FY26 Earnings Conference Call of Ratnamani Metals & Tubes. We are delighted to host the management of Ratnamani. And from their side, we have Mr. Manoj Sanghvi, the Chief Executive Officer; and Mr. Vimal Katta, the Chief Financial Officer.

So, without taking much time, I'll hand over the call to Mr. Manoj Sanghvi for opening remarks.

Thank you, and over to you, sir.

Manoj Sanghvi: Yes. Thank you, Sahil. Good evening, everyone. I warmly welcome you all and thank you for joining us for our performance update for the quarter ended on 31st March 2026. The company operated in a challenging business environment during the quarter with continued muted demand conditions and adverse geopolitical developments in the Middle East, impacting order booking, project execution and overall market sentiment. Despite these headwinds, the company demonstrated strong operational resilience and successfully navigated the evolving situation. On a stand-alone basis, our sales for Q4 stood at INR893 crores as against the base of INR1,575 crores in Q4 of the previous year, which was also the highest ever quarterly sales in the company's history. For the full year as well, stand-alone performance remained impacted by subdued demand conditions impacting order inflows and resulted in lower capacity utilization. The Stainless-Steel division performed broadly in line with the previous year, while the decline in overall sales was primarily driven by lower volumes in Carbon Steel division.

Despite lower volumes, our continued focus on operational efficiency, cost optimization and improved product mix with higher value-added products ensured that there was no negative impact on the EBITDA margins in percentage terms, both for the quarter and for the year. We also continue to focus on expanding our market through new geographical areas and product application.

During the year, company further strengthened its portfolio and manufacturing capabilities with 18-meter spiral welded pipes and expansion of API 5 CT product range. I'm also happy to share that company continues to remain debt-free on a stand-alone basis.

The order book has continued to be around INR2,000 crores during the previous year and as on 1st May 2026 was around INR2,160 crores, while export contributing around INR700 crores, providing good revenue visibility for the coming periods.

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Now moving on to our subsidiaries. Ravi Technoforge continued its strong presence and achieved a revenue of INR105 crores during the quarter, representing a growth of 28% over corresponding quarter of last year. For the full year, revenue grew by 33% to INR377 crores. Growth was driven by both exports and domestic markets, while EBITDA margins improved from 10% to 12% due to operational efficiencies.

Our expansion projects at Ravi Technoforge are progressing well and will further enhance capacity, automation and precision capabilities. These upgrades will also help us step into new customer segments.

Our subsidiary, Ratnamani Finow Spooling Solutions also co

ntinued its strong momentum. The

company achieved a revenue of INR72 crores during the quarter, registering around 60% over the corresponding growth -- 60% over the corresponding quarter of last year.

FY 2026 was the first full year of operations for RFSS, during which it achieved a revenue of INR390 crores. RFSS continues to witness healthy order inflows and improving execution

efficiencies. The new manufacturing facility being set up by the company is progressing well and is expected to start contributing revenues from the second half of the current financial year. On a consolidated basis, our Q4 sales stood at INR1,085 crores as against INR1,715 crores in the corresponding quarter of the previous year. For the full year, consolidated sales stood at INR4,494 crores compared to INR5,186 crores in FY '25. At the consolidated level, the strong performance of Ravi Technoforge and RFSS significantly supported overall group profitability with the bearing rings and pipe spooling business emerging as key growth drivers.

Despite lower revenues, the group-maintained profitability margin and absolute EBITDA and net profit broadly in line with the previous year. Based on the current year's performance, the future outlook and the present challenging times, conservation of resources till things settle down, the Board has decided to recommend a lower dividend of INR10 per share, which will still be 500% on the face value.

Although order booking remained moderate during the quarter due to delayed project cycles arising from current global situation, inquiries have started showing signs of improvement across key markets. With expected improved demand visibility going forward, strong subsidiary momentum, contribution from ongoing expansion projects and the positive long-term industry outlook, we remain confident of strengthening our market position and delivering sustainable growth in the years ahead.

Thank you once again for your continued trust and confidence in the company. I'm happy to answer questions now. Thanks.

Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from the line of Dhananjai Bagrodia with Alchemy. Please go ahead. Dhananjai, please go ahead with your question, and kindly unmute yourself, in case if you are on mute. Since there is no response from the participant, we'll move to the next participant. The next question comes from the line of Sailesh Raja with 360 ONE Capital Market. Please go ahead.

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Sailesh Raja: Hello?

Moderator: Yes Sailesh. Please go ahead.

Sailesh Raja: Yes. So, there is excess capacity available in domestic stainless-steel pipe industry, while demand also remains weak, which is getting reflected in our order backlog numbers. So historically, this segment has not witnessed meaningful pricing pressure, but the dynamics now it is completely different. Almost every carbon steel company has entered into stainless-steel space.

Sir, do you believe that there is a structural change underway in the profitability per metric in stainless steel? And also, this is also very capital-intensive business with historically, very good margins also. But if margins begin to decline structurally, where do you see the best deployment opportunity for Ratnamani incremental?

For example, if we generate INR100 incremental cash flow, so how much we'll deploy it in LSAW, HSAW, bearing and pipe spooling business? Because if you see in the current capex cycle, we are spending only INR50 crores, yes pertaining to stainless-steel out of INR770 crores, the capacity that we are creating in India. So, could you please talk about the Stainless-steel division?

Manoj Sanghvi: So just to correct, give you the correct perspective. The stainless-steel volume in the last fiscal year actually went up, not down, but the prices were down. So,

we were more or less flattish on the revenue.

Sailesh Raja: Okay.

Manoj Sanghvi: Yes. Yes, a lot of carbon steel players plus other players, the competition intensity in stainless steel or carbon steel is increasing. However, most of the capacity is for the pierced seamless products. So which market as it is, Ratnamani is not catering to. So, our -- still our focus remains on high value-added extruded products, where only one new player is supposed to come. I don't know by when, but it will take some time before the new capacities in the extruded segment comes.

Sailesh Raja: Okay. Okay.

Manoj Sanghvi: Yes.

Sailesh Raja: So, in the near future, is there any capex plan in stainless-steel division or focus will be fully?

Manoj Sanghvi: Debottlenecking capex is going on. We are investing -- we are already doing instrumentation tubes in straight length. Now we are executing a few orders in the coil form, and we will continue to increase the capacity over there. We are planning for a new tube mill on the welded side. Since it is -- all the capex put together is not significant, it is not -- or it is part of our routine capex. So, it is not highlighted separately.

Sailesh Raja: Okay. Thank you, sir. Sir, on the line pipe side, that opportunity appears very promising in both domestic as well as exports market. There are multiple pipeline projects being discussed in

Saudi, including the sea pipeline opportunity from Middle East to India. So as mentioned, there could be a sizable opportunity in stainless steel in the Middle East preconstruction activity gathers pace.

So ADNOC is also talking about doubling the exports. So how do you see the business opportunity evolving for us, both in Stainless-steel, Carbon Steel division for us over the next one, two years?

Manoj Sanghvi: No. With the current situation internationally, definitely, once this is over, we don't know today by when it will be over or by when things will be normal. But yes, definitely, not only in Middle East, but domestic as well as other parts of the world, we will see a push in carbon steel pipes as well as stainless-steel tubes and pipes because refineries, petrochemical plants, whatever is damaged, plus the new expansion once the oil is transported from, say, the point of originating to wherever it goes.

So, the refining capex petrochemical plants, also we will see capex. And we feel that, yes, in two months, three months from now, we'll see -- if things normalize, we'll see the demand. Of course, many projects are announced, but detailed working of that will be done. So, in another three months, six months, we will see those demand -- those kind of demand for both stainless steel and carbon steel pipes coming in.

Sailesh Raja: Yes. Okay, sir. Thank you, sir. All the best.

Manoj Sanghvi: Thank you.

Moderator: The next question comes from the line of Divyansh Gupta with Latent PMS. Please go ahead.

Divyansh Gupta: Hi, sir. I have actually a question for each of the business verticals. Starting with the spool pipes business. So, is the understanding correct that the spool pipe assembly that we give is more of a onetime in the nuclear plant? And if yes, then the question is that how are we seeing the order book build out? Where is the order book -- where are the orders coming from?

And what is giving us confidence to expand our capacity given that even if someone says, I want to do a nuclear plant today, the requirement of the pipe might come, let's say, two or three years down the line when the actual fitment of nut and bolt is expected to happen?

Manoj Sanghvi: Yes. Thank you. So, your first question was whether it is a one-time requirement. No, it is not a one-time requirement. Now -- and with the current situation globally and the amount of data centers being announced, not only in India, but elsewhere, the demand for

or power will go up.

Only thermal or only renewable will not be able to suffice the future power requirement.

Saying that, we feel that not only in India and with the vision of our honorable Prime Minister by 2047, where he wants to have, say, 100 gigawatts of nuclear plant, not only in India, but internationally, also a lot of nuclear power projects have been announced so us being at the moment, the only nuclear approved facility from India for Nuclear Power Corporation of India Limited, plus internationally also, now we've been approved to supply for projects in Egypt, Turkey, Hungary. So, we see that there is good potential for RFSS to grow from here.

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Divyansh Gupta: Got it. And when you say it is not a one-time product, so then, let's say, how -- at what frequency is the product replaced? The life of the spool pipe is let say?

Manoj Sanghvi: So, any nuclear power plant, greenfield new project, say, for 1 gigawatt, 4,000 to 5,000 tons of pipe spools are required. Now currently, considering what the number of plants India is planning plus the other geographies what they are planning, this plant will be booked itself for the new nuclear power plants.

Divyansh Gupta: Got it. Understood. Understood. On RTL, the question was that what is the percentage of either exports or deemed exports? And does the tariff equalization now in the U.S. brings any tailwind or any contracts which were delayed because of tariffs starting back -- coming back on the discussion table? And how should we see the business ramp-up happening?

Manoj Sanghvi: So, we have the data for physical exports, which is between 35% to 40% for Ravi Technoforge. Deemed export, we don't have the exact data, but 50% of what we supply to the domestic manufacturers, SKF, Schaeffler or the other bearing manufacturers. I think 40% to 50% of that is exported by them.

Divyansh Gupta: Got it. So about 60%, 60% to 65% at least is getting exported. And they get exported to -- so yes, the U.S. tariff and which geographies are they getting exported to?

Manoj Sanghvi: Europe, U.S., also rest of the world.

Divyansh Gupta: And is there a broad mix that you can give?

Manoj Sanghvi: No. See, we would not have that data in detail, but our customers would definitely, yes.

Divyansh Gupta: Understood. Coming to the Middle East plant that we were planning to set up, I see the date is

still March of 2027. So, if you can give updates on two aspects. Does the current war leads to -
- has led to any delays or, let's say, reevaluation of time lines? And where are we currently after the initial certificate that we got to -- or the approval that we got that, okay, we can start doing the greenfield -- start doing the capex activity in Middle East?

Manoj Sanghvi: Yes. So, considering that things will normalize say, in another month or so, we still are confident that we'll be able to finish the project, especially the trials within March 2027. The current status, if I say the design and engineering is complete. It has been submitted to authorities for approval. Once it is approved, the contractor will be finalized for construction and simultaneously, we'll be ordering all the machinery.

Divyansh Gupta: Understood. Sorry, yes.

Manoj Sanghvi: Yes.

Divyansh Gupta: Sorry, continue.

Manoj Sanghvi: Yes. So, we are also waiting at the moment for things to normalize, so we can award the contracts for construction. So as of now, we still remain confident that the project can be finished within March 2027. If there is any spillage, it can be of three months.

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Divyansh Gupta: Got it. And coming to the stand-alone entity, which is the fourth business vertical, the order today, if you can split it between CS and SS? Second question is, given that, let's say, given the government financials are under

strain, I'm guessing the Jal Jeevan Nigam is under stress and similarly, the oil and gas is also under strain. So, what is the traction we are getting in CGD? Because at least the article says that CGD is seeing a lot of traction. And you mentioned that inquiries are coming. So where are these inquiries coming from? And any particular segment where we are seeing a lot of inquiries coming in?

Vimal Katta: On order book, Manojji, if you permit.

Manoj Sanghvi: Yes, yes.

Vimal Katta: I'll just share. As of 1st May, it was INR2,162 crores, out of which INR531 crores was stainless steel and INR1,631 crores was carbon steel. And out of this INR2,162 crores, INR697 crores was the export component, okay?

Divyansh Gupta: Got it. Understood. And on the inquiry part, where are the inquiries coming from? And are we seeing any tailwind because of CGD?

Manoj Sanghvi: So domestic, there are a few inquiries from gas transmission companies. Then there are a few inquiries on stainless steel from the refinery segment and the petrochemical segment, some portion in the renewable energy segment. Also, if we see the thermal power segment, where our stainless-steel products go for high-pressure heater tubes and low-pressure heater tubes plus the condenser tube.

So, we are seeing strong demand from there also. Oil and gas, still, yes, Middle East, we are hearing there are a few projects. However, they are going slow because still the shipping system or the shipping lines are not willing to or even if they are willing to -- the cost is too high. So once that normalizes, the real picture of demand from Middle East we will know.

Divyansh Gupta: Understood. Understood. Thanks for answers. I'll join back the queue so that others can ask.

Manoj Sanghvi: Thank you.

Divyansh Gupta: Yes. Thank you.

Moderator: Thank you. The next question comes from the line of Tanmay Agarwal with Niveshaay. Please go ahead.

Tanmay Agarwal: Hello, am I audible?

Manoj Sanghvi: Yes, yes, you are.

Tanmay Agarwal: Okay. Sir, my first question is with 80 gigawatts of thermal and renewable power capacity expected to be added over the next four to five years, could you help us to size the stainless-steel opportunity both in volume and value terms? Specifically, what is approximate tonnage of stainless-steel tubes required per gigawatt of additional capacity? And what share of this opportunity is Ratnamani positioned to address?

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Manoj Sanghvi: Can you repeat the first part because your voice was not very clear.

Tanmay Agarwal: Sure, sir. With 80 gigawatt of thermal and renewable power capacity expected to be added over the next four to five years, could you help us to size the stainless-steel tube opportunity, both in volume and value terms?

Manoj Sanghvi: I don't have the exact number at the moment. But for power plant, as I mentioned just before this question, that we are major suppliers for the heat exchangers, high pressure, low pressure as well as the condenser tubes. So, all put together, the volumes for the power segment is substantial,

which before, say, 2025 or 2024, the power demand was quite less. Our supplies to power demand -- the -- power sector had gone down. However, for the next five years, we feel and we see that the demand is going to remain quite strong in this segment.

Tanmay Agarwal: Okay, sir. Sir, my another question is regarding Middle East and O&G demand. Sir, what -- given the significant infrastructure disruption that had happened in the Middle East due to the ongoing conflicts, are you seeing any incremental inquiry or order inflow in the oil and gas segment, either from reconstruction activity or from the accelerated pipeline build-out?

Manoj Sanghvi: Not yet. We have been hearing various projects. However, the actual demand or the actual inquiry is not yet seen. Two major factors. One, the shipping

g -- because whatever orders we have, we are unable to ship still because only few ports we can ship to, and they are able to handle limited cargo. Plus, the other ports where we want to send the material. However, the vessel is either charging, say, obnoxious amount, which the customer is not willing to accept. So, until and unless things settle, of course, on paper, we see a lot of demand. But the actual demand on ground, we will only know once things settle down.

Tanmay Agarwal: Okay, sure, sir. Thank you from my side.

Manoj Sanghvi: Thank you.

Moderator: The next question comes from the line of Netra Deshpande with Mirae Asset Sharekhan. Please go ahead.

Netra Deshpande: Yes. Am I audible?

Manoj Sanghvi: Yes, you are.

Netra Deshpande: Yes. Thank you so much for opportunity. To start with about two questions which I have. Can you give me a breakup volume for the CS and SS pipe for the forward guidance and the realization per ton? And what would be the any other like new product mix, which is you are going to -- any other plans for the capacity expansions and the new product mix, which is going to be there for the further year? So, this is my first question. Exact volume breakup for the revenue guidance or you can say for the volume and sales for CS and SS.

Manoj Sanghvi: Yes. So, see, carbon steel, the volumes have gone down, considering that we were shifting some capacity the whole year, out of the whole year 9, 10 months, there was a shift of capacity from Ratnamani Metals & Tubes Limited

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one location to another location. So, during the year, if you see, we started production at Orissa. So that capacity is back up and running.

Another modification what we did in Kutch, where we used to manufacture pipes in the length of 12 meters. So now that plant is capable to manufacture pipes up to 18 meters. So, we are back to our capacity what it was before last financial year. And for stainless steel, there has been volume growth, as indicated earlier. However, in the price terms, we are more or less, say, 5% to 10% higher than the previous year.

Netra Deshpande: Okay. So, realization would be -- for the FY '27 would be -- we can expect 5%, right?

Manoj Sanghvi: Our budget for the year, say, is close to anywhere -- on a stand-alone basis, anywhere between INR4,800 crores to INR5,000 crores.

Netra Deshpande: Okay. Okay.

Manoj Sanghvi: Yes. Yes.

Netra Deshpande: And yes, thank you, sir. And with my second question about -- as we have seen in the balance sheet, we have maintained with the low debt and again in the net cash. So, what will be the position for the -- like I just would like to get the breakup of net cash position? And what is the target for the further -- as given with the capex cycle, what would be the further forward guidance for you can say the further debt level position for the next two years?

Manoj Sanghvi: Yes. We are working on two, three projects. So once those materialize, we will be able to give you the guidance on the cash flows or the cash that the company has. At the moment, what is the amount available, Kattaji, if you can please reply to that?

Vimal Katta: As on date, also we will be having close to INR800 crores available as free cash with the company. And whatever little debt is getting reflected in the balance sheet that is basically in case of any requirement. So, we have FD-OD facilities. So minor utilization might be there.

Otherwise, company is 100% debt-free as far as regular bank limits are concerned.

Netra Deshpande: Okay. Okay. Thank you so much, sir. Thanks.

Manoj Sanghvi: Thank you.

Netra Deshpande: All the best. Yes.

Moderator: The next question comes from the line of Saurabh Patwa with Quest Investment Management. Please go ahead.

Saurabh Patwa: Hello.

Moderator: Please go ahead, sir.

Saurabh Patwa: Yes. Sir, thanks a lot, sir, for giving this opportunity, sir. Just two

, three questions. One is, sir,
given this year, you had some spillover -- some delay in dispatch of the products which you
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would already because of the export orders because of the Middle East issues and the order book which you have, if this spills over and over time during the year, if this normalizes, so will this INR4,800 crores to INR5,000 crores of target which you have is including this? Or is this for the current year's target and this can have a higher number?

Manoj Sanghvi: No, it is -- the INR4,800 crores, what we say is considering that things will normalize soon.

Saurabh Patwa: And last year, dispatches also will happen.

Manoj Sanghvi: Last year, we had -- say, we were sitting on about INR100 crores to INR150 crores worth of material, which was about to be shipped. It could not be shipped because of this conflict.

Saurabh Patwa: Correct. And sir, secondly, this year, we had a last 2 quarters, we are having close to 40% kind of decline in our volumes despite a growth in stainless-steel. So, assuming this thing normalizes, and we get some growth back in this carbon steel, how does this impact margins? Because I believe stainless-steel is much higher margin. So, will the margins get impacted negatively?

Manoj Sanghvi: No. The moment things normalize, we will see a lot of projects, right? So, we will get our share of margin of carbon steel product.

Saurabh Patwa: Okay. Okay. So, the current margins of carbon steel are depressed? Is this -- or like last year's carbon steel margins were slightly depressed compared to historical past?

Manoj Sanghvi: Yes. Not -- I would say not depressed, depressed, but the mix changed, right? Because a lot of it was water projects, not oil and gas. Now going forward, the demand for oil and gas and the Jal Jeevan Mission, both will be there. So, if we manage the product mix well, definitely, we'll be able to sustain the margins.

Saurabh Patwa: So, we should be able to deliver 16% to 18% margins. This is a fair understanding?

Vimal Katta: See, basically, higher utilization of capacities will result into better absorption of fixed costs. So that negative impact of higher contribution coming from line pipes, carbon steel line pipes will not be that significant. 1% here and there might be there. In the longer run, this 16% to 18% seems to be sustainable range.

Saurabh Patwa: Understood, sir. Understood. And sir, just lastly, was there any forex impact positive or negative this year compared to last year in this quarter?

Vimal Katta: Forex, basically because exports have been significant. We have been positive on the receivable side. So positive impact has been there. That figure for the entire year will be closer to INR45 crores.

Saurabh Patwa: Okay.

Vimal Katta: Yes.

Saurabh Patwa: Okay, sir. Thanks a lot, sir, and all the best.

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Moderator: Thank you. The next question comes from the line of Dhruv Saraf with Bowhead India Fund. Please go ahead.

Dhruv Saraf: Good afternoon, sir. Just wanted to understand, you've alluded to the fact that power demand for stainless-steel tubes from the power sector remains to be very buoyant. Sir, but this is also a space where piercing technology is gaining wide acceptance. So, do you see a situation where your margins in power will be lower than your margin that you earned in the past because of new acceptance of piercing? Do you see that as a threat to you?

Manoj Sanghvi: See, yes, I think it is echoing. Hello?

Moderator: Yes, sir. Please go ahead.

Manoj Sanghvi: Yes, see, substantial capacities have been added in stainless-steel seamless segment. Products are being accepted. If you say that, I would say, yes, they are being accepted. But at the same time, we see failures also happening. Recent fire or heat exchanger failure at one of

the refineries

in Rajasthan was a major failure and the tubes are to be replaced or is to be replaced in a month.

So piercing technology, yes, it is accepted.

Short-term, maybe, yes, margins. There will be a pressure. However, we continue to enter new segments like defence, which is increasing for us, aerospace, which is increasing for us. So, we will move up the ladder. We'll try to -- that market in India is growing. So, it's an opportunity for us. Yes, power, we might have a little compromise on the margins, but I think that phenomenon may be temporary.

Dhruv Saraf: There might be eventually reluctance to accept piercing going forward, let's say, 2, 3 years down the line in heat exchanger in power and refineries. Could there be like a rollback in that side or from piercing again?

Manoj Sanghvi: Many end users have limited the tubes to be manufactured by extruded mother hollows. And we

see addition or the increase in number of such end users. That's all I can say.

Dhruv Saraf: Okay. So, there's been an increase in the number of end users who have restricted their demand to only extruded. That's what you said, if I'm getting it right.

Manoj Sanghvi: For tubes, yes.

Dhruv Saraf: Okay. That will be very helpful. Sir, just one more question on the export business, especially on stainless-steel, sir. So, Europe is coming with this carbon border adjustment mechanism later this year. And there is also some factor about reducing the quota of Indian stainless-steel exports to the continent. So, do you think it's going to be a big game changer either positively or negatively for your export business, especially in stainless-steel?

Manoj Sanghvi: Short-term, I don't see any major impact on us. See, finally, there has to be local manufacturing or this is to support the local manufacturing. Now the local manufacturing will also adjust the price accordingly. And if the demand is more than the supply, the price adjustment will happen

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itself. So short-term, not a major impact. But yes, long-term, if it continues, we will see local manufacturers expanding their capacities. And yes, that is where the impact can come.

Dhruv Saraf: Understood, sir. Understood. But that would be a 5, 6, 7-year phenomenon, but it's not more of a 2, 3-year...

Manoj Sanghvi: Yes. Yes.

Dhruv Saraf: Sure. Understood, sir. Thank you so much, sir. I'll get back in the queue.

Manoj Sanghvi: Thank you.

Vimal Katta: Thank you.

Moderator: The next question comes from the line of Deepak Sodhi with Sundaram Mutual Fund. Please go ahead.

Deepak Sodhi: Yes, thank you for the opportunity. Am I audible?

Manoj Sanghvi: Yes, you are.

Deepak Sodhi: Yes. Hi, sir. Sir, my first question is on pipe spools business. So, if I look at this quarter, we are seeing a decline of 63% Q-o-Q because the order book execution is a bit lumpy. But despite this 63% sales decline on a Q-o-Q basis, your margins have actually gone up by 3% to 4%, right? So, what explains this? Is it some inventory gain that we see in this pipe spooling business where our lower cost inventory was went into production, Hence, we see an improvement in margin despite a 50%, 60% sales decline?

Vimal Katta: See, basically in Ratnamani, we don't have any pipe spool business, first thing. Second thing, all our orders are on fixed price basis and inventory adjustment does not happen because of that because inventory is marked against those orders. Only excess inventory is revalued at the cost of market price which is lower. So that...

Manoj Sanghvi: Kattaji, his question is about pipes spool business, so.

Vimal Katta: Okay. Okay. But in pipe spool business, the volumes didn't go down.

Manoj Sanghvi: Yes. So, the pipe spool business volume did not go down. So yes, when did this...

Deepak Sodhi: Okay. So, you are saying volume did not go down, but the realization went up exponentially

higher.

Manoj Sanghvi: Yes. See, operational efficiency coming in as the volume goes up. See, we are -- today, we are prepared to manufacture a certain capacity. Now as the utilization increases, the margin improvement you are seeing and plus the nature of the order.

Deepak Sodhi: Okay. And sir, what is our, let's say, growth guidance for this business in FY '27 and also margin guidance for pipe spool business?

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Manoj Sanghvi: For spool business, we can see a growth of 20%. 20%, 25% for this particular year.

Deepak Sodhi: And will you be able to maintain that 30%, 35% margin band?

Manoj Sanghvi: At the moment, it seems like. However, going forward, I think the margins should be in the range of 20% to 25%.

Deepak Sodhi: Okay. And sir, one question I had on your stand-alone pipe business. So, if I look at your order book in FY '25 closing, we had a good amount of export order as well as stainless-steel order.

But if I look at the current closing order book, which ended in March, our stainless-steel order book is down and our export order book is also down. So, do you think that 16% to 17% margin can be maintained in FY '27?

I am aware that you did highlight that the mix within the carbon steel has changed from, let's say, water to more oil and gas. So still -- but do you think that 16% to 17% margin can be maintained in '27?

Manoj Sanghvi: Yes. Margins say, 16% plus/minus 1%, definitely, it can be maintained. However, if the conflict

that we see today extends, say, beyond 3, 4, 5 months, then it will be a totally different scenario.

Deepak Sodhi: Okay. And sir, when you say that INR4,800 crores, is it something which you are internally factoring? Or is that an aspiration number which we have, assuming everything comes back to normal?

Manoj Sanghvi: It's assuming that everything will be back to normal in a month's time.

Deepak Sodhi: Okay. Okay. And sir, lastly, on Ravi Technoforge, I just wanted to know your thoughts because in the opening remarks, you said you're looking at new customer segment as your new capex comes into operation. So just wanted to understand, means what kind of new customer segment are we exploring? And let's say, in FY '27, what is our growth and margin outlook for this Ravi Technoforge business?

Manoj Sanghvi: So same, RTL this year, we can consider a growth of 10% to 15%. However, next year, when the new capacity, which we are installing comes into play, then the new customer and the new segment of some auto parts is what we can cater to.

Deepak Sodhi: Okay. Okay. So, we are toning down our guidance from 15% to 20% to 10% to 15% in '27, correct?

Manoj Sanghvi: Yes, yes, 10% to 15%.

Deepak Sodhi: Okay. Thank you so much, sir. Very helpful. All the best.

Manoj Sanghvi: Thank you.

Moderator: The next question comes from the line of Parth Bhavsar with Investec India. Please go ahead.

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Parth Bhavsar: Hi, sir. Thank you for the opportunity. Sir, I -- my first question is related to the spooling business. Sir, what is the outstanding order book over here?

Manoj Sanghvi: Current outstanding order book is...

Parth Bhavsar: For spooling, yes.

Manoj Sanghvi: I think it is close to INR550 crores. Kattaji...

Parth Bhavsar: Okay. So INR550 crores. So, sir, basically, what we are saying is INR4,800 crores to INR5,000 crores from the stand-alone business, 10% to 15% growth for Ravi Technoforge and another 20% sort of 20%, 25% growth for Finow, right?

Manoj Sanghvi: Right.

Parth Bhavsar: Got it. Got it. And sir, like just continuing previous participant's question, you said that margins would be stable or you'll be able to hold it because your mix in carbon steel would be on the better side.

But sir, like still like if you look at our order book outstanding for SS, it's quite lower, right? So,

on a year-on-year basis, I'm assuming that carbon steel profitability per ton or however you see it, it will still be lower, right, versus CS? So that should have a bearing on our -- that should -- yes, versus SS, even though your CS share, both revenue and even the mix goes up, but it will still be lower than SS, right, which should have a bearing on our EBITDA margin numbers?

Manoj Sanghvi: Yes, but a lot of stainless-steel projects are also under bidding. So, we will continue to maintain that mix of order book, both for stainless-steel as well as carbon steel.

Parth Bhavsar: Got it. And sir, what is our capex number for '27 and '28 absolute number?

Manoj Sanghvi: At the moment, on stand-alone basis, we have one capex, which is for Saudi.

Parth Bhavsar: Yes, cold-finished.

Manoj Sanghvi: Yes, other than that, the routine capex items, I think INR150 crores to INR200 crores.

Parth Bhavsar: Okay. Got it. Got it. Perfect, sir. Thank you so much for answering my questions.

Manoj Sanghvi: Thank you.

Moderator: The next question comes from the line of Divyansh Gupta with Latent PMS. Please go ahead.

Divyansh Gupta: Hello. Hi, sir. The question was, does RTL also have an order book kind of a metric or it's more...

Manoj Sanghvi: They have a schedule kind of a metric.

Divyansh Gupta: Got it.

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Manoj Sanghvi: Early forecast based on calendar year is submitted by the international customers and domestic customers based on the financial year, they give the yearly forecast.

Divyansh Gupta: Got it. And this growth guidance for RTL that we have given, how much of it is, let's say, through forecast? And is there a delta? Or how should we see the current forecast against the growth guidance? Is there a gap?

Manoj Sanghvi: No, there is no gap against the forecast and our guidance.

Divyansh Gupta: But that implies that there is no incremental order win expected because of capacity constraint. Is that...

Manoj Sanghvi: We have limited scope of increasing that a little bit.

Divyansh Gupta: Got it. Understood. Understood. And in the order book, what would be the exposure to the Jal Jeevan Mission or Water segment?

Manoj Sanghvi: At the moment, not much. I think all put together, say, Jal Jeevan Mission or not Jal Jeevan Mission, water all put together would be INR300 crores to INR400 crores.

Divyansh Gupta: Got it. Got it. And understood. And sir, on the spooling business, so the INR550 crores order book that we have is expected to be, let's say, converted into revenue over what timeline?

Manoj Sanghvi: So, this year, about INR500 crores will be -- INR480 crores to INR500 crores is what we plan within this year.

Divyansh Gupta: Got it. Understood. And the last question on the spool pipe itself. So, let's say, if someone is setting up a nuclear plant from a land acquisition to the actual, let's say, it going into super critical or whatever the plant going critical, right? At what stage does a EPC player, I'm guessing, place his order with Ratnamani to say that I need x tons of spool pipes of this design and configuration. And how much is the lead time to design and deliver the pipes?

Manoj Sanghvi: Yes. Once the land is acquired, I think anywhere between 1 to 1.5 years, pipe spools will be ordered.

Divyansh Gupta: Got it. And for us to manufacture and deliver, it would take how much time on an average? I know spec to spec things can change, but...

Manoj Sanghvi: 4,000, 5,000 tons every year, maybe 1,500 tons order is what is required to be supplied.

Divyansh Gupta: No, I was asking from a timeline perspective. You got an order today. So, you need to manufacture and deliver it in, let's say, 6 months, a year or there is a whole schedule that.

Manoj Sanghvi: Yes. It starts from 6 months and goes on up to 18 months maybe in this.

Divyansh Gupta: Got it. So that then implies that, that INR550 crore

es of order book is basically at more or less

like a fag end of the order books, order pipeline, right? Because INR550 crores order book, INR500 crores is done -- is expected to be done within this year?

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Manoj Sanghvi: Yes.

Divyansh Gupta: So, what is the active pipeline of orders that we have either being nominated or being under negotiation or under bidding? And what is our typical one?

Manoj Sanghvi: Total bidding right now is close to \$400 million, \$500 million. How much we will get, we will only be able to say when the time comes.

Divyansh Gupta: Got it. And I'm guessing there's no historical past win rate that we can refer given the newness of the business.

Manoj Sanghvi: No, no.

Divyansh Gupta: Got it. Understood. Understood. Yes, that's it from my side. Thank you.

Manoj Sanghvi: Thank you.

Moderator: The next question comes from the line of Dhruv Saraf with Bowhead India Fund. Please go ahead.

Dhruv Saraf: Sir, just wanted to check, in your FY '24 annual report, you had mentioned that the export business was roughly 40% of the stainless-steel business. Sir, what would be the rough ballpark figure now if you don't want to give specific numbers?

Manoj Sanghvi: Export of stainless-steel division? Hello?

Dhruv Saraf: Yes, sir. I'm talking about the export business in stainless.

Manoj Sanghvi: Yes. So, it varies between 35% to 40% of our volumes.

Dhruv Saraf: Of your volumes. Okay, sir. Sir, just one more follow-up on the carbon steel business. You've repeatedly highlighted that oil and gas capex in the country has been weak. But sir, if I were to just look at, let's say, the number of CGD connections that have been rolled out, which I can see from the PNGRB website, that seems to paint a different picture compared to what we've been speaking about. So, can you help me reconcile the difference? Is it a different sector within oil and gas you're speaking about? Or is it something that I'm missing? So, you can help me understand this?

Manoj Sanghvi: So, what is the question that the CGD numbers are going up and...

Dhruv Saraf: Yet somehow, it's not trickling down to line pipe demand for us. So, I'm just not being able to tie both the situation.

Manoj Sanghvi: No. So, pipe procurement is the first phase for any CGD operator. So, whatever was procured, say, from '21 to '24, you would see those connections going up because of that network.

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Dhruv Saraf: Understood. Okay. And sir, the recent government ruling that has come out about accelerating - further accelerating the CGD rollout, can that lead to front-loading of a lot of demand in this space for us over the next, say what, 12 months?

Manoj Sanghvi: Yes. All the CGD operators have been -- by the government have been informed to increase the network. But of course, again, there are private players, viability and at this steel price and the capex cycle, whether it is viable or not, those studies will go on, yes. But eventually, once everything settles, yes, the demand for CGD also will go up.

Dhruv Saraf: Okay, sir. And where you're talking about CGD could be mostly, let's say, ERW or would it also be extra LSAW for the long-distance pipeline?

Manoj Sanghvi: No, mostly ERW pipes.

Dhruv Saraf: Okay. Okay, sure. That would help. Thank you so much.

Manoj Sanghvi: Thank you.

Moderator: The next question comes from the line of Saurabh Patwa with Quest Investment Management. Please go ahead.

Saurabh Patwa: Hello. Yes, sir. Thanks a lot for giving this follow-up opportunity. Just 2 things quickly, sir. One is that this INR4,800 crores kind of a target which you have, for the stand-alone business or for the entire company?

Manoj Sanghvi: It's on a stand-alone basis.

Saurabh Patwa: Okay. And this is on the basis of the current pricing? Or is that you already

built in the orders

which you have, some of these would actually have the raw material price increases already there. How do you plan to cope up with that, sir? Do you have those levers with you to increase the pricing in some of these cases?

Manoj Sanghvi: No. So, for orders, whatever we have, say, raw material is already tied up. We don't -- our orders are mostly back-to-back.

Saurabh Patwa: Okay. And this target which you have includes -- is based on the current pricing for the -- assuming you get the incremental orders this year.

Manoj Sanghvi: It is considering, yes, the current price.

Saurabh Patwa: Okay. Okay. Great, sir. Thanks a lot, sir. All the best.

Manoj Sanghvi: Thank you.

Moderator: The next question comes from the line of Sonal with Prescient Capital. Please go ahead.

Sonal Minhas: Hi, sir. This is Sonal Minhas. I hope I'm audible.

Manoj Sanghvi: Yes, you are, sir.

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Sonal Minhas: Sir, my question is again with regard to the guidance for the stand-alone business. When you compare it to your stand-alone numbers for this year and then see the guidance, it means roughly more than 25% growth in the stand-alone business basically. So just want to double check and understand what gives us the confidence in our order book compared to same time last year is a little bit lower. If there is anything significant in terms of wins, order accretion, which you can talk about to help us understand the stand-alone business, that's all.

Manoj Sanghvi: So, there are two things. One, the capacity which was not available, which was being shifted from one location to another location is now operational in this year. So, one sector of growth or one scope of growth is from that particular capacity. So, we are going to -- if we see we are going to reach back to what we were a year back.

Sonal Minhas: Got it, sir. And the demand remains the same as the year back? Basically, that is what the assumption is here.

Manoj Sanghvi: Yes. At the moment, with whatever announcements we see, definitely, the third and fourth quarter seems to be quite promising. However, as indicated earlier, things -- we hope that things settle down in the next month or so.

Sonal Minhas: Got it. Got it, sir. That's it from my side. Thank you.

Manoj Sanghvi: Thank you.

Moderator: A reminder to all participants, you may press star and one to ask a question. The next question comes from the line of Parth Bhavsar with Investec India. Please go ahead.

Parth Bhavsar: Hi, sir. Thank you for the opportunity. Sir, just one question. How are we exposed with the gas supply? Like what percentage of cost has been increased? And how are the supplies currently?

Manoj Sanghvi: Increase has been substantial. So yes, the cost part has gone up. Supply is currently still not an issue.

Parth Bhavsar: And this would only hit your carbon steel pipe side of business, right?

Manoj Sanghvi: Some part of stainless-steel also because we have some heat treatment furnaces working on gas.

Parth Bhavsar: Right. Okay. So, sir, what percentage would it be like in terms of total cost on stand-alone or whatever, like whatever you can help me with the cost increase?

Manoj Sanghvi: I don't have that number at hand.

Parth Bhavsar: Okay. No worries, sir.

Manoj Sanghvi: Thank you.

Parth Bhavsar: Thank you.

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Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Sahil Sanghvi for the closing remarks.

Sahil Sanghvi: I just wanted to thank all the participants for joining the call and also thank you, management, for very patiently answering all the questions. Manoj, sir, any closing remarks from your side?

Manoj Sanghvi: Yes. Just a thank you message to everyone for participating. In case if you have any further questions, you can reach out to us. Thanks. Bye.

Sahil Sanghvi: Thank you. Thank you, everybody.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Monarch Network Capital Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.